

ASUSTEK COMPUTER INC. AND SUBSIDIARIES

Consolidated Financial Statements

With Independent Auditors' Review Report Thereon

March 31, 2026 and 2025

(Stock Code: 2357)

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For the convenience of readers and for information purpose only, the auditors' review report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

Independent Auditors' Review Report

To the Board of Directors and Shareholders of
ASUSTEK COMPUTER INC.:

Introduction

We have reviewed the accompanying consolidated balance sheets of ASUSTEK COMPUTER INC. and subsidiaries (the "Group") as of March 31, 2026 and 2025, and the related consolidated statements of comprehensive income, of changes in equity and of cash flows for the three months ended March 31, 2026 and 2025, and notes to the consolidated financial statements, including a summary of material accounting policies. Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Regulations Governing the Preparations of Financial Reports by Securities Issuers and International Accounting Standard 34, Interim Financial Reporting that came into effect as endorsed by the Financial Supervisory Commission. Our responsibility is to express a conclusion on these consolidated financial statements based on our reviews.

Scope of Review

Except as explained in the following paragraph, we conducted our reviews in accordance with the Standard on Review Engagements 2410, Review of Financial Information Performed by the Independent Auditor of the Entity in the Republic of China. A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Basis for Qualified Conclusion

As explained in Note 4(3), the accompanying consolidated financial statements included certain nonsignificant consolidated subsidiaries and investments accounted for under equity method. Total assets of these subsidiaries amounted to \$98,683,803 thousand and \$77,435,886 thousand (including investments accounted for under equity method amounted to \$5,218,370 thousand and \$4,530,566 thousand), constituting 14.7% and 13.35% of consolidated total assets as of March 31, 2026 and 2025, respectively, total liabilities amounted to \$27,725,445 thousand and \$23,650,562 thousand, constituting 7.82% and 8.78% of consolidated total liabilities as of March 31, 2026 and 2025, respectively, and total comprehensive income amounted to \$1,385,665 thousand and \$1,115,819 thousand, constituting 6.73% and 8.43% of consolidated total comprehensive income for the three months ended March 31, 2026 and 2025, respectively. These amounts and the related information disclosed in the accompanying consolidated financial statements were based on the unreviewed financial statements of consolidated subsidiaries and investments accounted for under equity method.

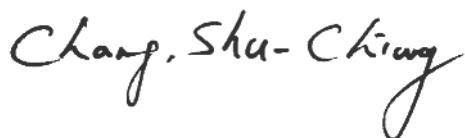
Qualified Conclusion

Based on our reviews and the reports of other independent auditors (please refer to other matter), except for the adjustments to the consolidated financial statements, if any, as might have been determined to be necessary had the financial statements of certain non-significant consolidated subsidiaries and investments accounted for under equity method been reviewed by independent auditors, that we might have become aware of had it not been for the situation described above, nothing has come to our attention that causes us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as of March 31, 2026 and 2025, and of its consolidated financial performance and its consolidated cash flows for the three months ended March 31, 2026 and 2025, in accordance with Regulations Governing the Preparations of Financial Reports by Securities Issuers and International Accounting Standard 34, Interim Financial Reporting that came into effect as endorsed by the Financial Supervisory Commission.

Other Matter – Reference to the reviews of other independent auditors

We did not review the financial statements of certain investments accounted for under equity method. Those financial statements were reviewed by other independent auditors whose reports thereon have been furnished to us and our conclusion expressed herein, insofar as it relates to the amounts included in the consolidated financial statements and information disclosed relative to these investments, is based solely on the reports of other independent auditors. These investments accounted for under equity method amounted to \$4,275,422 thousand and \$4,511,087 thousand, constituting 0.64% and 0.78% of consolidated total assets as of March 31, 2026 and 2025, respectively, and total

comprehensive income amounted to \$26,082 thousand and \$27,079 thousand, constituting 0.13% and 0.20% of consolidated total comprehensive income for the three months ended March 31, 2026 and 2025, respectively.



Chang, Shu-Chiung



Hsu, Sheng-Chung

For and on Behalf of PricewaterhouseCoopers, Taiwan

May 12, 2026

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

As the financial statements are the responsibility of the management, PricewaterhouseCoopers cannot accept any liability for the use of, or reliance on, the English translation or for any errors or misunderstandings that may derive from the translation.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
MARCH 31, 2026, DECEMBER 31, 2025 AND MARCH 31, 2025
(EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS)

ASSETS	NOTES	MARCH 31, 2026		DECEMBER 31, 2025		MARCH 31, 2025	
		AMOUNT	%	AMOUNT	%	AMOUNT	%
<u>Current assets</u>							
Cash and cash equivalents	6(1)	\$ 57,955,263	9	\$ 90,078,729	14	\$ 111,545,318	19
Financial assets at fair value through profit or loss – current	6(2) and 8	1,273,484	-	841,631	-	1,613,845	-
Financial assets at fair value through other comprehensive income – current	6(3)	1,757,531	-	1,598,265	-	566,611	-
Financial assets at amortized cost – current	6(4) and 8	4,937,512	1	6,674,054	1	6,595,828	1
Derivative financial assets for hedging – current	6(5)	665,840	-	67,310	-	29,081	-
Notes receivable	6(6)	8,140,535	1	5,462,514	1	8,027,113	2
Trade receivables	6(6)(7)(8) and 7	129,496,853	19	133,864,332	21	102,529,505	18
Other receivables	7	1,529,807	-	1,130,391	-	1,542,880	-
Inventories	6(9)	260,837,662	39	197,642,474	32	155,497,676	27
Prepayments		18,866,523	3	15,739,194	3	14,745,859	3
Other current assets	8	396,638	-	734,911	-	681,610	-
Total current assets		485,857,648	72	453,833,805	72	403,375,326	70
<u>Non-current assets</u>							
Financial assets at fair value through profit or loss – non-current	6(2)	1,969,361	-	1,739,625	-	717,279	-
Financial assets at fair value through other comprehensive income – non-current	6(3)	77,662,982	12	71,476,968	11	86,294,383	15
Financial assets at amortized cost – non-current	6(4) and 8	141,540	-	141,540	-	4,067,398	1
Investments accounted for under equity method	6(10)	31,126,915	5	30,891,601	5	31,103,523	5
Property, plant and equipment	6(11) and 8	21,268,897	3	21,358,916	3	21,226,057	4
Right-of-use assets	6(12)	2,156,597	-	2,177,190	-	2,104,753	-
Investment property		8,983,043	1	8,897,562	2	8,725,781	1
Intangible assets	6(13)	13,229,075	2	13,282,961	2	2,928,045	1
Deferred income tax assets		24,353,815	4	23,390,110	4	16,675,838	3
Other non-current assets	8 and 9	4,691,825	1	4,466,441	1	2,877,380	-
Total non-current assets		185,584,050	28	177,822,914	28	176,720,437	30
<u>TOTAL ASSETS</u>		\$ 671,441,698	100	\$ 631,656,719	100	\$ 580,095,763	100

(Continued)

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
MARCH 31, 2026, DECEMBER 31, 2025 AND MARCH 31, 2025
(EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS)

LIABILITIES AND EQUITY	NOTES	MARCH 31, 2026		DECEMBER 31, 2025		MARCH 31, 2025	
		AMOUNT	%	AMOUNT	%	AMOUNT	%
<u>Current liabilities</u>							
Short-term borrowings	6(14)(30) and 8	\$ 41,417,377	6	\$ 29,681,710	5	\$ 28,279,629	5
Financial liabilities at fair value through profit or loss – current	6(2)	32,654	-	404,581	-	549,895	-
Derivative financial liabilities for hedging – current	6(5)	8,637	-	166,431	-	634,452	
Contract liabilities – current	6(23)	2,248,351	1	5,474,941	1	3,345,307	-
Notes and trade payables	6(8) and 7	134,382,902	20	119,583,720	19	82,768,149	14
Other payables – accrued expenses	7	45,645,713	7	51,792,676	8	41,317,773	7
Current income tax liabilities		22,350,959	3	19,297,179	3	12,307,900	2
Provisions for liabilities – current	6(17) and 9	35,403,419	5	34,580,419	6	33,476,530	6
Lease liabilities – current	6(30)	574,433	-	505,387	-	480,406	-
Current portion of long-term borrowings	6(15)(30)	70,876	-	72,907	-	91,497	-
Refund liabilities – current	6(18)	39,053,126	6	39,740,284	6	33,566,094	6
Other current liabilities	7	6,439,012	1	6,046,748	1	4,605,937	1
Total current liabilities		327,627,459	49	307,346,983	49	241,423,569	41
<u>Non-current liabilities</u>							
Long-term borrowings	6(15)(30) and 8	275,376	-	293,123	-	346,253	-
Deferred income tax liabilities		22,102,026	3	21,752,011	3	23,636,609	4
Lease liabilities – non-current	6(30)	1,104,033	-	1,216,377	-	1,224,189	-
Other non-current liabilities	6(16)(23)	3,602,792	1	3,485,028	1	2,865,835	1
Total non-current liabilities		27,084,227	4	26,746,539	4	28,072,886	5
Total liabilities		354,711,686	53	334,093,522	53	269,496,455	46
<u>Equity attributable to shareholders of the parent</u>							
Share capital – common shares	6(19)	7,427,603	1	7,427,603	1	7,427,603	1
Capital surplus	6(20)	16,682,557	3	17,376,367	3	16,834,828	3
Retained earnings	6(21)						
Legal reserve		50,230,919	7	50,230,919	8	47,046,433	8
Special reserve		693,928	-	693,928	-	693,928	-
Unappropriated retained earnings		160,876,072	24	151,079,055	24	147,652,008	26
Other equity interest	6(3)(5)(22)	50,978,282	8	41,489,046	6	62,293,286	11
Total equity attributable to shareholders of the parent		286,889,361	43	268,296,918	42	281,948,086	49
Non-controlling interests		29,840,651	4	29,266,279	5	28,651,222	5
Total equity		316,730,012	47	297,563,197	47	310,599,308	54
<u>TOTAL LIABILITIES AND EQUITY</u>		\$ 671,441,698	100	\$ 631,656,719	100	\$ 580,095,763	100

The accompanying notes are an integral part of these consolidated financial statements.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
THREE MONTHS ENDED MARCH 31, 2026 AND 2025
(EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS, EXCEPT EARNINGS PER SHARE IN NEW TAIWAN DOLLARS)

ITEMS	NOTES	THREE MONTHS ENDED MARCH 31			
		2026		2025	
		AMOUNT	%	AMOUNT	%
Operating revenue	6(23) and 7	\$ 208,369,726	100	\$ 147,693,211	100
Operating (costs)	6(9)(11)(12)(13)(16)(17)(26) (27), 7 and 9	(177,399,188)	(85)	(123,090,086)	(84)
Gross profit		30,970,538	15	24,603,125	16
Unrealized (gain) loss from sales		(1,443)	-	(3,259)	-
Gross profit		30,969,095	15	24,599,866	16
Operating (expenses)	6(11)(12)(13)(16)(17)(26)(27), 7 and 9				
Selling (expenses)		(8,988,315)	(4)	(9,176,747)	(6)
General and administrative (expenses)		(2,976,437)	(2)	(2,830,394)	(2)
Research and development (expenses)		(6,763,754)	(3)	(5,556,712)	(4)
Expected credit impairment (losses) gains	12(2)	(344,730)	-	5,543,544	4
Total operating (expenses)		(19,073,236)	(9)	(12,020,309)	(8)
Operating profit (loss)		11,895,859	6	12,579,557	8
Non-operating income and (expenses)					
Interest income	6(3)(4)	751,912	-	1,009,267	1
Other income	6(3)(24)	80,475	-	71,776	-
Other gains (losses)	6(2)(4)(5)(11)(12)(25)	148,190	-	1,804,092	1
Finance (costs)	6(12)	(282,093)	-	(219,279)	-
Share of profit (loss) of associates and joint ventures accounted for under equity method	6(10)	1,265,265	1	1,098,414	1
Total non-operating income and (expenses)		1,963,749	1	3,764,270	3
Profit (Loss) before income tax		13,859,608	7	16,343,827	11
Income tax (expenses) benefit	6(28)	(2,702,804)	(1)	(2,685,515)	(2)
Profit (Loss) for the period		\$ 11,156,804	6	\$ 13,658,312	9
Other comprehensive income (loss)					
Items that will not be reclassified to profit or (loss)					
Unrealized gains (losses) from investments in equity instruments measured at fair value through other comprehensive income	6(3)(22)	\$ 6,606,747	3	(\$ 1,037,482)	(1)
Share of other comprehensive income (loss) of associates and joint ventures accounted for under equity method	6(10)(22)	115,336	-	(237,035)	-
Income tax (expense) benefit relating to items that will not be reclassified to profit or loss	6(22)(28)	21,420	-	59,392	-
Items that will be reclassified to profit or (loss)					
Financial statements translation differences of foreign operations	6(22)	2,731,455	1	2,363,780	2
Unrealized gains (losses) from investments in debt instruments measured at fair value through other comprehensive income		(56,364)	-	54,690	-
Gains (losses) on hedging instrument	6(5)(22)	756,324	-	(1,445,082)	(1)
Share of other comprehensive income (loss) of associates and joint ventures accounted for under equity method	6(10)(22)	(208,843)	-	290,877	-
Income tax (expense) benefit relating to items that will be reclassified to profit or loss	6(22)(28)	(521,225)	-	(470,685)	-
Other comprehensive income (loss) for the period		\$ 9,444,850	4	(\$ 421,545)	-
Total comprehensive income (loss) for the period		\$ 20,601,654	10	\$ 13,236,767	9
Profit (loss) attributable to:					
Shareholders of the parent		\$ 9,797,017	5	\$ 12,790,597	9
Non-controlling interests		1,359,787	1	867,715	-
		\$ 11,156,804	6	\$ 13,658,312	9
Total comprehensive income (loss) attributable to:					
Shareholders of the parent		\$ 19,286,253	9	\$ 12,357,098	8
Non-controlling interests		1,315,401	1	879,669	1
		\$ 20,601,654	10	\$ 13,236,767	9
Earnings (loss) per share:					
Basic earnings (loss) per share	6(29)	\$ 13.19		\$ 17.22	
Diluted earnings (loss) per share	6(29)	\$ 13.09		\$ 17.12	

The accompanying notes are an integral part of these consolidated financial statements.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
THREE MONTHS ENDED MARCH 31, 2026 AND 2025
(EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS)

	Equity attributable to owners of the parent											Total equity
	Retained Earnings					Other Equity Interest						
	Common shares	Capital surplus	Legal reserve	Special reserve	Unappropriated retained earnings	Financial statements translation differences of foreign operations	Unrealized gains (losses) from financial assets measured at fair value through other comprehensive income	Gains (losses) on hedging instruments	Remeasurements of defined benefit plan	Total	Non-controlling interests	
<u>Three months ended March 31, 2026</u>												
Balance at January 1, 2026	\$ 7,427,603	\$ 17,376,367	\$ 50,230,919	\$ 693,928	\$151,079,055	\$ 1,669,551	\$ 40,061,332	(\$ 183,066)	(\$ 58,771)	\$ 268,296,918	\$ 29,266,279	\$ 297,563,197
Profit for the period	-	-	-	-	9,797,017	-	-	-	-	9,797,017	1,359,787	11,156,804
Other comprehensive income (loss) for the period	-	-	-	-	-	2,086,463	6,647,661	756,324	(1,212)	9,489,236	(44,386)	9,444,850
Change in associates and joint ventures accounted for under equity method	-	(400,727)	-	-	-	-	-	-	-	(400,727)	-	(400,727)
Difference between consideration and carrying amount of subsidiaries acquired or disposed	-	1	-	-	-	-	-	-	-	1	-	1
Recognition of changes in ownership interest in subsidiaries	-	(293,084)	-	-	-	-	-	-	-	(293,084)	-	(293,084)
Non-controlling interests	-	-	-	-	-	-	-	-	-	-	(741,029)	(741,029)
Balance at March 31, 2026	<u>\$ 7,427,603</u>	<u>\$ 16,682,557</u>	<u>\$ 50,230,919</u>	<u>\$ 693,928</u>	<u>\$160,876,072</u>	<u>\$ 3,756,014</u>	<u>\$ 46,708,993</u>	<u>\$ 573,258</u>	<u>(\$ 59,983)</u>	<u>\$ 286,889,361</u>	<u>\$ 29,840,651</u>	<u>\$ 316,730,012</u>
<u>Three months ended March 31, 2025</u>												
Balance at January 1, 2025	\$ 7,427,603	\$ 16,783,484	\$ 47,046,433	\$ 693,928	\$134,888,504	\$ 5,155,882	\$ 56,823,384	\$ 755,766	(\$ 35,340)	\$ 269,539,644	\$ 27,657,874	\$ 297,197,518
Profit for the period	-	-	-	-	12,790,597	-	-	-	-	12,790,597	867,715	13,658,312
Other comprehensive income (loss) for the period	-	-	-	-	-	2,007,684	(996,101)	(1,445,082)	-	(433,499)	11,954	(421,545)
Change in associates and joint ventures accounted for under equity method	-	45,853	-	-	-	-	-	-	-	45,853	-	45,853
Difference between consideration and carrying amount of subsidiaries acquired or disposed	-	39	-	-	-	-	-	-	-	39	-	39
Recognition of changes in ownership interest in subsidiaries	-	5,282	-	-	-	-	-	-	-	5,282	-	5,282
Non-controlling interests	-	-	-	-	-	-	-	-	-	-	113,679	113,679
Disposal of financial assets at fair value through other comprehensive income	-	-	-	-	(27,093)	-	27,093	-	-	-	-	-
Reorganization	-	170	-	-	-	-	-	-	-	170	-	170
Balance at March 31, 2025	<u>\$ 7,427,603</u>	<u>\$ 16,834,828</u>	<u>\$ 47,046,433</u>	<u>\$ 693,928</u>	<u>\$147,652,008</u>	<u>\$ 7,163,566</u>	<u>\$ 55,854,376</u>	<u>(\$ 689,316)</u>	<u>(\$ 35,340)</u>	<u>\$ 281,948,086</u>	<u>\$ 28,651,222</u>	<u>\$ 310,599,308</u>

The accompanying notes are an integral part of these consolidated financial statements.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
THREE MONTHS ENDED MARCH 31, 2026 AND 2025
(EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS)

	<u>THREE MONTHS ENDED</u>	
	<u>MARCH 31, 2026</u>	<u>MARCH 31, 2025</u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit before tax	\$ 13,859,608	\$ 16,343,827
Income and expense that result in non-cash flows		
Depreciation (including investment property and right-of-use assets)	597,987	583,344
Amortization	256,997	182,382
Expected credit impairment (gains) losses	344,730	(5,543,544)
Net (gains) losses on financial assets or liabilities at fair value through profit or loss	(396,706)	348,569
Share of profit of associates and joint ventures accounted for under equity method	(1,265,265)	(1,098,414)
Interest income	(751,912)	(1,009,267)
Interest expense	282,093	219,279
Others	74,779	(2,614)
Changes in operating assets and liabilities		
Financial assets at fair value through profit or loss	384,048	1,493,328
Notes receivable	(2,684,346)	(135,699)
Trade receivables	3,988,007	2,128,672
Other receivables	(311,862)	(147,958)
Inventories	(63,195,188)	(2,877,999)
Prepayments	(2,196,130)	413,305
Other current assets	262,138	(310,413)
Financial liabilities at fair value through profit or loss	(1,004,740)	(301,301)
Contract liabilities	(3,033,094)	1,129,584
Notes and trade payables	14,799,182	8,771,171
Other payables - accrued expenses	(6,094,145)	(2,862,047)
Provisions for liabilities	841,246	19,946
Refund liabilities	(687,158)	(2,590,099)
Other current liabilities	496,827	(993,964)
Other operating liabilities	(5,867)	(14,349)
Receipt of interest	743,594	949,328
Payment of interest	(251,785)	(200,679)
Payment of income tax	(1,648,772)	(1,287,710)
Net cash flows provided by (used in) operating activities	(46,595,734)	13,206,678
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of financial assets at fair value through other comprehensive income	(289,314)	(4,749)
Proceeds from disposal of financial assets at fair value through other comprehensive income	589,577	61
Acquisition of financial assets at amortized cost	(85,089)	(248,854)
Proceeds from disposal of financial assets at amortized cost	1,952,842	687,398
Acquisition of property, plant and equipment	(311,977)	(465,554)
Acquisition of intangible assets	(240,035)	(175,895)
Changes in other non-current assets	(246,929)	(365,786)
Others	(17,873)	(31,861)
Net cash flows provided by (used in) investing activities	1,351,202	(605,240)
CASH FLOWS FROM FINANCING ACTIVITIES		
Increase (decrease) in short-term borrowings	11,635,464	3,015,689
Repayments of long-term borrowings	(19,778)	(23,892)
Redemption of lease liabilities	(155,009)	(156,080)
Changes in non-controlling interests	(527,605)	-
Others	(97,081)	18,398
Net cash flows provided by (used in) financing activities	10,835,991	2,854,115
Effects due to changes in exchange rate	2,285,075	2,051,773
Net increase (decrease) in cash and cash equivalents	(32,123,466)	17,507,326
Cash and cash equivalents at beginning of period	90,078,729	94,037,992
Cash and cash equivalents at end of period	\$ 57,955,263	\$ 111,545,318

The accompanying notes are an integral part of these consolidated financial statements.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
THREE MONTHS ENDED MARCH 31, 2026 AND 2025
(EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS,
EXCEPT AS OTHERWISE INDICATED)

1. HISTORY AND ORGANIZATION

- (1) ASUSTEK COMPUTER INC. (ASUS or the Company) was established in the Republic of China (R.O.C.). The Company is primarily engaged in the design, R&D and sales of 3C products (including PCs, main boards, other boards and cards, smart phones and other handheld devices, etc.).
- (2) The Company resolved to spin-off its OEM businesses on January 1, 2008. Pursuant to the Company's resolution, the Company transferred its computer OEM, design and manufacture of computer cases and molds and non-computer OEM businesses to its spun-off subsidiaries, PEGATRON CORPORATION (PEGATRON) and UNIHAN CORPORATION, respectively. On June 1, 2010, however, the Company transferred further its OEM assets and business (the Company's investments accounted for under equity method in PEGATRON) to the Company's another investee, PEGATRON INTERNATIONAL INVESTMENT CO. LTD. (PII). PII issued new shares to the Company and its shareholders as consideration. On April 29, 2013, the Company disposed the partial shares of PEGATRON and reduced the ownership percentage to less than 20%.

2. THE DATE OF AUTHORIZATION FOR ISSUANCE OF THE CONSOLIDATED FINANCIAL STATEMENTS AND PROCEDURES FOR AUTHORIZATION

These consolidated financial statements were authorized for issuance by the Board of Directors and issued on May 12, 2026.

3. APPLICATION OF NEW STANDARDS, AMENDMENTS AND INTERPRETATIONS

- (1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards ("IFRS®") Accounting Standards that came into effect as endorsed by the Financial Supervisory Commission ("FSC")

New standards, interpretations and amendments endorsed by the FSC and became effective from 2026 are as follows:

New Standards, Interpretations and Amendments	Effective date by International Accounting Standards Board
Specific provisions of Amendments to IFRS 9 and IFRS 7, ‘Amendments to the classification and measurement of financial instruments’	January 1, 2026
Amendments to IFRS 9 and IFRS 7, ‘Contracts referencing nature- dependent electricity’	January 1, 2026
IFRS 17, ‘Insurance contracts’	January 1, 2023
Amendments to IFRS 17, ‘Insurance contracts’	January 1, 2023
Amendment to IFRS 17, ‘Initial application of IFRS 17 and IFRS 9 – comparative information’	January 1, 2023
Annual Improvements to IFRS Accounting Standards—Volume 11	January 1, 2026

Except for the following, the above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

Specific provisions of Amendments to IFRS 9 and IFRS 7, ‘Amendments to the classification and measurement of financial instruments’

These amendments require an entity to update the disclosures for equity instruments designated at fair value through other comprehensive income. The entity shall disclose the fair value of each class of investment and is no longer required to disclose the fair value of each investment. In addition, the amendments require the entity to disclose the fair value gain or loss presented in other comprehensive income during the period, showing separately the fair value gain or loss related to investments derecognized during the reporting period and the fair value gain or loss related to investments held at the end of the reporting period; and any transfers of the cumulative gain or loss within equity during the reporting period related to the investments derecognized during that reporting period.

(2) Effect of new issuances of or amendments to IFRS Accounting Standards as endorsed by the FSC but not yet adopted by the Group

None.

(3) IFRS Accounting Standards issued by International Accounting Standards Board but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRS Accounting Standards as endorsed by the FSC are as follows:

New Standards, Interpretations and Amendments	Effective date by International Accounting Standards Board
Amendments to IFRS 10 and IAS 28, 'Sale or contribution of assets between an investor and its associate or joint venture'	To be determined by International Accounting Standards Board
IFRS 18, 'Presentation and disclosure in financial statements'	January 1, 2027 (Note)
IFRS 19, 'Subsidiaries without public accountability: disclosures'	January 1, 2027
Amendments to IAS 21, 'Translation to a Hyperinflationary Presentation Currency'	January 1, 2027

Note : The FSC has announced in a press release on September 25, 2025 that public companies will apply IFRS 18 starting from the fiscal year 2028. Additionally, entities can choose to adopt IFRS 18 earlier based on their requirements after the FSC endorses IFRS 18.

Except for the following, the above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

IFRS 18, 'Presentation and disclosure in financial statements'

IFRS 18, 'Presentation and disclosure in financial statements' replaces IAS 1. The standard introduces a defined structure of the statement of profit or loss, disclosure requirements related to management-defined performance measures, and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes.

4. **SUMMARY OF MATERIAL ACCOUNTING POLICIES**

The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

These consolidated financial statements of the Group have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and IAS 34, "Interim Financial Reporting" that came into effect as endorsed by the FSC.

(2) Basis of preparation

A. Except for the following significant items, these consolidated financial statements have been prepared under the historical cost convention:

(A) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.

(B) Financial assets at fair value through other comprehensive income.

(C) Defined benefit liabilities recognized at the net amount of pension fund assets less present value of defined benefit obligation.

- B. The critical accounting estimates and assumptions used in preparation of financial statements and the critical judgements in applying the Group's accounting policies are disclosed in Note 5.

(3) Basis of consolidation

A. Basis for preparation of consolidated financial statements

- (A) All subsidiaries are included in the Group's consolidated financial statements. Subsidiaries are all entities (including structured entities) controlled by the Group. The Group controls an entity when the Group is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Consolidation of subsidiaries begins from the date the Group obtains control of the subsidiaries and ceases when the Group loses control of the subsidiaries.
- (B) Inter-company transactions, balances and unrealized gains or losses on transactions between companies within the Group are eliminated. Accounting policies of subsidiaries have been adjusted where necessary to ensure consistency with the policies adopted by the Group.
- (C) Profit or loss and each component of other comprehensive income are attributed to the owners of the parent and to the non-controlling interests.
- (D) Changes in a parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary (transactions with non-controlling interests) are accounted for as equity transactions, i.e. transactions with owners in their capacity as owners. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognized directly in equity.
- (E) When the Group loses control of a subsidiary, the Group remeasures any investment retained in the former subsidiary at its fair value. That fair value is regarded as the fair value on initial recognition of a financial asset or the cost on initial recognition of the associate or joint venture. Any difference between fair value and carrying amount is recognized in profit or loss. All amounts previously recognized in other comprehensive income in relation to the subsidiary are reclassified to profit or loss, on the same basis as would be required if the related assets or liabilities were disposed of. That is, when the Group loses control of a subsidiary, all gains or losses previously recognized in other comprehensive income in relation to the subsidiary should be reclassified from equity to profit or loss, if such gains or losses would be reclassified to profit or loss when the related assets or liabilities are disposed of.

B. Subsidiaries included in the consolidated financial statements:

Investor	Subsidiary	Main business activities	Ownership (%)			Remark
			March 31, 2026	December 31, 2025	March 31, 2025	
ASUS	ASUS COMPUTER INTERNATIONAL (ACI)	Selling of 3C products in North America	100.00	100.00	100.00	
ASUS	ASUS TECHNOLOGY INCORPORATION (ASUTC)	Selling of 3C products in Taiwan	100.00	100.00	100.00	
ASUS	ASUS HOLLAND B. V. (ACH)	Repairing of 3C products	100.00	100.00	100.00	
ASUS	ASUS INTERNATIONAL LIMITED (AIL)	Investing of 3C and computer peripheral business	100.00	100.00	100.00	
ASUS	ASUS GLOBAL PTE. LTD. (ASGL)	Selling of 3C products	100.00	100.00	100.00	
ASUS	ASUS CLOUD CORPORATION (ASUSCLOUD)	Selling of internet services	96.53	96.53	96.53	
ASUS	ASUS TECHNOLOGY LICENSING (ATL)	Researching, developing and authorizing of communication technology	100.00	100.00	100.00	
ASUS	ASUS METAVERSE INC. (AMV)	Selling of metaverse services	100.00	100.00	100.00	
ASUS	ASUS LIFE CORPORATION (ASUSLC)	Selling of internet information services	90.00	90.00	90.00	
ASUS	ASKEY COMPUTER CORP. (ASKEY)	Designing, manufacturing, repairing and selling of communication products and computer peripheral spare parts	100.00	100.00	100.00	
ASUS	HUA-CHENG VENTURE CAPITAL CORP. (HCVC)	Investing of computer peripheral business	100.00	100.00	100.00	
ASUS	HUA-MIN INVESTMENT CO., LTD. (HMI)	Investing of computer peripheral business	100.00	100.00	100.00	
ASUS	QUANTUM CLOUD INTERNATIONAL PTE. LTD. (QCI)	Selling of information technology services	100.00	100.00	100.00	
ASUS	JINSHUO CULTURAL DIFFUSION CO., LTD. (JSCD)	Participating and promoting of professional eSports	100.00	100.00	100.00	
ASUS	UNIMAX ELECTRONICS INCORPORATION (UEI)	Manufacturing and selling of automotive electronics and computer peripherals	100.00	100.00	100.00	
ASUS	DATASUS COMPUTER INC. (DATASUS)	Investing of industrial server peripheral products business	100.00	100.00	100.00	
ASUS	ASUS TECH USA (ATUS)	Researching and developing of 3C products	100.00	100.00	100.00	
ASUS	TAIWAN HEALTH AND BIO DATABANK TECHNOLOGY INC. (THBDT)	Selling of medical data integration and analytics	65.00	65.00	100.00	
ASUS	MEDUS TECHNOLOGY INC. (MEDUS)	Selling of information system services	100.00	100.00	100.00	

Investor	Subsidiary	Main business activities	Ownership (%)			Remark
			March 31, 2026	December 31, 2025	March 31, 2025	
ASUS and HCVC	SHINEWAVE INTERNATIONAL INC. (SWI)	Researching, developing and selling of information system software	51.00	51.00	51.00	
ASUS and HCVC	INTERNATIONAL UNITED TECHNOLOGY CO., LTD. (TAIWAN) (IUT)	Researching, developing, manufacturing and selling of ink-jet print heads and ink-jet digital image output technology	69.25	69.25	69.25	
ASUS and HCVC	PT. ASUS TECHNOLOGY INDONESIA BATAM (ACBT)	Selling of 3C products in Indonesia	100.00	100.00	100.00	
ASUS and HCVC	PT. ASUS TECHNOLOGY INDONESIA JAKARTA (ACJK)	Selling of 3C products in Indonesia	100.00	100.00	100.00	
ASUS and HCVC	SHINYOPTICS CORP. (SHINYOPTICS)	Researching, developing, manufacturing and selling of virtual image optical engines and vehicle head-up displays	90.04	90.04	90.04	
ASUS and ASTP	ASUS TECHNOLOGY PRIVATE LIMITED (ACIN)	Supporting and repairing of 3C products in India	100.00	100.00	100.00	
ASUS and ASTP	ASUS INDIA PRIVATE LIMITED (ASIN)	Selling of 3C products in India	100.00	100.00	100.00	
ASUS and ASUSCLOUD	TAIWAN AI CLOUD CORPORATION (TWS)	Selling of AI computing services	74.18	74.18	85.71	Note
ASUS, HCVC and HMI	ASMEDIA TECHNOLOGY INC. (ASMEDIA)	Designing, researching, developing and manufacturing of high-speed analog circuit	42.82	42.56	42.58	
ASUS, HCVC and HMI	AAEON TECHNOLOGY INC. (AAEON)	Manufacturing and selling of industrial computers and computer peripherals	37.46	37.46	37.46	
ASUS, HMI and AAEON	ONYX HEALTHCARE INC. (ONYX)	Designing, manufacturing and selling of medical computers	53.90	53.91	53.98	Note
ASUS, HCVC and ASUSCLOUD	ASUS MAAS CORPORATION (ASUSMAAS)	Researching, developing and selling of smart parking system and charging piles	100.00	100.00	100.00	Note
HMI GROUP	JOGEEK TECHNOLOGY LIMITED (JOGEEK)	Selling and repairing of information software and electronic information materials	100.00	100.00	100.00	
SWI GROUP	EMES (SUZHOU) CO., LTD. (EMES)	Selling of information system software	100.00	100.00	100.00	
ASKEY GROUP	ASKEY INTERNATIONAL CORP. (ASKEYI)	Selling, repairing and supporting of communication products	100.00	100.00	100.00	
ASKEY GROUP	DYNALINK INTERNATIONAL CORP. (DIC)	Investing of communication business	100.00	100.00	100.00	
ASKEY GROUP	MAGIC INTERNATIONAL CO., LTD. (MIC)	Investing of communication business	100.00	100.00	100.00	
ASKEY GROUP	MAGICOM INTERNATIONAL CORP. (MAGICOM)	Investing of communication business	100.00	100.00	100.00	

Investor	Subsidiary	Main business activities	Ownership (%)			Remark
			March 31, 2026	December 31, 2025	March 31, 2025	
ASKEY GROUP	YANG XU ELECTRONIC TECHNOLOGY (SHANGHAI) LTD. (ASKEYSH)	Researching, developing and selling of communication products	100.00	100.00	100.00	
ASKEY GROUP	ASKEY TECHNOLOGY (JIANGSU) LTD. (ASKEYJS)	Manufacturing and selling of communication products	100.00	100.00	100.00	
ASKEY GROUP	WISE ACCESS (HK) LIMITED (WISE)	Investing of communication business	100.00	100.00	100.00	
ASKEY GROUP	ASKEY COMMUNICATION SAS (ASKEYFR)	Selling and supporting of communication products	100.00	100.00	100.00	
ASKEY GROUP	ASKEY COMMUNICATION GMBH (ASKEYCG)	Selling and supporting of communication products	100.00	100.00	100.00	
ASKEY GROUP	ASKEY DO BRASIL TECNOLOGIA LTDA. (ASKEYBR)	Selling and supporting of communication products	100.00	100.00	100.00	
ASKEY GROUP	ASKEY CORPORATION (THAILAND) CO., LTD. (ASKEYTH)	Selling and supporting of communication products	100.00	100.00	100.00	
ASKEY GROUP	ASKEY JAPAN CO., LTD. (ASKEYJP)	Selling and supporting of communication products	100.00	100.00	100.00	
ASKEY GROUP	ASKEY DIGITAL TECHNOLOGY CORP. (ASKEYDT)	Selling and supporting of communication products	100.00	100.00	100.00	
ASKEY GROUP	WONDALINK INC. (WONDA)	Manufacturing and designing of wired and wireless communication, electronic parts products, etc.	100.00	100.00	100.00	
ASKEY GROUP	ASKEYUK CO. LIMITED (ASKEYUK)	Selling and supporting of communication products	100.00	100.00	100.00	
ASKEY GROUP	DYNALINK NETWORK SOLUTIONS S. A. DE C. V. (DNS)	Selling and supporting of communication products	100.00	100.00	100.00	
ASKEY GROUP	ASKEY TECHNOLOGY (VIET NAM) COMPANY LIMITED (ASKEYVNB)	Manufacturing and selling of communication products	100.00	100.00	100.00	
ASMEDIA GROUP	TECHPOINT, INC. (TECHPOINT)	Selling of semiconductor IC chip	100.00	100.00	-	
ASMEDIA GROUP	HSIANG-FENG INVESTMENT CO., LTD. (HSFI)	Investing of computer peripheral business	100.00	-	-	
TECHPOINT GROUP	TECHPOINT JAPAN K.K. (TECHJP)	Designing, researching and developing of semiconductor IC chip	100.00	100.00	-	
TECHPOINT GROUP	TECHPOINT TECHNOLOGY (SHENZHEN) CO., LTD. (TECHSZ)	Designing, researching and developing of semiconductor IC chip	100.00	100.00	-	
AAEON GROUP	AAEON ELECTRONICS, INC. (AAEONEI)	Selling of industrial computers and computer peripherals	100.00	100.00	100.00	
AAEON GROUP	AAEON TECHNOLOGY CO., LTD. (AAEONTCL)	Investing of industrial computers and interface cards business	100.00	100.00	100.00	
AAEON GROUP	AAEON TECHNOLOGY (EUROPE) B. V. (AAEONEU)	Selling of industrial computers and computer peripherals	100.00	100.00	100.00	

Investor	Subsidiary	Main business activities	Ownership (%)			Remark
			March 31, 2026	December 31, 2025	March 31, 2025	
AAEON GROUP	AAEON TECHNOLOGY GMBH (AAEONG)	Selling of industrial computers and computer peripherals	100.00	100.00	100.00	
AAEON GROUP	AAEON INVESTMENT CO., LTD. (AAEONI)	Investing of industrial computers and computer peripheral business	100.00	100.00	100.00	
AAEON GROUP	AAEON TECHNOLOGY SINGAPORE PTE. LTD. (AAEONSG)	Selling of industrial computers and computer peripherals	100.00	100.00	100.00	
AAEON GROUP	AAEON TECHNOLOGY (SUZHOU) INC. (AAEONSZ)	Manufacturing and selling of industrial computers and interface cards	100.00	100.00	100.00	
AAEON GROUP	JETWAY INFORMATION CO., LTD.(JETWAY)	Manufacturing and selling of industrial motherboard and computer peripherals	35.29	35.29	35.29	
ONYX GROUP	ONYX HEALTHCARE USA, INC. (ONYXHU)	Selling of medical computers and peripherals	100.00	100.00	100.00	
ONYX GROUP	ONYX HEALTHCARE EUROPE B. V. (ONYXHE)	Marketing supporting and repairing of medical computers and peripherals	100.00	100.00	100.00	
ONYX GROUP	ONYX HEALTHCARE (SHANGHAI) LTD. (ONYXSH)	Selling of medical computers and peripherals	100.00	100.00	100.00	
ONYX GROUP	IHELPER INC. (IHELPER)	Researching, developing and selling of medical robots	46.00	46.00	46.00	
JETWAY GROUP	JET WAY COMPUTER CORP. (JETWAYUS)	Selling and repairing of computer peripheral equipment	100.00	100.00	100.00	
JETWAY GROUP	JET WAY COMPUTER B.V. (JETWAYNL)	Selling and repairing of computer peripheral equipment	100.00	100.00	100.00	
JETWAY GROUP	JET WAY (FAR EAST) INFORMATION COMPANY LIMITED (JETWAYFE)	Investing of computer peripheral business	100.00	100.00	100.00	
JETWAY GROUP	TOP NOVEL ENTERPRISE CORP. (TOPNOVEL)	Investing of computer peripheral business	100.00	100.00	100.00	
JETWAY GROUP	SCORETIME INVESTMENT LIMITED (SCORETIME)	Investing of computer peripheral business	-	100.00	100.00	
JETWAY GROUP	CANDID INTERNATIONAL CORP. (CANDID)	Investing of computer peripheral business	100.00	100.00	100.00	
JETWAY GROUP	FUJIAN CANDID INTERNATIONAL CO., LTD. (FUJIAN)	Manufacturing and selling of computer and peripheral equipment	100.00	100.00	100.00	
ASUSCLOUD GROUP	ASUS CLOUD SINGAPORE PTE. LTD. (ASUSCLOUDSG)	Investing of internet service business	-	-	100.00	
ASUSCLOUD GROUP	ASUS CLOUD (LUXEMBOURG) S. A R. L. (ASUSCLOUDLB)	Selling of information hardware maintenance and operation services	-	-	100.00	

Investor	Subsidiary	Main business activities	Ownership (%)			Remark
			March 31, 2026	December 31, 2025	March 31, 2025	
JSCD GROUP	JINRUO CULTURAL DIFFUSION CO., LTD. (JRCD)	Participating and promoting of professional eSports	100.00	100.00	100.00	
DATASUS GROUP	DATASUS COMPUTER AMERICA (DATASUSUS)	Manufacturing and selling of industrial server peripheral products	100.00	100.00	100.00	
AIL GROUP	CHANNEL PILOT LIMITED (CHANNEL)	Investing of 3C business	100.00	100.00	100.00	
AIL GROUP	ASUS TECHNOLOGY PTE. LIMITED (ASTP)	Investing of 3C business	100.00	100.00	100.00	
AIL GROUP	ASUS MIDDLE EAST FZCO (ACAE)	Supporting and repairing of 3C products in Middle East	100.00	100.00	100.00	
AIL GROUP	ASUS EGYPT L. L. C. (ACEG)	Supporting of 3C products in Egypt	100.00	100.00	100.00	
AIL GROUP	ASUS COMPUTER GMBH (ACG)	Selling and supporting of 3C products in Germany	100.00	100.00	100.00	
AIL GROUP	ASUS FRANCE SARL (ACF)	Supporting of 3C products in France	100.00	100.00	100.00	
AIL GROUP	ASUSTEK (UK) LIMITED (ACUK)	Supporting of 3C products in United Kingdom	100.00	100.00	100.00	
AIL GROUP	ASUS TECHNOLOGY (HONG KONG) LIMITED (ACHK)	Supporting and repairing of 3C products in Hong Kong	100.00	100.00	100.00	
AIL GROUP	ASUS KOREA CO., LTD. (ACKR)	Supporting and repairing of 3C products in South Korea	100.00	100.00	100.00	
AIL GROUP	ASUS POLSKA SP. Z O. O. (ACPL)	Supporting of 3C products in Poland	100.00	100.00	100.00	
AIL GROUP	ASUS EUROPE B.V. (ACNL)	Selling of 3C products	100.00	100.00	100.00	
AIL GROUP	ASUS TECHNOLOGY (VIETNAM) CO., LTD. (ACVN)	Supporting and repairing of 3C products in Vietnam	100.00	100.00	100.00	
AIL GROUP	ASUSTEK ITALY S. R. L. (ACIT)	Supporting of 3C products in Italy	100.00	100.00	100.00	
AIL GROUP	ASUS SPAIN, S. L. U. (ACIB)	Supporting of 3C products in Spain	100.00	100.00	100.00	
AIL GROUP	ASUS TECHNOLOGY (SUZHOU) CO., LTD. (ACSZ)	Researching and developing of 3C products	100.00	100.00	100.00	
AIL GROUP	ASUS JAPAN INCORPORATION (ACJP)	Selling of 3C products in Japan	100.00	100.00	100.00	
AIL GROUP	ASUS COMPUTER CZECH REPUBLIC S. R. O. (ACCZ)	Supporting of 3C products in Czech Republic	100.00	100.00	100.00	
AIL GROUP	ASUSTEK COMPUTER (SHANGHAI) CO., LTD. (ACSH)	Selling of 3C products in China	100.00	100.00	100.00	

Investor	Subsidiary	Main business activities	Ownership (%)			Remark
			March 31, 2026	December 31, 2025	March 31, 2025	
AIL GROUP	ASUS SERVICE AUSTRALIA PTY LIMITED (ASAU)	Repairing of 3C products in Australia	100.00	100.00	100.00	
AIL GROUP	ASUS AUSTRALIA PTY LIMITED (ACAU)	Supporting of 3C products in Australia	100.00	100.00	100.00	
AIL GROUP	ACBZ IMPORTACAO E COMERCIO LTDA. (ACBZ)	Selling of 3C products in Brazil	100.00	100.00	100.00	
AIL GROUP	ASUS ISRAEL (TECHNOLOGY) LTD. (ACIL)	Supporting of 3C products in Israel	100.00	100.00	100.00	
AIL GROUP	ASUSTEK COMPUTER (CHONGQING) CO., LTD. (ACCQ)	Selling of 3C products in China	100.00	100.00	100.00	
AIL GROUP	ASUS PERU S. A. C. (ACPE)	Supporting of 3C products in Peru	100.00	100.00	100.00	
AIL GROUP	PT. ASUS SERVICE INDONESIA (ASID)	Repairing of 3C products in Asia-pacific and America	100.00	100.00	100.00	
AIL GROUP	ASUS HOLDING MEXICO, S. A. DE C. V. (ACMH)	Selling of 3C products in Mexico	100.00	100.00	100.00	
AIL GROUP	ASUS PORTUGAL, SOCIEDADE UNIPessoal LDA. (ACPT)	Supporting of 3C products in Portugal	100.00	100.00	100.00	
AIL GROUP	ASUS HUNGARY SERVICES LIMITED LIABILITY COMPANY (ACHU)	Supporting of 3C products in Hungary	100.00	100.00	100.00	
AIL GROUP	ASUS SWITZERLAND GMBH (ACCH)	Supporting of 3C products in Switzerland	100.00	100.00	100.00	
AIL GROUP	ASUS NORDIC AB (ACN)	Supporting of 3C products in North Europe	100.00	100.00	100.00	
AIL GROUP	ASUS COMPUTER COLOMBIA S. A. S. (ACCO)	Supporting of 3C products in Colombia	100.00	100.00	100.00	
AIL GROUP	ASUS (THAILAND) CO., LTD. (ACTH)	Supporting of 3C products in Thailand	100.00	100.00	100.00	
AIL GROUP	ASUSTEK COMPUTERS (PTY) LIMITED (ACZA)	Supporting and repairing of 3C products in Africa	100.00	100.00	100.00	
AIL GROUP	ASUSTEK COMPUTER MALAYSIA SDN. BHD. (ACMY)	Supporting and repairing of 3C products in Malaysia	100.00	100.00	100.00	
AIL GROUP	ASUS BILGISAYAR SISTEMLERI TICARET LIMITED Sirketi (ACTR)	Supporting and repairing of 3C products in Turkey	100.00	100.00	100.00	
AIL GROUP	ASUS CHILE SPA (ACCL)	Supporting of 3C products in Chile	100.00	100.00	100.00	
AIL GROUP	ASUS SERVICE (THAILAND) CO., LTD. (ASTH)	Repairing of 3C products in Thailand	100.00	100.00	100.00	

Investor	Subsidiary	Main business activities	Ownership (%)			Remark
			March 31, 2026	December 31, 2025	March 31, 2025	
AIL GROUP	ASUS PHILIPPINES CORPORATION (ASPH)	Supporting and repairing of 3C products in Philippines	100.00	100.00	100.00	
AIL GROUP	ASUS COMPUTER (SHANGHAI) CO., LTD. (ACS)	Repairing of 3C products	100.00	100.00	100.00	
AIL GROUP	ASUS INVESTMENTS (SUZHOU) CO., LTD. (ACISZ)	Leasing of real estate	100.00	100.00	100.00	
AIL GROUP	ASUS CZECH SERVICE S. R. O. (ACCZS)	Repairing of 3C products in Europe	100.00	100.00	100.00	
AIL GROUP	ASUS PROPERTIES (VIETNAM) LTD. (APVN)	Leasing and selling of real estate	100.00	100.00	100.00	
AIL GROUP	LIABILITY LIMITED COMPANY A25 (A25)	Selling of 3C products in Russia	100.00	100.00	100.00	
AIL GROUP	ASUS UKRAINE LIMITED LIABILITY COMPANY (ACUKR)	Supporting of 3C products in Ukraine	100.00	100.00	100.00	
AIL GROUP	PUSHUO CULTURE MEDIA (SHANGHAI) CO., LTD. (PSCD)	Selling of multi-channel network services	100.00	100.00	-	
AIL GROUP	ASUS COMPUTER COMMERCE B. V. (ACNLD)	Selling of 3C products	100.00	100.00	-	
AIL GROUP	AUTOASUS ELECTRONICS (SUZHOU) CO., LTD. (AESZ)	Manufacturing and selling of vehicle products in China	100.00	100.00	-	

Note : Percentage of ownership represents controlling shareholding ratio but not the comprehensive shareholding ratio.

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different end of the financial reporting period: None.

E. Significant restrictions on its ability to transfer the assets and liabilities to other entities within the Group: None.

F. Subsidiaries that have non-controlling interests that are material to the Group:

Non-controlling interests in each subsidiary are immaterial to the Group.

(4) Foreign currency translation

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The consolidated financial statements are presented in "New Taiwan Dollars (NTD)", which is the Company's functional and the Group's presentation currency.

A. Foreign currency transactions and balances

- (A) Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions are recognized in profit or loss in the period in which they arise, except when deferred in other comprehensive income as qualifying cash flow hedges.
- (B) Monetary assets and liabilities denominated in foreign currencies are re-translated at the exchange rates prevailing at the end of the financial reporting period. Exchange differences arising upon re-translation are recognized in profit or loss.
- (C) Non-monetary assets and liabilities denominated in foreign currencies at fair value through profit or loss are re-translated at the exchange rates prevailing at the end of the financial reporting period. The translation differences are recognized in profit or loss as part of the fair value gains or losses. Non-monetary assets and liabilities at fair value through other comprehensive income are re-translated at the exchange rates prevailing at the end of the financial reporting period. The translation differences are recognized in other comprehensive income. However, non-monetary assets and liabilities denominated in foreign currencies that are not measured at fair value are translated using the historical exchange rates at the dates of the initial transactions.
- (D) All foreign exchange gains and losses are presented in the statement of comprehensive income within “other gains (losses)”.

B. Translation of foreign operations

- (A) The operating results and financial position of all the group entities and associates that have a functional currency different from the presentation currency are translated into the presentation currency as follows:
 - a. Assets and liabilities for each balance sheets presented are translated at the closing exchange rate at the end of the financial reporting period;
 - b. Income and expenses for each statement of comprehensive income are translated at average exchange rates of that period; and
 - c. All resulting exchange differences are recognized in other comprehensive income.
- (B) When the foreign operation partially disposed of or sold is an associate, exchange differences that were recorded in other comprehensive income are proportionately reclassified to profit or loss as part of the gains or losses on sale. In addition, if the Group still retains partial interests in the former foreign associate after losing significant influence over the former foreign associate, such transactions should be accounted for as disposal of all interest in these foreign operations.

- (C) When the foreign operation partially disposed of or sold is a subsidiary, cumulative exchange differences that were recorded in other comprehensive income are proportionately transferred to the non-controlling interests in this foreign operation. In addition, if the Group still retains partial interests in the former foreign subsidiary after losing control of the former foreign subsidiary, such transactions should be accounted for as disposal of all interest in these foreign operations.

(5) Classification of current and non-current items

A. Assets that meet one of the following criteria are classified as current assets:

- (A) Assets that are expected to be realized, or are intended to be sold or consumed in the normal operating cycle;
- (B) Assets that are held primarily for the purpose of trading;
- (C) Assets that are expected to be realized within 12 months after the end of the reporting period;
- (D) Cash and cash equivalents, excluding restricted cash and cash equivalents and those that are to be exchanged or used to pay off liabilities for at least 12 months after the end of the reporting period.

Otherwise they are classified as non-current assets.

B. Liabilities that meet one of the following criteria are classified as current liabilities:

- (A) Liabilities that are expected to be paid off in the normal operating cycle;
- (B) Liabilities that are held primarily for the purpose of trading;
- (C) Liabilities that are due to be paid off within 12 months after the end of the reporting period;
- (D) It does not have the right at the end of the reporting period to defer settlement of the liability at least twelve months after the reporting period.

Otherwise they are classified as non-current liabilities.

(6) Cash equivalents

Cash equivalents refer to short-term highly liquid investments that are readily convertible to known amount of cash and subject to an insignificant risk of changes in value. Time deposits can be classified as cash equivalents if they meet the criteria mentioned above and are held for short-term cash commitments in operational purpose.

(7) Financial assets at fair value through profit or loss

- A. Financial assets at fair value through profit or loss are financial assets that are not measured at amortized cost or fair value through other comprehensive income.
- B. On a regular way purchase or sale basis, financial assets at fair value through profit or loss are recognized and derecognized using trade date accounting.
- C. At initial recognition, the Group measures the financial assets at fair value and recognizes the transaction costs in profit or loss. The Group subsequently measures the financial assets at fair value, and recognizes the gains or losses in profit or loss.

- D. The Group recognizes the dividend income when the right to receive payment is established, future economic benefits associated with the dividend will flow to the Group and the amount of the dividend can be measured reliably.

(8) Financial assets at fair value through other comprehensive income

- A. At initial recognition, the Group makes an irrevocable election to present in other comprehensive income subsequent changes in the fair value of an investment in an equity instrument that is not held for trading. The debt instruments are measured at fair value through other comprehensive income if both of the following conditions are met:
 - (A) The objective of the Group's business model is achieved by both collecting contractual cash flows and selling financial assets; and
 - (B) The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- B. On a regular way purchase or sale basis, financial assets at fair value through other comprehensive income are recognized and derecognized using trade date accounting.
- C. At initial recognition, the Group measures the financial assets at fair value plus transaction costs. The Group subsequently measures the financial assets at fair value:
 - (A) The changes in fair value of equity investments that were recognized in other comprehensive income are reclassified to retained earnings and are not reclassified to profit or loss following the derecognition of the investment. Dividends are recognized as revenue when the right to receive payment is established, future economic benefits associated with the dividend will flow to the Group and the amount of the dividend can be measured reliably.
 - (B) Except for the recognition of impairment loss, interest income and gain or loss on foreign exchange which are recognized in profit or loss, the changes in fair value of debt instruments are taken through other comprehensive income. When the financial asset is derecognized, the cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to profit or loss.

(9) Financial assets measured at amortized costs

- A. Financial assets at amortized cost are those that meet all of the following criteria:
 - (A) The objective of the Group's business model is achieved by collecting contractual cash flows.
 - (B) The assets' contractual cash flows represent solely payments of principal and interest.
- B. On a regular way purchase or sale basis, financial assets at amortized cost are recognized and derecognized using trade date accounting.
- C. At initial recognition, the Group measures the financial assets at fair value plus transaction costs. Interest income from these financial assets is included in finance income using the effective interest method. Gains or losses are recognized in profit or loss when the asset is derecognized or impaired.

D. The Group's time deposits which do not fall under cash equivalents are those with a short maturity period and are measured at initial investment amount as the effect of discounting is immaterial.

(10) Accounts and notes receivable

- A. Accounts and notes receivable entitle the Group a legal right to receive consideration in exchange for transferred goods or rendered services.
- B. The short-term accounts and notes receivable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(11) Impairment of financial assets

For financial assets at amortized cost and accounts receivable that have a significant financing component, at each end of the financial reporting period, the Group recognizes the impairment provision for 12 months expected credit losses if there has not been a significant increase in credit risk since initial recognition or recognizes the impairment provision for the lifetime expected credit losses (ECLs) if such credit risk has increased since initial recognition after taking into consideration all reasonable and verifiable information that includes forecasts. On the other hand, for accounts receivable that do not contain a significant financing component, the Group recognizes the impairment provision for lifetime ECLs.

(12) Derecognition of financial assets

The Group derecognizes a financial asset when one of the following conditions is met:

- A. The contractual rights to receive cash flows from the financial asset has expired.
- B. The contractual rights to receive cash flows from the financial asset have been transferred and the Group has transferred substantially almost all risks and rewards of ownership of the financial asset.
- C. The contractual rights to receive cash flows from the financial asset have been transferred and the Group has not retained control of financial asset.

(13) Leasing arrangements (lessor) – operating leases

Lease income from an operating lease net of any incentives given to the lessee is recognized in profit or loss on a straight-line basis over the lease term.

(14) Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using the weighted-average method. The cost of finished goods and work in process comprises raw materials and other direct/indirect costs. It excludes borrowing costs. The item by item approach is used in applying the lower of cost and net realizable value. Net realizable value is the estimated selling price in the ordinary course of business, less the estimated cost of completion and estimated costs necessary to make the sale.

(15) Investments accounted for under equity method

- A. Associates are all entities over which the Group has significant influence but not control. In general, it is presumed that the investor has significant influence, if an investor holds, directly or indirectly 20% or more of the voting power of the investee. Investments in associates are accounted for using the equity method and are initially recognized at cost.
- B. The Group's share of its associates' post-acquisition profit or loss is recognized in profit or loss, and its share of post-acquisition movements in other comprehensive income is recognized in other comprehensive income. When the Group's share of losses in an associate equal or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognize further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the associate.
- C. When changes in an associate's equity do not arise from profit or loss or other comprehensive income of the associate and such changes do not affect the Group's ownership percentage of the associate, the Group recognizes change in ownership interests in the associate in "capital surplus" in proportion to its ownership.
- D. Unrealized gains on transactions between the Group and its associates are eliminated to the extent of the Group's interest in the associates. Unrealized losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of associates have been adjusted where necessary to ensure consistency with the policies adopted by the Group.
- E. In the case that an associate issues new shares or buys treasury stocks (including the Group does not acquire or dispose shares proportionately), which results in a change in the Group's ownership percentage of the associate but maintains significant influence on the associate, then "capital surplus" and "investments accounted for under equity method" shall be adjusted for the increase or decrease of its share of equity interest. If the above condition causes a decrease in the Group's ownership percentage of the associate, in addition to the above adjustment, the amounts previously recognized in other comprehensive income in relation to the associate are reclassified to profit or loss proportionately on the same basis as would be required if the relevant assets or liabilities were disposed of.
- F. Upon loss of significant influence over an associate, the Group remeasures any investment retained in the former associate at its fair value. Any difference between fair value and carrying amount is recognized in profit or loss.

- G. Upon loss of significant influence over an associate, the amounts previously recognized in other comprehensive income and as capital surplus in relation to the associate, are reclassified to profit or loss, on the same basis as would be required if the relevant assets or liabilities were disposed of. If it still retains significant influence over this associate, then the amounts previously recognized in other comprehensive income and as capital surplus in relation to the associate are reclassified to profit or loss proportionately.
- H. At the balance sheet date, the Group performs an impairment test for an investment in an associate when there is an indication that the investment may be impaired. The entire carrying amount of the investment (including goodwill) is tested for impairment as a single asset, by comparing its recoverable amount (higher of value in use and fair value less costs of disposal) with its carrying amount. Any impairment loss recognized forms part of the carrying amount of the investment. Any reversal of impairment loss is recognized to the extent that the recoverable amount of the investment subsequently increases.

(16) Property, plant and equipment

- A. Property, plant and equipment are initially recorded at cost. Borrowing costs incurred during the construction period are capitalized.
- B. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.
- C. Except for land which is not depreciated, other property, plant and equipment apply cost model and are depreciated using the straight-line method to allocate their cost over their estimated useful lives. If each component of property, plant and equipment is significant, it should be depreciated separately.
- D. The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at the end of the financial reporting period. If expectations for the assets' residual values and useful lives differ from previous estimates or the patterns of consumption of the assets' future economic benefits embodied in the assets have changed significantly, any change is accounted for as a change in estimate under IAS 8, "Accounting Policies, Changes in Accounting Estimates and Errors", from the date of the change. The estimated useful lives of buildings are 5~60 years, machinery and equipment are 1~15 years and miscellaneous equipment are 1~20 years.

(17) Leasing arrangements (lessee) - right-of-use assets/lease liabilities

- A. Leases are recognized as a right-of-use asset and a corresponding lease liability at the date at which the leased asset is available for use by the Group. For short-term leases or leases of low value assets, lease payments are recognized in expense on a straight-line basis over the lease term.
- B. Lease liabilities include the net present value of the remaining lease payments at the commencement date, discounted using the incremental borrowing interest rate. Lease payments are fixed payment, less any lease incentives receivable. The Group subsequently measures the lease liability at amortized cost using the interest method and recognizes interest expense over the lease term. The lease liability is remeasured and the amount of remeasurement is recognized as an adjustment to the right-of-use asset when there are changes in the lease term or lease payments and such changes do not arise from contract modifications.
- C. At the commencement date, the right-of-use asset is stated at cost comprising the following:
 - (A) The amount of the initial measurement of lease liability;
 - (B) Any lease payments made at or before the commencement date; and
 - (C) Any initial direct costs incurred by the lessee.

The right-of-use asset is measured subsequently using the cost model and is depreciated from the commencement date to the earlier of the end of the asset's useful life or the end of the lease term. When the lease liability is remeasured, the amount of remeasurement is recognized as an adjustment to the right-of-use asset.

- D. For lease modifications that decrease the scope of the lease, the lessee shall decrease the carrying amount of the right-of-use asset and remeasure the lease liability to reflect the partial or full termination of the lease, and recognize the difference in profit or loss. For all other lease modifications, the lessee shall remeasure the lease liability and adjust the right-of-use asset, correspondingly.

(18) Investment property

An investment property is stated initially at its cost and measured subsequently using the cost model. Except for land, investment property is depreciated on a straight-line basis over its estimated useful life of 20~50 years.

(19) Intangible assets

- A. Goodwill, trademark and customer relationship arise in a business combination accounted for by applying the acquisition method, customer relationship is amortized on a straight-line basis over their estimated useful lives of 6~15 years.
- B. Other intangible assets, mainly computer software, are amortized on a straight-line basis over their estimated useful lives of 1~10 years.

(20) Impairment of non-financial assets

- A. The Group assesses at the end of the financial reporting period the recoverable amounts of those assets where there is an indication that they are impaired. An impairment loss is recognized at the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell or value in use. Except for goodwill, when the circumstances or reasons for recognizing impairment loss for an asset in prior years no longer exist or decrease, the impairment loss shall be reversed to the extent of the loss previously recognized in profit or loss. However, the reversal should not exceed the carrying amount, net of depreciation or amortization had the impairment not been recognized.
- B. The recoverable amounts of goodwill and intangible assets with an indefinite useful life shall be evaluated periodically. An impairment loss is recognized at the amount by which the asset's carrying amount exceeds its recoverable amount. Impairment loss of goodwill previously recognized in profit or loss shall not be reversed in the following years.
- C. For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash-generating units, or groups of cash-generating units, that is/are expected to benefit from the synergies of the business combination.

(21) Borrowings

Borrowings comprise long-term and short-term bank borrowings. Borrowings are recognized initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortized cost; any difference between the proceeds net of transaction costs and the redemption value is recognized in profit or loss over the period of the borrowings using the effective interest method.

(22) Notes and trade payables

- A. Trade payables are liabilities for purchases of raw materials, goods or services and notes payable are those resulting from operating and non-operating activities.
- B. The short-term notes and trade payables without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(23) Financial liabilities at fair value through profit or loss

- A. Financial liabilities are classified in this category of held for trading if acquired principally for the purpose of repurchasing in the short-term. Derivatives are also categorized as financial liabilities held for trading unless they are designated as hedges.
- B. At initial recognition, the Group measures the financial liabilities at fair value. All related transaction costs are recognized in profit or loss. The Group subsequently measures these financial liabilities at fair value with any gains or losses recognized in profit or loss.

(24) Derecognition of financial liabilities

The Group derecognizes a financial liability when the obligation specified in the contract is either discharged or cancelled or expires.

(25) Offsetting financial assets and financial liabilities

Financial assets and liabilities are offset and reported in the net amount in the balance sheets when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously.

(26) Non-hedging derivatives

Non-hedging derivatives are initially recognized at fair value on the date a derivative contract is entered into and recorded as financial assets or financial liabilities at fair value through profit or loss. They are subsequently remeasured at fair value and the gains or losses are recognized in profit or loss.

(27) Hedge accounting

A. At the inception of the hedging relationship, there is formal designation and documentation of the hedging relationship and the Group's risk management objective and strategy for undertaking the hedge. That documentation shall include identification of the hedging instrument, the hedged item, the nature of the risk being hedged and how the Group will assess whether the hedging relationship meets the hedge effectiveness requirements.

B. The Group designates the hedging relationship as cash flow hedge which is a hedge of the exposure to variability in cash flows that is attributable to a particular risk associated with a recognized asset or liability or a highly probable forecast transaction.

C. Cash flow hedges

(A) The cash flow hedge reserve associated with the hedged item is adjusted to the lower of the following (in absolute amounts):

- a. The cumulative gains or losses on the hedging instrument from inception of the hedge; and
- b. The cumulative change in fair value of the hedged item from inception of the hedge.

(B) The effective portion of the gains or losses on the hedging instrument is recognized in other comprehensive income. The gains or losses on the hedging instrument relating to the ineffective portion is recognized in profit or loss.

(C) The amount that has been accumulated in the cash flow hedge reserve in accordance with (A) is accounted for as follows:

- a. If a hedged forecast transaction subsequently results in the recognition of a non-financial asset or non-financial liability, or a hedged forecast transaction for a non-financial asset or non-financial liability becomes a firm commitment for which fair value hedge accounting is applied, the Group shall remove that amount from the cash flow hedge reserve and include it directly in the initial cost or other carrying amount of the asset or liability.
- b. For cash flow hedges other than those covered by a. above, that amount shall be reclassified from the cash flow hedge reserve to profit or loss as a reclassification adjustment in the same period or periods during which the hedged expected future cash flows affect profit or loss.
- c. If that amount is a loss and the Group expects that all or a portion of that loss will not be recovered in one or more future periods, it shall immediately reclassify the amount that is not expected to be recovered into profit or loss as a reclassification adjustment.

(D) When the hedging instrument expires, or is sold, terminated, exercised or when the hedging relationship ceases to meet the qualifying criteria, if the forecast transaction is still expected to occur, the amount that has been accumulated in the cash flow hedge reserve shall remain in the cash flow hedge reserve until the forecast transaction occurs; if the forecast transaction is no longer expected to occur, the amount shall be immediately reclassified from the cash flow hedge reserve to profit or loss as a reclassification adjustment.

(28) Provisions for liabilities

Provisions are recognized when the Group has a present legal or constructive obligation as a result of past events, and it is probable that an outflow of economic resources will be required to settle the obligation and the amount of the obligation can be reliably estimated. Provisions are measured at the present value of the expenditures expected to be required to settle the obligation at the end of the financial reporting period, which is discounted using a pre-tax discount rate that reflects the current market assessments of the time value of money and the risks specific to the obligation. When discounting is used, the increase in the provision due to passage of time is recognized in interest expense. Future operating losses shall not be recognized as provisions for liabilities.

(29) Employee benefits

A. Short-term employee benefits

Short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in respect of service rendered by employees in a period and should be recognized in expenses in that period when the employees render service.

B. Pensions

(A) Defined contribution plans

For defined contribution plans, the contributions are recognized in pension expenses when they are due on an accrual basis. Prepaid contributions are recognized as an asset to the extent of a cash refund or a reduction in the future payments.

(B) Defined benefit plans

- a. The liability recognized in the balance sheets in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the financial reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates of government bonds or interest rates of return of high-quality investments that have terms to maturity approximating to the terms of the related pension liability.
- b. Remeasurements arising on defined benefit plans are recognized in other comprehensive income in the period in which they arise and are recorded as other equity.
- c. Prior service costs are recognized immediately in profit or loss.
- d. Pension cost for the interim period is calculated on a year-to-date basis by using the pension cost rate derived from the actuarial valuation at the end of the prior financial year, adjusted for significant market fluctuations since that time and for significant curtailments, settlements, or other significant one-off events. Also, the related information is disclosed accordingly.

C. Termination benefits

Termination benefits are employee benefits provided in exchange for the termination of employment as a result from either the Group's decision to terminate an employee's employment before the normal retirement date, or an employee's decision to accept an offer of redundancy benefits in exchange for the termination of employment. The Group recognizes expense when it can no longer withdraw an offer of termination benefits or it recognizes related restructuring costs, whichever is earlier. Benefits that are expected to be due more than 12 months after financial reporting date shall be discounted to their present value.

D. Employees' compensation and directors' remuneration

Employees' compensation and directors' remuneration are recognized in expenses and as liabilities, provided that such recognition is required under legal or constructive obligation and those amounts can be reliably estimated. Any difference between the resolved amounts and the subsequently actual distributed amounts is accounted for as changes in estimates. If employee compensation is distributed by shares, the Group calculates the number of shares based on the closing price at the previous day of the board meeting resolution.

(30) Government grants

Government grants are recognized at their fair value only when there is reasonable assurance that the Group will comply with conditions attached to the grants and the grants will be received. Government grants are recognized in profit or loss on a systematic basis over the periods of related expenses incurred if the nature of government grant is to subsidize expenses the Group accrued.

(31) Employee share-based payment

A. For the equity-settled share-based payment arrangements, the employee services received are measured at the fair value of the equity instruments granted at the grant date, and are recognized in compensation cost over the vesting period, with a corresponding adjustment to equity. The fair value of the equity instruments granted shall reflect the impact of market vesting conditions and non-market vesting conditions. Compensation cost is subject to adjustment based on the service conditions that are expected to be satisfied and the estimates of the number of equity instruments that are expected to vest under the non-market vesting conditions at the end of the financial reporting period. Ultimately, the amount of compensation cost recognized is based on the number of equity instruments that eventually vest.

B. For the cash-settled share-based payment arrangements, the employee services received and the liability incurred are measured at fair value of the liability to pay for those services, and are recognized as compensation cost and liability over the vesting period. The fair value of the liability shall be remeasured at each balance sheet date until settled at the settlement date, with any changes in fair value recognized in profit or loss.

C. Restricted stocks:

(A) The issued subsidiary uses the date notifying employees the number of shares of employees' stock bonus as the grant date.

(B) Restricted stocks issued to employees are measured at the fair value of the equity instruments granted at the grant date, and are recognized in compensation cost over the vesting period.

- (C) For restricted stocks where those stocks do not restrict distribution of dividends to employees and employees are not required to return the dividends received if they resign during the vesting period, the Group recognizes the fair value of the dividends received by the employees who are expected to resign during the vesting period as compensation cost at the date of dividends declared.
- (D) For restricted stocks where employees have to pay to acquire those stocks, if employees resign during the vesting period, they must return the stocks to the issued subsidiaries and the issued subsidiaries must refund their payments on the stocks, the issued subsidiary recognizes the payments from the employees who are expected to resign during the vesting period as liabilities at the grant date, and recognizes the payments from the employees who are expected to be eventually vested with the stocks in “capital surplus - others”.

(32) Income tax

- A. The tax expense for the period comprises current and deferred tax. Tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or items recognized directly in equity, in which cases the tax is recognized in other comprehensive income or equity.
- B. The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the financial reporting period in the countries where the Company and its subsidiaries operate and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in accordance with applicable tax regulations. It establishes provisions where appropriate based on the amounts expected to be paid to the tax authorities. An additional tax is levied on the unappropriated retained earnings and is recorded as income tax expense in the year the shareholders resolve to retain the earnings.
- C. Deferred income tax is recognized, using the balance sheets liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, the deferred income tax is not accounted for if it arises from initial recognition of goodwill or of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss and does not give rise to equal taxable and deductible temporary differences. Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred income tax is determined using tax rates that have been enacted or substantially enacted by the end of the financial reporting period and are expected to apply when the related deferred income tax asset is realized or the deferred income tax liability is settled.

- D. Deferred income tax assets are recognized only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized. At the end of the financial reporting period, unrecognized and recognized deferred income tax assets are reassessed.
- E. Current income tax assets and liabilities are offset and the net amount is reported in the balance sheets when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously. Deferred income tax assets and liabilities are offset on the balance sheets when the entity has the legally enforceable right to offset current tax assets against current tax liabilities and they are levied by the same taxation authority on either the same entity or different entities that intend to settle on a net basis or realize the asset and settle the liability simultaneously.
- F. A deferred tax asset shall be recognized for the carryforward of unused tax credits resulting from research and development expenditures to the extent that it is possible that future taxable profit will be available against which the unused tax credits can be utilized.
- G. The interim period income tax expense is calculated according to pretax income times effective income tax rate, and the related information is disclosed accordingly.

(33) Dividends

Dividends are recorded in the Company's financial statements in the period in which they are resolved by the Company's shareholders. Cash dividends are recorded as liabilities; stock dividends are recorded as stock dividends to be distributed and are reclassified to ordinary shares on the effective date of new shares issuance.

(34) Revenue recognition

Sales of goods

- A. The Group is engaged in the selling of 3C products. Sales are recognized when control of the products has transferred, being when the products are delivered to the customer, the customer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the customer's acceptance of the products. Delivery occurs when the products have been shipped to the specific location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has accepted the products in accordance with the sales contract, or the Group has objective evidence that all criteria for acceptance have been satisfied.

- B. Revenue from the sale of 3C products is recognized based on the price specified in the contract, net of the estimated volume discounts and sales discounts. Historical experience is usually used to estimate the discounts and returns. A refund liability is recognized at expected sales discounts payable to customers in relation to sales made until the end of the reporting period. The sales are made mainly with a credit term of due after the date of delivery or month-end 30 to 180 days. As the time interval between the transfer of committed goods or services and the payment of customer does not exceed one year, the Group does not adjust the transaction price to reflect the time value of money.
- C. The Group's obligation to provide a repair for faulty products under the standard warranty terms is recognized as a provision.
- D. A receivable is recognized when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

(35) Business combinations

- A. The Group uses the acquisition method to account for business combinations. The consideration transferred for an acquisition is measured as the fair value of the assets transferred, liabilities incurred or assumed and equity instruments issued at the acquisition date, plus the fair value of any assets and liabilities resulting from a contingent consideration arrangement. All acquisition-related costs are expensed as incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. For each business combination, the Group measures at the acquisition date components of non-controlling interests in the acquiree that are present ownership interests and entitle their holders to the proportionate share of the entity's net assets in the event of liquidation at either fair value or the present ownership instruments' proportionate share in the recognized amounts of the acquiree's identifiable net assets. All other non-controlling interests should be measured at the acquisition-date fair value.
- B. The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the fair value of any previous equity interest in the acquiree over the fair value of the identifiable assets acquired and the liabilities assumed is recorded as goodwill at the acquisition date. If the total of consideration transferred, non-controlling interest in the acquiree recognized and the fair value of previously held equity interest in the acquiree is less than the fair value of the identifiable assets acquired and the liabilities assumed, the difference is recognized directly in profit or loss on the acquisition date.

(36) Operating segments

Operating segments are reported in a manner consistent with the internal management reports provided to the chief operating decision maker. The chief operating decision maker is responsible for allocating resources and assessing performance of the operating segments.

5. **CRITICAL ACCOUNTING JUDGEMENTS, ESTIMATES AND KEY SOURCES OF ASSUMPTION UNCERTAINTY**

The preparation of these consolidated financial statements requires management to make critical judgements in applying the Group's accounting policies and make critical assumptions at the end of the financial reporting period and estimates concerning future events. The resulting accounting estimates and assumptions might be different from the actual results, and will be continually evaluated and adjusted based on historical experience and other factors; and the related information is addressed below:

Critical accounting estimates and assumptions:

A. Refund liabilities recognition

The Group estimates sales related refund liabilities for sales returns and discounts based on historical results and other known factors. Provisions for such liabilities are recorded as a deduction item to sales revenues when the sales are recognized. The Group reassesses the reasonableness of estimates of discounts and returns periodically.

As of March 31, 2026, the Group recognized \$39,053,126 as refund liabilities related to sales returns and discounts.

B. Evaluation of inventories

Due to the rapid technology innovation, the Group evaluates the amounts of normal inventory consumption, obsolete inventories or inventories without market selling value at the end of the financial reporting period, and writes down the cost of inventories to the net realizable value. Such an evaluation of inventories is principally based on the demand for the products within the specified period in the future. Therefore, there might be a difference against actual result.

As of March 31, 2026, the carrying amount of inventories was \$260,837,662.

6. **DETAILS OF SIGNIFICANT ACCOUNTS**

(1) Cash and cash equivalents

	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Cash on hand and petty cash	\$ 21,137	\$ 15,309	\$ 18,656
Checking accounts and demand deposits	37,183,179	55,934,357	31,936,535
Time deposits	20,628,789	34,055,150	79,461,408
Others	122,158	73,913	128,719
	<u>\$ 57,955,263</u>	<u>\$ 90,078,729</u>	<u>\$ 111,545,318</u>

The Group has no cash and cash equivalents pledged to others.

(2) Financial assets and liabilities at fair value through profit or loss

	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Financial assets mandatorily measured at fair value through profit or loss - current:			
Equity instruments	\$ 6,348	\$ 6,494	\$ 639,694
Beneficiary certificates	819,951	816,914	645,859
Derivatives	447,185	18,223	206,692
Hybrid instruments	-	-	121,600
	<u>\$ 1,273,484</u>	<u>\$ 841,631</u>	<u>\$ 1,613,845</u>
	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Financial assets mandatorily measured at fair value through profit or loss - non-current:			
Equity instruments	\$ 1,187,214	\$ 962,332	\$ 103,259
Beneficiary certificates	309,265	313,780	248,826
Hybrid instruments	472,882	463,513	365,194
	<u>\$ 1,969,361</u>	<u>\$ 1,739,625</u>	<u>\$ 717,279</u>
Financial liabilities held for trading -current:			
Derivatives	<u>\$ 32,654</u>	<u>\$ 404,581</u>	<u>\$ 549,895</u>

A. The hybrid instruments held by the Group were convertible bonds and stocks with embedded options.

B. Amounts recognized in profit or loss in relation to financial assets and liabilities at fair value through profit or loss are listed below:

	<u>Three Months Ended</u>	
	<u>March 31, 2026</u>	<u>March 31, 2025</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Equity instruments	\$ 307,353	\$ 71,927
Beneficiary certificates	6,641	4,975
Derivatives	83,887	(429,506)
Hybrid instruments	(1,175)	4,035
	<u>\$ 396,706</u>	<u>(\$ 348,569)</u>

C. The Group entered into contracts relating to derivative financial assets and liabilities which were not accounted for under hedge accounting. The information is listed below:

		March 31, 2026		December 31, 2025	
		Contract amount (in thousands)	Maturity period	Contract amount (in thousands)	Maturity period
Derivative financial assets:					
Forward exchange contracts					
-CAD/USD	CAD	61,190	2026/08	CAD	40,949
-CHN/USD	USD	15,000	2026/06	USD	-
-EUR/USD	EUR	173,000	2026/05	EUR	63,000
-GBP/USD	GBP	63,000	2026/06	GBP	10,000
-AUD/USD	AUD	34,800	2026/06	AUD	16,000
-USD/NTD	USD	3,510	2026/07	USD	5,000
-PLN/USD	PLN	-	-	PLN	80,000
-THB/USD	THB	-	-	THB	50,000
-JPY/USD	JPY	763,725	2026/04	JPY	781,740
-MXN/USD	MXN	110,000	2026/04	MXN	-
-IDR/USD	IDR	1,181,950,000	2026/04	IDR	550,363,000
-INR/USD	INR	11,826,657	2026/04	INR	-
-CNH/USD	CNH	1,179,986	2026/06	CNH	-
Currency option contracts					
-CNH/USD	CNH	901,800	2026/07	CNH	-
Currency swap contracts					
-NTD/USD	USD	3,000	2026/05	USD	-
Derivative financial liabilities:					
Forward exchange contracts					
-EUR/USD	EUR	-	-	EUR	247,000
-THB/USD	THB	-	-	THB	300,000
-NTD/USD	USD	-	-	USD	120,000
-CNH/USD	CNH	658,027	2026/05	CNH	1,328,388
-INR/USD	INR	-	-	INR	11,640,172
-IDR/USD	IDR	646,889,000	2026/04	IDR	1,255,260,000
-GBP/USD	GBP	-	-	GBP	83,000
-CHF/USD	CHF	-	-	CHF	1,000
-AUD/USD	AUD	-	-	AUD	55,400
-MXN/USD	MXN	60,000	2026/04	MXN	719,000
-VND/USD	USD	-	-	USD	10,000
-CAD/USD	CAD	22,340	2026/08	CAD	57,849
-USD/RMB	USD	6,000	2026/05	USD	-
-USD/NTD	USD	29,640	2026/06	USD	7,040
Currency option contracts					
-CNH/USD	CNH	628,106	2026/05	CNH	4,585,930

March 31, 2025			
	Contract amount (in thousands)		Maturity period
Derivative financial assets:			
Forward exchange contracts			
-CAD/USD	CAD	71,810	2025/08
-NTD/USD	USD	235,000	2025/05
-EUR/USD	EUR	54,000	2025/07
-GBP/USD	GBP	8,000	2025/06
-AUD/USD	AUD	6,000	2025/04
-THB/USD	THB	250,000	2025/04
-CHF/USD	CHF	1,000	2025/04
-JPY/USD	JPY	1,386,750	2025/06
-MXN/USD	MXN	312,700	2025/06
-IDR/USD	IDR	1,769,022,000	2025/04
-CNH/USD	CNH	300,000	2025/04
Currency option contracts			
-JPY/USD	JPY	547,180	2025/05
-CNH/USD	CNH	1,331,500	2025/06
Currency swap contracts			
-NTD/USD	USD	59,800	2025/06
Derivative financial liabilities:			
Forward exchange contracts			
-EUR/USD	EUR	260,000	2025/07
-GBP/USD	GBP	50,600	2025/06
-CNH/USD	CNH	300,000	2025/04
-SEK/USD	SEK	55,000	2025/04
-INR/USD	INR	11,210,104	2025/04
-PLN/USD	PLN	40,000	2025/04
-CHF/USD	CHF	2,000	2025/04
-AUD/USD	AUD	5,000	2025/04
-MXN/USD	MXN	579,040	2025/06
-JPY/USD	JPY	6,558,526	2025/06
-CAD/USD	CAD	32,328	2025/08
-NTD/USD	NTD	4,980,750	2025/04
Currency option contracts			
-CNH/USD	CNH	1,504,183	2025/07
-EUR/USD	EUR	16,000	2025/04
-JPY/USD	JPY	1,201,840	2025/04

(A) Forward exchange contracts

The Group entered into forward exchange contracts to sell various forward foreign currencies to hedge exchange rate risk of import and export proceeds. However, these forward exchange contracts are not accounted for under hedge accounting.

(B) Currency option contracts

The Group entered into currency option contracts to buy foreign currency put options and sell foreign currency call options or put options, which will be performed in the future according to the agreed price and conditions, leverage ratio and settlement date. The purpose of the Group's undertaking of the above transactions is to hedge exchange rate risk of import and export proceeds. However, these currency option contracts are not accounted for under hedge accounting. The Group has implemented risk control over currency options, and no significant operational risks have been assessed.

(C) Currency swap contracts

The Group entered into currency swap contracts to hedge cash flow risk of the floating-rate liability positions. However, these currency swap contracts are not accounted for under hedge accounting.

D. Details of the Group's financial assets at fair value through profit or loss pledged to others as collateral are provided in Note 8.

(3) Financial assets at fair value through other comprehensive income

	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Current:			
Debt instruments			
Government bonds	\$ 1,757,531	\$ 1,598,265	\$ -
Equity instruments			
Listed and OTC stocks	-	-	566,611
	<u>\$ 1,757,531</u>	<u>\$ 1,598,265</u>	<u>\$ 566,611</u>
Non-current:			
Debt instruments			
Corporate bonds	\$ 3,187,746	\$ 3,183,219	\$ 3,271,859
Government bonds	160,718	253,020	-
	<u>3,348,464</u>	<u>3,436,239</u>	<u>3,271,859</u>
Equity instruments			
Listed and OTC stocks	73,602,775	67,382,823	82,565,507
Unlisted and non-OTC stocks	711,743	657,906	457,017
	<u>74,314,518</u>	<u>68,040,729</u>	<u>83,022,524</u>
	<u>\$ 77,662,982</u>	<u>\$ 71,476,968</u>	<u>\$ 86,294,383</u>

A. The Group has elected to classify equity investments that are considered to be strategic investments and steady dividend income as financial assets at fair value through other comprehensive income. The fair value of such investments amounted to \$74,314,518, \$68,040,729 and \$83,589,135 on March 31, 2026, December 31, 2025 and March 31, 2025, respectively.

- B. The Group sold its investments with fair value of \$400,000 and \$61 during the three months ended March 31, 2026 and 2025, respectively, and the (loss) gain on disposal amounting to \$0 and (\$27,093) was transferred from accumulated other comprehensive income to retained earnings, respectively.
- C. Amounts recognized in profit or loss in relation to the financial assets at fair value through other comprehensive income are listed below:

	Three Months Ended	
	March 31, 2026	March 31, 2025
Equity instruments at fair value through other comprehensive income		
Dividends from investments recognized in profit or loss held at end of the period	\$ -	\$ 8,133
Debt instruments at fair value through other comprehensive income		
Reclassified from other comprehensive income to profit or loss due to impairment reversal (recognition)	(\$ 1)	\$ 4
Interest income recognized in profit or loss	\$ 39,763	\$ 41,116

- D. As of March 31, 2026, December 31, 2025 and March 31, 2025, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at fair value through other comprehensive income held by the Group was \$5,105,995, \$5,034,504 and \$3,271,859, respectively.
- E. Information about credit risk of financial assets at fair value through other comprehensive income is provided in Note 12(2).
- F. The Group has no financial assets at fair value through other comprehensive income pledged to others.

(4) Financial assets at amortized cost

Items	March 31, 2026	December 31, 2025	March 31, 2025
Current items:			
Corporate bonds	\$ 3,426,621	\$ 4,578,411	\$ 6,044,722
Less: Accumulated impairment	(3,012)	(3,823)	(7,372)
	<u>3,423,609</u>	<u>4,574,588</u>	<u>6,037,350</u>
Time deposits	1,394,356	1,541,022	525,937
Restricted deposits	<u>119,547</u>	<u>558,444</u>	<u>32,541</u>
	<u>\$ 4,937,512</u>	<u>\$ 6,674,054</u>	<u>\$ 6,595,828</u>
Non-current items:			
Corporate bonds	\$ -	\$ -	\$ 3,930,781
Less: Accumulated impairment	<u>-</u>	<u>-</u>	<u>(4,923)</u>
	<u>-</u>	<u>-</u>	<u>3,925,858</u>
Restricted deposits	<u>141,540</u>	<u>141,540</u>	<u>141,540</u>
	<u>\$ 141,540</u>	<u>\$ 141,540</u>	<u>\$ 4,067,398</u>

A. Amounts recognized in profit or loss in relation to financial assets at amortized cost are listed below:

	Three Months Ended	
	March 31, 2026	March 31, 2025
Interest income	\$ 29,261	\$ 73,883
Expected credit impairment reversed (losses) gains	28	6,718
Gains (losses) on disposal of investments	(24)	10,778
	<u>\$ 29,265</u>	<u>\$ 91,379</u>

B. Details of the Group's financial assets at amortised cost pledged to others as collateral are provided in Note 8.

C. As of March 31, 2026, December 31, 2025 and March 31, 2025, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortized cost held by the Group were \$5,079,052, \$6,815,594 and \$10,663,226, respectively.

D. Information about credit risk of financial assets at amortized cost is provided in Note 12(2). The counterparties of the Group's investments in certificates of deposits are financial institutions with high credit quality, so the Group expects that the probability of counterparty default is remote.

(5) Hedging financial assets and liabilities

	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Financial assets - current			
Cash flow hedges - Forward exchange contracts	\$ 665,840	\$ 67,310	\$ 29,081
Financial liabilities - current			
Cash flow hedges - Forward exchange contracts	(8,637)	(166,431)	(634,452)
	<u>\$ 657,203</u>	<u>(\$ 99,121)</u>	<u>(\$ 605,371)</u>

A. Hedge accounting is applied to reduce the effect of accounting inconsistency between the hedging instrument and the hedged item. The Group entered into forward exchange and non-derivative financial instrument hedging contracts to manage its foreign currency exposure in respect of forecasted sales transactions and business combination. When forecasted sales transactions occur, the carrying amount of the non-financial hedged items is adjusted accordingly.

B. Transaction information associated with the Group adopting hedge accounting is as follows:

	<u>March 31, 2026</u>			<u>December 31, 2025</u>		
	<u>Contract amount (in thousands)</u>	<u>Maturity period</u>		<u>Contract amount (in thousands)</u>	<u>Maturity period</u>	
Hedging instruments						
Cash flow hedges:						
Hedging financial assets						
Forward exchange contracts						
-EUR/USD	EUR 472,000	2026/09		EUR 142,000	2026/06	
-PLN/USD	PLN 163,000	2026/06		PLN -	-	
-INR/USD	INR 4,000,000	2026/06		INR -	-	
-JPY/USD	JPY 9,900,000	2026/06		JPY 12,800,000	2026/03	
-GBP/USD	GBP 118,000	2026/09		GBP 13,000	2026/03	
-SEK/USD	SEK 212,000	2026/09		SEK -	-	
-AUD/USD	AUD 34,900	2026/06		AUD -	-	
Hedging financial liabilities						
Forward exchange contracts						
-AUD/USD	AUD 21,100	2026/06		AUD 32,000	2026/03	
-EUR/USD	EUR 10,000	2026/09		EUR 325,000	2026/06	
-GBP/USD	GBP -	-		GBP 78,000	2026/06	
-SEK/USD	SEK -	-		SEK 121,000	2026/06	
-PLN/USD	PLN -	-		PLN 57,000	2026/03	
-JPY/USD	JPY 1,300,000	2026/06		JPY -	-	
-INR/USD	INR 500,000	2026/06		INR 1,500,000	2026/03	

March 31, 2025			
Hedging instruments	Contract amount (in thousands)	Maturity period	
Cash flow hedges:			
Hedging financial assets			
Forward exchange contracts			
-EUR/USD	EUR 75,000	2025/09	
-PLN/USD	PLN 35,000	2025/09	
-JPY/USD	JPY 2,373,000	2025/09	
-GBP/USD	GBP 6,000	2025/09	
-AUD/USD	AUD 44,300	2025/06	
Hedging financial liabilities			
Forward exchange contracts			
-AUD/USD	AUD 13,300	2025/06	
-EUR/USD	EUR 423,000	2025/09	
-GBP/USD	GBP 78,000	2025/09	
-SEK/USD	SEK 124,000	2025/09	
-PLN/USD	PLN 137,000	2025/06	
-JPY/USD	JPY 6,107,000	2025/09	

The average exchange rate of hedging instruments used by the Group is based on the consideration of future exchange rate fluctuation of the hedged items.

C. Cash flow hedges

	2026	2025
Other equity - hedge effectiveness		
January 1	(\$ 99,121)	\$ 839,711
Gains (losses) of hedge instrument for the period	756,324	(1,445,082)
March 31	<u>\$ 657,203</u>	<u>(\$ 605,371)</u>
Other gains (losses) - hedge ineffectiveness	<u>\$ -</u>	<u>(\$ 4,081)</u>

- D. For derivatives financial instruments, as the hedging instrument expires, the hedging relationship ceases to meet the qualifying criteria. If the forecast transaction is still expected to occur, the amount that has been accumulated in the gains (losses) on hedging instruments shall remain in other comprehensive income until the forecast transaction occurs; if the forecast transaction is no longer expected to occur, the amount shall be immediately reclassified from the gains (losses) on hedging instruments to other gains (losses) - hedge ineffectiveness.

(6) Notes and trade receivables

	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Notes receivable	\$ 8,357,125	\$ 5,672,779	\$ 8,241,477
Trade receivables	121,665,143	115,356,927	105,616,367
Installment trade receivables	<u>11,946,561</u>	<u>22,451,060</u>	<u>-</u>
	141,968,829	143,480,766	113,857,844
Less: Unrealized interest income	(129,880)	(326,425)	-
-Installment trade receivables			
Less: Loss allowance	(4,201,561)	(3,827,495)	(3,301,226)
	<u>\$ 137,637,388</u>	<u>\$ 139,326,846</u>	<u>\$ 110,556,618</u>

A. The aging analysis of notes and trade receivables is as follows:

	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Not past due	\$ 121,354,127	\$ 118,897,629	\$ 97,480,611
Less than 90 days past due	14,661,974	20,431,589	13,265,230
Between 91 and 180 days	2,463,997	944,155	643,849
past due			
More than 181 days past due	<u>3,358,851</u>	<u>2,880,968</u>	<u>2,468,154</u>
	<u>\$ 141,838,949</u>	<u>\$ 143,154,341</u>	<u>\$ 113,857,844</u>

B. As of March 31, 2026, December 31, 2025, March 31, 2025, and January 1, 2025, the balances of notes and trade receivables from contracts with customers amounted to \$141,968,829, \$143,480,766, \$113,857,844, and \$115,855,214, respectively.

C. The Group does not hold financial assets as security for trade receivables.

D. As of March 31, 2026, December 31, 2025 and March 31, 2025, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group's notes receivable were \$8,140,535, \$5,462,514 and \$8,027,113, respectively. The maximum exposure to credit risk in respect of the amount that best represents the Group's trade receivables were \$129,496,853, \$133,864,332 and \$102,529,505, respectively.

E. Information about credit risk of notes and trade receivables is provided in Note 12(2).

(7) Transfer of financial assets

Transferred financial assets that are derecognized entirety

The Group entered into a factoring agreement with Banco Santander, S.A. Bank to sell its accounts receivable. Under the agreement, the Group is not obligated to bear the uncollectible risk of the transferred accounts receivable, but is liable for the losses incurred on any business dispute. The Group does not have any continuing involvement in the transferred accounts receivable. Thus, the Group derecognized the transferred accounts receivable, and the related information is as follows:

December 31, 2025					
Purchaser of accounts receivable	Amount of accounts receivable transferred	Amount derecognised	Facilities	Amount advanced	Interest rate interval of amount advanced
Banco Santander	\$ 333,779	\$ 333,779	\$ 2,042,950	\$ 333,779	9.15%~9.98%
March 31, 2025					
Purchaser of accounts receivable	Amount of accounts receivable transferred	Amount derecognised	Facilities	Amount advanced	Interest rate interval of amount advanced
Banco Santander	\$ 334,612	\$ 334,612	\$ 2,158,325	\$ 334,612	9.15%~9.98%

(8) Offsetting financial assets and financial liabilities

A. The Group has assets (fair value of \$46,802,974, \$36,231,686 and \$37,494,027 as of March 31, 2026, December 31, 2025 and March 31, 2025, respectively) from and liabilities (fair value of \$51,394,025, \$49,987,259 and \$39,670,353 as of March 31, 2026, December 31, 2025 and March 31, 2025, respectively) to certain companies that meet the offsetting criteria in paragraph 42 of IAS 32, recognized as trade receivables and notes and trade payables at net amounts after the offsetting.

B. The recognition information of the Group due to net delivery agreement is expressed as follows:

Trade receivables, notes and trade payables with offsetting right						
	Gross amount of financial assets (before offsetting)	Gross amount of financial liabilities (before offsetting)	Offsetting amount	Net amount of financial assets (after offsetting)	Net amount of financial liabilities (after offsetting)	Not set off in the balance sheet: collateral (received) /provided
March 31, 2026	\$ 46,802,974	(\$ 51,394,025)	(\$ 46,294,647)	\$ 508,327	(\$ 5,099,378)	\$ -
December 31, 2025	36,231,686	(49,987,259)	(35,939,658)	292,028	(14,047,601)	-
March 31, 2025	37,494,027	(39,670,353)	(35,308,277)	2,185,750	(4,362,076)	-

(9) Inventories

	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Raw materials	\$ 123,704,473	\$ 77,494,465	\$ 72,268,404
Work in process	21,074,453	18,333,338	7,270,089
Finished goods	21,504,211	10,728,705	10,226,833
Merchandise inventories	89,594,667	88,806,935	63,712,747
Inventories in transit	4,959,858	2,279,031	2,019,603
	<u>\$ 260,837,662</u>	<u>\$ 197,642,474</u>	<u>\$ 155,497,676</u>

Except for cost of goods sold, the Group recognized in expenses and losses of inventories in the amounts of \$3,091,331 and (\$552,040), of which \$3,110,504 and (\$576,831) pertain to the decline (recovery) in value of inventories for the three months ended March 31, 2026 and 2025, respectively. The gain on reversal during the period mentioned above were due to inventories which were subsequently sold.

(10) Investments accounted for under equity method

	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Associates			
WT	\$ 17,372,979	\$ 17,460,136	\$ 17,923,415
Others	13,753,936	13,431,465	13,180,108
	<u>\$ 31,126,915</u>	<u>\$ 30,891,601</u>	<u>\$ 31,103,523</u>

A. The Group's associates are all immaterial, and the summary on financial information of share attributable to the Group is as follows:

	<u>Three Months Ended</u>	
	<u>March 31, 2026</u>	<u>March 31, 2025</u>
(Loss) profit for the period	\$ 1,265,265	\$ 1,098,414
Other comprehensive (loss) income for the period (net of income tax)	(93,507)	53,842
Total comprehensive (loss) income for the period (net of income tax)	<u>\$ 1,171,758</u>	<u>\$ 1,152,256</u>

B. The fair value of the Group's associates which have quoted market price is as follows:

	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Associates			
WT	\$ 40,952,331	\$ 25,854,698	\$ 18,437,985
Others	8,728,886	9,721,266	10,065,028
	<u>\$ 49,681,217</u>	<u>\$ 35,575,964</u>	<u>\$ 28,503,013</u>

C. As of March 31, 2026 and 2025, the investments accounted for under equity method amounted to \$5,218,370 and \$4,530,566, respectively, and the share of comprehensive income amounted to \$241,540 and \$617,371 for the three months ended March 31, 2026 and 2025, respectively, which were evaluated based on the investees' unreviewed financial statements.

D. The Group is the single largest shareholder of IBASE, ASUSTOR, EMC, UPI, LELTEK and WT with a 26.57%, 38.04%, 12.50%, 21.94%, 19.90% and 14.91% equity interest, respectively. Given the degree of other shareholders involvement in prior stockholders' meeting and record of voting rights for major proposals, which indicates that the Group has no substantial ability to direct the relevant activities, the Group has no control, but only has significant influence, over the companies.

(11) Property, plant and equipment

	Land	Buildings	Machinery and equipment	Miscellaneous equipment	Construction in progress and equipment under installation	Total
January 1, 2026						
Cost	\$ 7,811,947	\$14,898,042	\$ 8,034,885	\$ 4,690,432	\$ 556,711	\$ 35,992,017
Accumulated depreciation and impairment	-	(5,170,304)	(6,160,918)	(3,301,879)	-	(14,633,101)
	<u>\$ 7,811,947</u>	<u>\$ 9,727,738</u>	<u>\$ 1,873,967</u>	<u>\$ 1,388,553</u>	<u>\$ 556,711</u>	<u>\$ 21,358,916</u>
January 1, 2026	\$ 7,811,947	\$ 9,727,738	\$ 1,873,967	\$ 1,388,553	\$ 556,711	\$ 21,358,916
Acquisitions	-	7,758	115,080	90,039	4,899	217,776
Disposals	-	(3)	(11,810)	(491)	-	(12,304)
Depreciation	-	(104,973)	(172,221)	(119,223)	-	(396,417)
Impairment	-	-	-	(1,576)	-	(1,576)
Reclassifications	251,517	116,737	1,929	8,281	(380,281)	(1,817)
Net exchange differences	12,075	59,486	12,629	13,291	6,838	104,319
March 31, 2026	<u>\$ 8,075,539</u>	<u>\$ 9,806,743</u>	<u>\$ 1,819,574</u>	<u>\$ 1,378,874</u>	<u>\$ 188,167</u>	<u>\$ 21,268,897</u>
March 31, 2026						
Cost	\$ 8,075,539	\$15,164,353	\$ 7,724,040	\$ 4,804,020	\$ 188,167	\$ 35,956,119
Accumulated depreciation and impairment	-	(5,357,610)	(5,904,466)	(3,425,146)	-	(14,687,222)
	<u>\$ 8,075,539</u>	<u>\$ 9,806,743</u>	<u>\$ 1,819,574</u>	<u>\$ 1,378,874</u>	<u>\$ 188,167</u>	<u>\$ 21,268,897</u>

	Land	Buildings	Machinery and equipment	Miscellaneous equipment	Construction in progress and equipment under installation	Total
January 1, 2025						
Cost	\$7,761,790	\$14,307,112	\$ 8,355,080	\$ 4,453,443	\$ 307,180	\$35,184,605
Accumulated depreciation and impairment	-	(4,857,784)	(6,412,260)	(3,076,522)	-	(14,346,566)
	<u>\$7,761,790</u>	<u>\$ 9,449,328</u>	<u>\$ 1,942,820</u>	<u>\$ 1,376,921</u>	<u>\$ 307,180</u>	<u>\$20,838,039</u>
January 1, 2025	\$7,761,790	\$ 9,449,328	\$ 1,942,820	\$ 1,376,921	\$ 307,180	\$20,838,039
Acquisitions	-	5,350	145,091	67,180	87,191	304,812
Disposals	-	-	(1,029)	(3,267)	-	(4,296)
Depreciation	-	(98,266)	(200,863)	(109,127)	-	(408,256)
Reclassifications	73,875	312,744	1,478	28,296	(32,120)	384,273
Net exchange differences	14,280	60,314	13,841	18,916	4,134	111,485
March 31, 2025	<u>\$7,849,945</u>	<u>\$ 9,729,470</u>	<u>\$ 1,901,338</u>	<u>\$ 1,378,919</u>	<u>\$ 366,385</u>	<u>\$21,226,057</u>
March 31, 2025						
Cost	\$7,849,945	\$14,744,602	\$ 8,417,251	\$ 4,529,710	\$ 366,385	\$35,907,893
Accumulated depreciation and impairment	-	(5,015,132)	(6,515,913)	(3,150,791)	-	(14,681,836)
	<u>\$7,849,945</u>	<u>\$ 9,729,470</u>	<u>\$ 1,901,338</u>	<u>\$ 1,378,919</u>	<u>\$ 366,385</u>	<u>\$21,226,057</u>

A. After evaluating and comparing the carrying amount of property, plant and equipment and its recoverable amounts, the Group recognized impairment loss amounting to \$1,576 and \$0 for the three months ended March 31, 2026 and 2025, respectively.

B. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.

(12) Leasing arrangements - lessee

A. The Group leases various assets including buildings, transportation equipment, miscellaneous equipment, land use right, and so on. Rental contracts are typically made for periods of 1 to 50 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.

B. Right-of-use-assets

	Buildings	Machinery and equipment	Transportation equipment	Miscellaneous equipment	Land use right	Total
January 1, 2026	\$ 1,637,550	\$ 742	\$ 24,362	\$ 1,370	\$ 513,166	\$ 2,177,190
Acquisitions	100,186	-	2,372	-	-	102,558
Disposals	(3,905)	-	(735)	-	-	(4,640)
Depreciation	(135,354)	(182)	(4,975)	(65)	(3,871)	(144,447)
Reclassifications	6,000	-	-	-	-	6,000
Net exchange differences	7,710	-	(61)	1	12,286	19,936
March 31, 2026	<u>\$ 1,612,187</u>	<u>\$ 560</u>	<u>\$ 20,963</u>	<u>\$ 1,306</u>	<u>\$ 521,581</u>	<u>\$ 2,156,597</u>

	Buildings	Machinery and equipment	Transportation equipment	Miscellaneous equipment	Land use right	Total
January 1, 2025	\$1,666,206	\$ 447	\$ 32,810	\$ 463	\$ 443,547	\$2,143,473
Acquisitions	59,275	943	1,311	-	-	61,529
Disposals	-	-	(161)	-	-	(161)
Depreciation	(130,124)	(103)	(5,323)	(115)	(3,462)	(139,127)
Reclassifications	(714)	-	-	-	6,415	5,701
Net exchange differences	24,903	-	957	4	7,474	33,338
March 31, 2025	<u>\$1,619,546</u>	<u>\$ 1,287</u>	<u>\$ 29,594</u>	<u>\$ 352</u>	<u>\$ 453,974</u>	<u>\$2,104,753</u>

C. The information on income and expense accounts relating to lease contracts is as follows:

	Three Months Ended	
	March 31, 2026	March 31, 2025
<u>Items affecting profit or loss</u>		
Interest expense on lease liabilities	\$ 15,769	\$ 15,962
Expense on short-term lease contracts	72,529	91,332
Expense on leases of low-value assets	867	1,480
Losses (gains) on lease modification	(2,180)	(233)

D. For the three months ended March 31, 2026 and 2025, the Group's total cash outflow for leases were \$244,174 and \$264,854, respectively.

(13) Intangible assets

	<u>Trademark</u>	<u>Computer software</u>	<u>Goodwill</u>	<u>Customer Relationship</u>	<u>Others</u>	<u>Total</u>
January 1, 2026						
Cost	\$ 794,187	\$ 2,644,078	\$ 8,921,193	\$ 2,541,176	\$ 1,122,113	\$ 16,022,747
Accumulated amortization and impairment	-	(1,956,211)	(31,598)	(245,032)	(506,945)	(2,739,786)
	<u>\$ 794,187</u>	<u>\$ 687,867</u>	<u>\$ 8,889,595</u>	<u>\$ 2,296,144</u>	<u>\$ 615,168</u>	<u>\$ 13,282,961</u>
January 1, 2026	\$ 794,187	\$ 687,867	\$ 8,889,595	\$ 2,296,144	\$ 615,168	\$ 13,282,961
Acquisitions	-	207,755	-	-	-	207,755
Amortization	(27,356)	(144,918)	-	(73,256)	(11,467)	(256,997)
Reclassifications	-	222	-	-	-	222
Net exchange differences	-	2,818	-	7,972	(15,656)	(4,866)
March 31, 2026	<u>\$ 766,831</u>	<u>\$ 753,744</u>	<u>\$ 8,889,595</u>	<u>\$ 2,230,860</u>	<u>\$ 588,045</u>	<u>\$ 13,229,075</u>
March 31, 2026						
Cost	\$ 794,187	\$ 2,835,185	\$ 8,921,193	\$ 2,551,845	\$ 970,678	\$ 16,073,088
Accumulated amortization and impairment	(27,356)	(2,081,441)	(31,598)	(320,985)	(382,633)	(2,844,013)
	<u>\$ 766,831</u>	<u>\$ 753,744</u>	<u>\$ 8,889,595</u>	<u>\$ 2,230,860</u>	<u>\$ 588,045</u>	<u>\$ 13,229,075</u>
	<u>Trademark</u>	<u>Computer software</u>	<u>Goodwill</u>	<u>Customer Relationship</u>	<u>Others</u>	<u>Total</u>
January 1, 2025						
Cost	\$ 355,301	\$ 2,529,422	\$ 1,377,322	\$ 465,859	\$ 809,776	\$ 5,537,680
Accumulated amortization and impairment	-	(1,859,800)	(31,598)	(110,919)	(644,355)	(2,646,672)
	<u>\$ 355,301</u>	<u>\$ 669,622</u>	<u>\$ 1,345,724</u>	<u>\$ 354,940</u>	<u>\$ 165,421</u>	<u>\$ 2,891,008</u>
January 1, 2025	\$ 355,301	\$ 669,622	\$ 1,345,724	\$ 354,940	\$ 165,421	\$ 2,891,008
Acquisitions	-	36,933	-	-	32,725	69,658
Disposals	-	(414)	-	-	-	(414)
Amortization	-	(114,303)	-	(16,638)	(11,041)	(141,982)
Reclassifications	-	107,070	-	-	-	107,070
Net exchange differences	-	741	-	-	1,964	2,705
March 31, 2025	<u>\$ 355,301</u>	<u>\$ 699,649</u>	<u>\$ 1,345,724</u>	<u>\$ 338,302</u>	<u>\$ 189,069</u>	<u>\$ 2,928,045</u>
March 31, 2025						
Cost	\$ 355,301	\$ 2,581,669	\$ 1,377,322	\$ 465,859	\$ 847,334	\$ 5,627,485
Accumulated amortization and impairment	-	(1,882,020)	(31,598)	(127,557)	(658,265)	(2,699,440)
	<u>\$ 355,301</u>	<u>\$ 699,649</u>	<u>\$ 1,345,724</u>	<u>\$ 338,302</u>	<u>\$ 189,069</u>	<u>\$ 2,928,045</u>

- A. The assessment of goodwill for impairment involves significant management judgment, including the identification of cash-generating units and the determination of their recoverable amount (which is the higher of value in use and fair value less costs to sell). The key assumptions are determined based on historical performance and market expectations for budget gross profit margins, and by referencing historical experience and industry expectations to apply a weighted average growth rate. Additionally, a post-tax discount rate reflecting the specific risks of the operating segment is used as the basis for the assessment. The principal assumptions adopted for the assessment as of March 31, 2026 are as follows:

	<u>Three Months Ended</u> <u>March 31, 2026</u>
Gross margin	52%~54%
Revenue growth rate	2%~21%
Discount rate	11.90%

Based on the evaluation conducted, no impairment loss on goodwill was recognized for the period from January 1 to March 31, 2026.

- B. As of March 31, 2026, the Group recorded goodwill arising from the acquisition of TECHPOINT, INC. (hereinafter referred to as TECHPOINT) of \$7,553,308. Goodwill impairment testing involved allocating the goodwill to the cash-generating units related to TECHPOINT, with the recoverable amount determined based on value in use. Value in use is estimated based on the five-year budget cash flows approved by the management.

- C. The Group has no intangible assets pledged to others.

(14) Short-term borrowings

<u>Type of borrowings</u>	<u>March 31, 2026</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Guaranteed borrowings	\$ 50,000	2.16%	Property, plant and equipment
Credit borrowings	41,271,553	1.63%~5.21%	-
Other short-term borrowings	95,824	3.56%	Machinery and Miscellaneous equipment
	<u>\$ 41,417,377</u>		

Type of borrowings	December 31, 2025	Interest rate range	Collateral
Bank borrowings			
Guaranteed borrowings	\$ 50,000	2.15%	Property, plant and equipment
Credit borrowings	29,478,382	1.63%~6.66%	-
Other short-term borrowings	153,328	3.56%	Machinery and Miscellaneous equipment
	<u>\$ 29,681,710</u>		
Type of borrowings	March 31, 2025	Interest rate range	Collateral
Bank borrowings			
Credit borrowings	\$ 28,204,629	1.76%~6.09%	-
Other short-term borrowings	75,000	3.60%	Machinery and Miscellaneous equipment
	<u>\$ 28,279,629</u>		

Information about the assets pledged as collateral for the Group's short-term borrowings is disclosed in Note 8.

(15) Long-term borrowings

Type of borrowing	Borrowing period and repayment term	Interest rate	Collateral	March 31, 2026
Long-term bank borrowings				
Guaranteed borrowings	Borrowing period is from May 28, 2021 to May 28, 2036; interest is repayable monthly	1.98%	Land and buildings	\$ 121,252
Credit borrowings	Borrowing period is from November 28, 2024 to November 28, 2027; the principal is payable in 12 quarterly installments, with each installment amounting to \$15,000 for the 1st to 11th installments and the remaining balance shall be paid in full on the 12th installment; interest is repayable monthly	2.50%	-	225,000
				<u>\$ 346,252</u>
Less: Current portion				<u>(70,876)</u>
				<u>\$ 275,376</u>

Type of borrowing	Borrowing period and repayment term	Interest rate	Collateral	December 31, 2025
Long-term bank borrowings				
Guaranteed borrowings	Borrowing period is from May 28, 2021 to May 28, 2036; interest is repayable monthly	1.98%	Land and buildings	\$ 123,946
Credit borrowings	Borrowing period is from January 5, 2023 to January 5, 2026; interest is repayable	2.49%	-	2,084
Credit borrowings	Borrowing period is from November 28, 2024 to November 28, 2027; the principal is payable in 12 quarterly installments, with each installment amounting to \$15,000 for the 1st to 11th installments and the remaining balance shall be paid in full on the 12th installment; interest is repayable monthly	2.50%	-	240,000
				<u>\$ 366,030</u>
Less: Current portion				<u>(72,907)</u>
				<u>\$ 293,123</u>

Type of borrowing	Borrowing period and repayment term	Interest rate	Collateral	March 31, 2025
Long-term bank borrowings				
Guaranteed borrowings	Borrowing period is from May 28, 2021 to May 28, 2036; interest is repayable monthly	1.98%	Land and buildings	\$ 131,916
Credit borrowings	Borrowing period is from January 5, 2023 to January 5, 2026; interest is repayable	2.49%	-	20,834
Credit borrowings	Borrowing period is from November 28, 2024 to November 28, 2027; the principal is payable in 12 quarterly installments, with each installment amounting to \$15,000 for the 1st to 11th installments and the remaining balance shall be paid in full on the 12th installment; interest is repayable monthly	2.50%	-	285,000
				<u>\$ 437,750</u>
Less: Current portion				<u>(91,497)</u>
				<u>\$ 346,253</u>

Information about the assets pledged as collateral for the Group's long-term borrowings is disclosed in Note 8.

(16) Pensions

A. Defined benefit pension plans

- (A) The Company and its domestic subsidiaries have a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company and its domestic subsidiaries contribute monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company and its domestic subsidiaries would assess the balance in the aforementioned labor pension reserve account by December 31, every year. If the account balance is not enough to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company and its domestic subsidiaries will make contribution for the deficit by next March.
- (B) The pension costs under the defined benefit pension plans of the Group were \$3,828 and \$4,078 for the three months ended March 31, 2026 and 2025, respectively.
- (C) Expected contribution to the defined benefit pension plans of the Group for the year ending December 31, 2027 is \$5,748.

B. Defined contribution pension plans

- (A) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (New Plan) under the Labor Pension Act, covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees' monthly salaries and wages to the employees' individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.
- (B) The Company's mainland subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People's Republic of China are based on a certain percentage of employees' monthly salaries and wages. Other than the monthly contributions, the Group has no further obligations.
- (C) The pension costs under the defined contribution pension plans of the Group were \$440,270 and \$409,606 for the three months ended March 31, 2026 and 2025, respectively.

(17) Provisions for liabilities

	Provisions for warranty	Provisions for legal claims and royalty	Total
January 1, 2026	\$ 26,411,532	\$ 8,168,887	\$ 34,580,419
Recognition (reversal)	2,467,131	(4,579)	2,462,552
Use	(2,302,048)	-	(2,302,048)
Net exchange differences	508,450	154,046	662,496
March 31, 2026	<u>\$ 27,085,065</u>	<u>\$ 8,318,354</u>	<u>\$ 35,403,419</u>

	Provisions for warranty	Provisions for legal claims and royalty	Total
January 1, 2025	\$ 25,730,431	\$ 7,727,752	\$ 33,458,183
Recognition (reversal)	1,637,687	141,739	1,779,426
Use	(2,231,799)	-	(2,231,799)
Net exchange differences	359,449	111,271	470,720
March 31, 2025	<u>\$ 25,495,768</u>	<u>\$ 7,980,762</u>	<u>\$ 33,476,530</u>

Analysis of total provisions:

	March 31, 2026	December 31, 2025	March 31, 2025
Current	<u>\$ 35,403,419</u>	<u>\$ 34,580,419</u>	<u>\$ 33,476,530</u>

A. Provisions for warranty

The Group provides warranties on 3C products sold. Provision for warranty is estimated based on these products' historical warranty data. A provision is recognized as current when it is expected to be used in one year.

B. Provisions for legal claims and royalty

The Group recognizes provision for legal claims or royalty fees made by the patentees against the Group. After taking appropriate legal advice, the management evaluates the probable claimable fees accrued as provision for liabilities. The provision charge is recognized in profit or loss within operating costs and expenses.

(18) Refund liabilities

	2026	2025
January 1	\$ 39,740,284	\$ 36,156,193
(Reversal) recognition	16,665,415	15,128,633
Use	(18,042,596)	(18,239,572)
Net exchange differences	690,023	520,840
March 31	<u>\$ 39,053,126</u>	<u>\$ 33,566,094</u>

The Group recognizes refund liabilities on 3C products sold. Refund liabilities are estimated based on these products' historical data and other known factors. A provision is recognized as current when it is expected to be used in one year.

(19) Common shares

A. As of March 31, 2026, the Company's authorized capital was \$47,500,000, consisting of 4,750,000,000 shares of common stock (including 50,000,000 shares which were reserved for employee stock options), and the paid-in capital was \$7,427,603, with a par value of \$10 (in dollars) per share. All proceeds from shares issued have been collected.

The number of the Company's ordinary shares outstanding at the beginning and ending for the three months ended March 31, 2026 and 2025 are both 742,760,280 shares.

B. As of March 31, 2026, the Company issued Global Depositary Receipts (GDRs), of which 3,904 thousand units of the GDRs are now listed on the Luxembourg Stock Exchange. Per unit of GDR represents 5 shares of the Company's common stock and total GDRs represent 19,518 thousand shares of the Company's common stock. The terms of GDR are as follows:

(A) Voting rights

GDR holders may, pursuant to the Depositary Agreement and the relevant laws and regulations of the R.O.C., exercise the voting rights pertaining to the underlying common shares represented by the GDRs.

(B) Dividends, stock warrants and other rights

GDR holders and common shareholders are all entitled to receive dividends. The Depositary may issue new GDRs in proportion to GDRs holding ratios or raise the number of shares of common stock represented by each unit of GDR or sell stock dividends on behalf of GDR holders and distribute proceeds to them in proportion to their GDRs holding ratios.

(20) Capital surplus

Pursuant to the R.O.C. Company Law, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalized mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.

	March 31, 2026	December 31, 2025	March 31, 2025
Share premium	\$ 4,202,354	\$ 4,202,354	\$ 4,202,354
Difference between consideration and carrying amount of subsidiaries acquired or disposed	892,256	892,255	891,637
Recognition of changes in ownership interest in subsidiaries	7,883,318	8,176,402	8,002,676
Changes in associates and joint ventures accounted for under equity method	3,704,629	4,105,356	3,738,161
	<u>\$ 16,682,557</u>	<u>\$ 17,376,367</u>	<u>\$ 16,834,828</u>

(21) Retained earnings

- A. Under the Company's Articles of Incorporation, the current year's profit after income tax, shall first be offset against prior years' operating losses and then 10% of the remaining amount shall be set aside as legal reserve. When such legal reserve amounts to the total authorized capital, the Company shall not be subject to this requirement. The Company may then appropriate or reverse a certain amount as special reserve according to the demand for the business or relevant regulations. After the distribution of earnings, the remaining earnings and prior years' undistributed earnings may be appropriated according to a resolution of the Board of Directors adopted in the shareholders' meeting.
- B. The dividend policies of the Company are as follows: Considering the rapid changing industrial environment the Company faces, long-term financial plan and the satisfaction of the demand for cash by the shareholders, the Company should distribute cash dividends of not less than 10% of the total dividends declared each year.
- C. Except for covering accumulated deficit, increasing capital or payment of cash in proportion to ownership percentage, the legal reserve shall not be used for any other purpose. The amount capitalized or the cash payment shall be limited to the portion of legal reserve which exceeds 25% of the paid-in capital.
- D. (A) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the end of the financial reporting period before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.
(B) The amounts previously set aside by the Company as special reserve on initial application of IFRSs, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. As resolved by the shareholders on May 28, 2025, the Company distributed cash dividends to owners amounting to \$25,253,849 (\$34 (in dollars) per share) for the appropriation of 2024 earnings. On March 10, 2026, the Board of Directors resolved the distribution of cash dividends amounting to \$31,195,932 (\$42 (in dollars) per share) for the appropriation of 2025 earnings. However, as of May 12, 2026, the proposal has not yet been resolved by the shareholders and not yet distributed.

(22) Other equity

	Gains (losses) on hedging instruments	Unrealized gains (losses) on valuation of financial assets at fair value through other comprehensive income	Financial statements translation differences of foreign operations	Remeasurement of defined benefit plans	Total
January 1, 2026	(\$ 183,066)	\$ 40,061,332	\$ 1,669,551	(\$ 58,771)	\$ 41,489,046
-The Company	-	6,890,422	1,736,537	-	8,626,959
-Subsidiaries	756,324	(282,438)	420,976	(1,120)	893,742
-Associates	-	39,677	(71,050)	(92)	(31,465)
March 31, 2026	<u>\$ 573,258</u>	<u>\$ 46,708,993</u>	<u>\$ 3,756,014</u>	<u>(\$ 59,983)</u>	<u>\$ 50,978,282</u>

	Gains (losses) on hedging instruments	Unrealized gains (losses) on valuation of financial assets at fair value through other comprehensive income	Financial statements translation differences of foreign operations	Remeasurement of defined benefit plans	Total
January 1, 2025	\$ 755,766	\$ 56,823,384	\$ 5,155,882	(\$ 35,340)	\$ 62,699,692
-The Company	-	(451,906)	1,236,122	-	784,216
-Subsidiaries	(1,445,082)	(412,146)	635,794	-	(1,221,434)
-Associates	-	(104,956)	135,768	-	30,812
March 31, 2025	<u>(\$ 689,316)</u>	<u>\$ 55,854,376</u>	<u>\$ 7,163,566</u>	<u>(\$ 35,340)</u>	<u>\$ 62,293,286</u>

(23) Operating revenue

	Three Months Ended	
	March 31, 2026	March 31, 2025
Revenue from contracts with customers	<u>\$ 208,369,726</u>	<u>\$ 147,693,211</u>

A. Disaggregation of revenue from contracts with customers

The Group's revenue is derived from the transfer of goods and services over time and at a point in time in the following major product lines:

<u>Three months ended Ended March 31, 2026</u>	<u>3C products</u>	<u>Others</u>	<u>Total</u>
Revenue from contracts with customers	<u>\$ 205,463,037</u>	<u>\$ 2,906,689</u>	<u>\$ 208,369,726</u>
Timing of revenue recognition			
Revenue recognized at a point in time	\$ 205,202,290	\$ 2,387,960	\$ 207,590,250
Revenue recognized over time	<u>260,747</u>	<u>518,729</u>	<u>779,476</u>
	<u>\$ 205,463,037</u>	<u>\$ 2,906,689</u>	<u>\$ 208,369,726</u>
<u>Three months ended Ended March 31, 2025</u>	<u>3C products</u>	<u>Others</u>	<u>Total</u>
Revenue from contracts with customers	<u>\$ 143,448,500</u>	<u>\$ 4,244,711</u>	<u>\$ 147,693,211</u>
Timing of revenue recognition			
Revenue recognized at a point in time	\$ 143,286,029	\$ 4,015,670	\$ 147,301,699
Revenue recognized over time	<u>162,471</u>	<u>229,041</u>	<u>391,512</u>
	<u>\$ 143,448,500</u>	<u>\$ 4,244,711</u>	<u>\$ 147,693,211</u>

B. Contract liabilities

(A) The amounts of recognized contract liabilities related to the contract revenue from sales, warranty and royalty of the Group are \$4,285,427, \$7,318,521, \$4,828,393, and \$3,698,809 as of March 31, 2026, December 31, 2025, March 31, 2025, and January 1, 2025, respectively.

(B) The revenue recognized from the beginning balance of contract liabilities amounted to \$4,197,633 and \$1,054,666 for the three months ended March 31, 2026 and 2025, respectively.

(24) Other income

	<u>Three Months Ended</u>	
	<u>March 31, 2026</u>	<u>March 31, 2025</u>
Rent income	\$ 69,874	\$ 57,463
Dividend income	<u>10,601</u>	<u>14,313</u>
	<u>\$ 80,475</u>	<u>\$ 71,776</u>

(25) Other (losses) gains

	Three Months Ended	
	March 31, 2026	March 31, 2025
Net currency exchange gains (losses)	(\$ 274,980)	\$ 1,961,343
Net gains (losses) on derivative financial instruments	82,712 (	425,471)
Net (losses) gains on non-derivative financial instruments	313,994	76,902
Others	26,464	191,318
	<u>\$ 148,190</u>	<u>\$ 1,804,092</u>

(26) Costs and expenses by nature

	Three Months Ended					
	March 31, 2026			March 31, 2025		
	Operating costs	Operating expenses	Total	Operating costs	Operating expenses	Total
Employee benefit expenses	\$ 1,166,852	\$10,207,169	\$11,374,021	\$ 1,095,379	\$ 9,431,894	\$10,527,273
Depreciation	138,426	402,438	540,864	147,292	400,091	547,383
Amortization	6,583	250,414	256,997	5,095	177,287	182,382

(27) Employee benefit expenses

	Three Months Ended	
	March 31, 2026	March 31, 2025
Wages and salaries	\$ 9,889,826	\$ 9,188,706
Labor and health insurance	680,778	641,666
Pension (Note)	444,098	413,684
Other personnel expenses	359,319	283,217
	<u>\$ 11,374,021</u>	<u>\$ 10,527,273</u>

Note: Includes the pension expense under the defined contribution plan and defined benefit plan.

A. According to the Articles of Incorporation of the Company, the current year's profit shall be used first to cover accumulated deficit, if any, and then the remaining balance shall be distributed as follows: no less than 1% as employees' compensation, and no more than 1% as directors' remuneration. At least 20% of the employees' compensation shall be reserved for rank-and-file employees.

B. For the three months ended March 31, 2026 and 2025 employees' compensation were accrued at \$677,884 and \$875,494, respectively; directors' remuneration were accrued at \$35,678 and \$46,079, respectively. The aforementioned amounts were recognized in salary expense.

According to the Articles of Incorporation of the Company, the current year's profit shall be used first to cover accumulated deficit, if any, and then the remaining balance shall be distributed as follows: no less than 1% as employees' compensation, and no more than 1% as directors' remuneration.

Employees' compensation and directors' remuneration amounting to \$2,883,725 and \$151,775, respectively, for 2025 as resolved by the Board of Directors during its meeting were in agreement with those amounts recognized in the 2025 financial statements. AS of May 12, 2026, the employees' compensation and directors' remuneration of the Company for 2025 has not yet been distributed. Related information shall be inquired at the Market Observation Post System website.

(28) Income tax

A. Income tax expenses

(A) Components of income tax expense:

	Three Months Ended	
	March 31, 2026	March 31, 2025
Current income tax:		
Income tax expense	\$ 2,702,804	\$ 2,685,515

(B) The income tax relating to components of other comprehensive income is as follows:

	Three Months Ended	
	March 31, 2026	March 31, 2025
Changes in fair value of financial assets at fair value through other comprehensive income	(\$ 22,540)	(\$ 59,392)
Currency translation differences	521,225	470,685
Remeasurements of defined benefit plans	1,120	-
	\$ 499,805	\$ 411,293

B. The Tax Authority has examined the Company's income tax returns through 2022. In addition, the Company has filed administrative remedies for the Company's 2018 income tax assessment

C. The Group has applied the exception to recognizing and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.

D. The current tax expense related to Pillar Two income taxes that the Group recognized for the three months ended March 31, 2026 and 2025 were \$43,421 and \$401,988, respectively.

E. The Group's exposure to Pillar Two income tax arising from Pillar Two legislation is explained as follows:

- a. The Group falls within the scope of the Pillar Two Model Rules issued by the Organisation for Economic Co-operation and Development (OECD). Under these rules, the Group will be obligated to pay top-up tax in each jurisdiction based on the difference between the effective tax rate calculated under the Global Anti-Base Erosion (GloBE) rules and the minimum tax rate of 15%. The Pillar Two legislation has been enacted in Singapore, the jurisdiction where the Group's entities were incorporated, and became effective from January 1, 2025. While Pillar Two legislation has also been enacted in some other jurisdictions where the Group operates, an assessment indicates no material impact on the Group.
- b. Information about the Group exposure to Pillar Two income taxes arising from the Pillar Two legislation is provided in Note 6(28) in the 2025 consolidated financial statements. The Group will continue to evaluate the impact of this legislation on its future financial performance.

(29) Earnings per share

		Three Months Ended	
		March 31, 2026	March 31, 2025
Profit:			
Profit attributable to shareholders of the parent	\$	<u>9,797,017</u>	<u>\$ 12,790,597</u>
Number of shares (shares in thousands):			
Weighted average number of shares outstanding - basic		<u>742,760</u>	<u>742,760</u>
Basic earnings per share (in dollars):			
Profit attributable to shareholders of the parent	\$	<u>13.19</u>	<u>\$ 17.22</u>
		Three Months Ended	
		March 31, 2026	March 31, 2025
Profit:			
Profit attributable to shareholders of the parent	\$	<u>9,797,017</u>	<u>\$ 12,790,597</u>
Number of shares (shares in thousands):			
Weighted average number of shares outstanding - basic		<u>742,760</u>	<u>742,760</u>
The effect of dilutive potential common shares - employees' compensation		<u>5,883</u>	<u>4,243</u>
Weighted average number of shares outstanding - diluted		<u>748,643</u>	<u>747,003</u>
Diluted earnings per share (in dollars):			
Profit attributable to shareholders of the parent	\$	<u>13.09</u>	<u>\$ 17.12</u>

(30) Changes in liabilities arising from financing activities

	January 1, 2026	Cash flow	Non-cash changes		March 31, 2026
			Foreign exchange changes	Others	
Short-term borrowings	\$ 29,681,710	\$ 11,635,464	\$ 100,203	\$ -	\$ 41,417,377
Long-term borrowings	366,030	(19,778)	-	-	346,252
Lease liabilities	1,721,764	(155,009)	16,725	94,986	1,678,466
	<u>\$ 31,769,504</u>	<u>\$ 11,460,677</u>	<u>\$ 116,928</u>	<u>\$ 94,986</u>	<u>\$ 43,442,095</u>

	January 1, 2025	Cash flow	Non-cash changes		March 31, 2025
			Foreign exchange changes	Others	
Short-term borrowings	\$ 25,200,887	\$ 3,015,689	\$ 63,053	\$ -	\$ 28,279,629
Long-term borrowings	461,642	(23,892)	-	-	437,750
Lease liabilities	1,774,308	(156,080)	25,744	60,623	1,704,595
	<u>\$ 27,436,837</u>	<u>\$ 2,835,717</u>	<u>\$ 88,797</u>	<u>\$ 60,623</u>	<u>\$ 30,421,974</u>

7. RELATED PARTY TRANSACTIONS

(1) Parent and ultimate controlling party

The Company's shares are widely held, so there is no ultimate parent or controlling party.

(2) Names of related parties and relationship

Names of related parties	Relationship with the Group
ASUSTOR INC. (ASUSTOR)	Associate
IBASE TECHNOLOGY INC. (IBASE)	Associate
LITEMAX ELECTRONICS INC. (LITEMAX)	Associate
TECHMOSA INTERNATIONAL INC. (TECHMOSA)	Associate
MORRIHAN INTERNATIONAL CORP. (MORRIHAN)	Associate
NUVISION TECHNOLOGY, INC. (NUVISION)	Associate
WT MICROELECTRONICS CO., LTD. (WT)	Associate
WINMATE INC. (WINMATE)	Associate
PORTWELL INC. (PORTWELL)	Associate
IBASE SOLUTION CO., LTD. (IBASEGI)	Associate
LELTEK INC. (LELTEK)	Associate
UPI SEMICONDUCTOR CORP. (UPI)	Associate
IBASE (SHANGHAI) TECHNOLOGY INC. (IBASESH)	Associate
IMOZEN GROUP INC. (IMOZEN)	Associate
QSAN TECHNOLOGY INC. (QSAN)	Associate
AMERICAN PORTWELL TECHNOLOGY INC. (APT)	Associate
EUROPEAN PORTWELL TECHNOLOGY B.V. (EPT)	Associate
PORTWELL JAPAN INC. (PJI)	Associate
FUTURE ELECTRONICS INC. (FUTURE)	Associate
Others	Other related party

(3) Significant transactions and balances with related parties

A. Sales of goods

	Three Months Ended	
	March 31, 2026	March 31, 2025
Sales of goods		
-Associates	\$ 225,925	\$ 344,654
-Others	1,847	3,009
	<u>\$ 227,772</u>	<u>\$ 347,663</u>

The collection periods of the Group to related parties are pay on delivery, open account 30 to 90 days and month-end 30 to 90 days or negotiated by both parties.

B. Purchases of goods and expenses

	Three Months Ended	
	March 31, 2026	March 31, 2025
Purchases of goods		
-Associates	\$ 752,864	\$ 855,009
-Others	19,056	32,129
Purchases of services and other expenditures		
-Associates	7,774	9,918
-Others	17,664	14,262
	<u>\$ 797,358</u>	<u>\$ 911,318</u>

The payment term of related parties to the Group are month-end 30 to 120 days, current month-end 90 to 120 days and open account 120 days.

C. Trade receivables and other receivables

	March 31, 2026	December 31, 2025	March 31, 2025
Trade receivables			
-Associates	\$ 103,082	\$ 72,264	\$ 172,254
-Others	363	448	537
	<u>103,445</u>	<u>72,712</u>	<u>172,791</u>
Other receivables			
-Associates	334	371	287
-Others	199	212	129
	<u>533</u>	<u>583</u>	<u>416</u>
	<u>\$ 103,978</u>	<u>\$ 73,295</u>	<u>\$ 173,207</u>

The trade receivables mainly arise from sales transactions, are unsecured in nature and bear no interest. The other receivables mainly pertain to settlement receivable.

D. Trade payables and other items of current liabilities

	March 31, 2026	December 31, 2025	March 31, 2025
Trade payables			
-Associates	\$ 1,187,226	\$ 1,606,875	\$ 1,426,694
-Others	37,752	49,271	52,542
	<u>1,224,978</u>	<u>1,656,146</u>	<u>1,479,236</u>
Other items of current liabilities			
-Associates	85,627	80,588	42,573
-Others	10,003	-	-
	<u>95,630</u>	<u>80,588</u>	<u>42,573</u>
	<u>\$ 1,320,608</u>	<u>\$ 1,736,734</u>	<u>\$ 1,521,809</u>

The trade payables arise mainly from purchase transactions and bear no interest.

(4) Key management compensation

	Three Months Ended	
	March 31, 2026	March 31, 2025
Salaries and other short-term employee benefits	\$ 783,719	\$ 988,885
Post-employment benefits	2,016	1,917
	<u>\$ 785,735</u>	<u>\$ 990,802</u>

8. **PLEDGED ASSETS**

Pledged assets	Items	Book Value			Purpose
		March 31, 2026	December 31, 2025	March 31, 2025	
Other current assets and other non-current assets	Pledged restricted deposits and refundable deposits	\$ 2,794,950	\$ 2,850,071	\$ 1,561,315	Note
Property, plant and equipment	Land, buildings, machinery and miscellaneous equipment	685,894	683,570	697,432	Bank loans, financing, credit limits and other short-term borrowings
Financial assets at amortized cost-non-current	Pledged restricted deposits	220,571	672,233	141,540	Bank loans, lodgment for security decided by court, project and contract deposit
Fair value through profit or loss-current	Listed and OTC stocks	618	-	-	Lawsuit
		<u>\$ 3,702,033</u>	<u>\$ 4,205,874</u>	<u>\$ 2,400,287</u>	

Note: Pledged for customs duties, lodgment for security decided by court, letter of credit, foreign exchange forward transactions, account for social security, security deposit for office and warehouse, project and contract deposit and bank loans, etc.

9. **SIGNIFICANT CONTINGENT LIABILITIES AND UNRECOGNIZED CONTRACT COMMITMENTS**

(1) Contingencies

Lawsuits for infringement of intellectual property rights

- A. The Group's various products in relation to display, projector and monitors with backlight display, cellphone supporting LTE, Flip series computer with reversible screen and products natively supporting HEVC were subject to lawsuits or investigations for patent infringement in the United States, Japan and Germany. The Group cannot presently determine the ultimate outcome of these lawsuits, but has already recognized the possible loss in the financial statements.
- B. Several patentees filed lawsuits or investigations for patent infringement including LED for cellphone products, various products using LVDS technology processors, products supporting DisplayPort/embedded DisplayPort, various products with backlight displays, notebooks using Panjit MOSFET, Flip series or other computers with reversible screens, product portfolio of routers and notebooks, products with 802.11ax (Wi-Fi 6/6E), Wake on Wireless Lan (WoWLAN) technology, Touchpad diagonal scrolling, or a hinge structure that allows the laptop screen to rotate 360 degrees, products using Windows 10/11 and supporting Windows Search Bar/Windows Search function, products supporting Qi wireless charging standard, 802.11ac-compatible routers and notebooks, products supporting H.265, various products supporting 5G mobile communications, display products with backlight modules, products equipped with Intel AX201 or AX211 Wi-Fi modules, products natively supporting AVC, HEVC, and AV1, mobile phone products, personal computers and mobile phone products natively supporting AVC, Type-C expansion modules, computer products regarding DRAM system operation frequency, ASUS notebook related products supporting TPM functionality, notebook products, power adapters of notebook products, power adapters of mobile products, Wi-Fi 6 products, Wi-Fi 7 products, Wi-Fi 8 products, Wi-Fi networking products, products supporting Wi-Fi 6, USB-C docking stations, network communication products supporting 802.11ax multicast functionality, ROG Ally X, mobile phone and tablet products pre-installed with Google Maps, and OLED panels for notebooks, mobile phones, and display products. These lawsuits or investigations are currently under investigation in the courts in the Republic of China, the United States, Japan, Brazil, Italy, Germany, Portuguese Republic, People's Republic of China, and India. The Group cannot presently determine the ultimate outcome and effect of these lawsuits.

(2) Commitments

- A. On January 15, 2025, the Board of Directors of the subsidiary, ASMEDIA, resolved to acquire the property in Baoyuan section of Xindian District for a total consideration of \$1,875,940. The agreement was officially signed on February 6, 2025. As of March 31, 2026, the consideration paid under the contract amounted to \$346,756.
- B. On January 15, 2025, the subsidiary, ASMEDIA, entered into a share swap agreement with TECHPOINT. According to the agreement, TECHPOINT's original restricted stocks to employees-equity-settled issued but not yet vested on the effective date of the merger, June 2, 2025, are settled by cash at a price of US\$20 (in dollars) per unit when reaching the vesting conditions specified in the original plan after the effective date of the merger. This adjustment resulted in incremental fair value of US\$6,241 thousand (approximately NT\$180 million). The incremental fair value granted will be recognized by the Group during the date of modification to the vesting date.
- D. On November 11, 2025, the Company's board of directors approved the Innovation-Industry Base self-construction project of the subsidiary, ACSH, a subsidiary. The estimated total budget for this project is 320 million Chinese Yuan (approximately 1.37 billion New Taiwan Dollars). As of March 31, 2026, the contract payments totaled \$20,594 and are recorded under construction in progress.

10. **SIGNIFICANT DISASTER LOSS**

None.

11. **SIGNIFICANT EVENTS AFTER THE END OF THE FINANCIAL REPORTING PERIOD**

On October 15, 2025, AAEON signed a contract with V-net AAEON Corporation Ltd. to acquire 85.5% equity interest in cash. The total transaction price is 1.37 billion yen (approximately 280 million New Taiwan Dollars). Under the contract, the transaction can only be carried out upon the fulfillment of all conditions precedent.

12. **OTHERS**

(1) Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debt. The Group monitors capital on the basis of the liability ratio. This ratio is calculated as total liabilities by total assets. Total liabilities calculated as "current liabilities plus non-current liabilities" are shown in the consolidated balance sheets.

During 2026, the Group's strategy was to maintain the liability ratio within reasonable security range, which was unchanged from 2025. The liability ratios are as follows:

	March 31, 2026	December 31, 2025	March 31, 2025
Total liabilities	\$ 354,711,686	\$ 334,093,522	\$ 269,496,455
Total assets	\$ 671,441,698	\$ 631,656,719	\$ 580,095,763
Liability ratio	52.83%	52.89%	46.46%

(2) Financial instruments

A. Financial instruments by category

	March 31, 2026	December 31, 2025	March 31, 2025
<u>Financial assets</u>			
Financial assets at fair value through profit or loss			
Financial assets mandatorily measured at fair value through profit or loss	\$ 3,242,845	\$ 2,581,256	\$ 2,331,124
Financial assets at fair value through other comprehensive income			
Designation of equity instruments	74,314,518	68,040,729	83,589,135
Qualified debt instruments	5,105,995	5,034,504	3,271,859
Financial assets at amortized cost			
Cash and cash equivalents	57,955,263	90,078,729	111,545,318
Financial assets at amortized cost	5,079,052	6,815,594	10,663,226
Notes receivable	8,140,535	5,462,514	8,027,113
Trade receivables	129,496,853	133,864,332	102,529,505
Other receivables	1,529,807	1,130,391	1,542,880
Refundable deposits	3,265,656	3,192,343	2,003,795
Derivative financial assets for hedging	665,840	67,310	29,081
	<u>\$ 288,796,364</u>	<u>\$ 316,267,702</u>	<u>\$ 325,533,036</u>

	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
<u>Financial liabilities</u>			
Financial liabilities at fair value through profit or loss			
Financial liabilities held for trading	\$ 32,654	\$ 404,581	\$ 549,895
Financial liabilities at amortized cost			
Short-term borrowings	41,417,377	29,681,710	28,279,629
Notes and trade payables	134,382,902	119,583,720	82,768,149
Other payables - accrued expenses	45,645,713	51,792,676	41,317,773
Long-term borrowings (including current portion)	346,252	366,030	437,750
Deposits received	1,229,152	1,326,233	1,103,530
Lease liabilities	1,678,466	1,721,764	1,704,595
Derivative financial liabilities for hedging	8,637	166,431	634,452
	<u>\$ 224,741,153</u>	<u>\$ 205,043,145</u>	<u>\$ 156,795,773</u>

B. Financial risk management policies

- (A) The Group's operating activities expose the Group to a variety of financial risks, including market risk (including foreign exchange risk, price risk and interest rate risk), credit risk and liquidity risk. To minimize any adverse effects on the financial performance of the Group, derivative financial instruments, such as foreign exchange forward contracts, currency option contracts and currency swap contracts are used to hedge certain exchange rate risk, and derivatives are used exclusively for hedging purposes and not as trading or speculative instruments.
- (B) The Group's key financial plans are all reviewed by the Board of Directors under the related principles and internal control system. When executing the financial plans, the Group's treasury departments will follow the financial operating procedures in accordance with the overall financial risk management and proper segregation of duties.
- (C) Information about derivative financial instruments that are used to hedge financial risk are provided in Notes 6(2) and (5).

C. Nature and degree of significant financial risks

(A) Market risk

Foreign exchange risk

- a. The Group operates internationally and is exposed to foreign exchange risk arising from the transactions of the Company and its subsidiaries used in various functional currency, primarily with respect to the USD, EUR and CNY. Foreign exchange risk arises from future commercial transactions, recognized as assets and liabilities.

- b. The management has set up the policy to require group companies to manage their foreign exchange risk against their functional currency. The companies are required to hedge their entire foreign exchange risk exposure with the Group's treasury. Exchange rate risk is measured through a forecast of highly probable USD, EUR and CNY expenditures. Forward foreign exchange contracts are adopted to minimize the volatility of the exchange rate affecting recognition of revenue of forecast sale.
- c. The Group hedges foreign exchange rate by using forward exchange contracts, currency option contracts and currency swap contracts. However, the Group does not adopt hedging accounting. Details of financial assets or liabilities at fair value through profit or loss are provided in Note 6(2).
- d. The Group has certain investments in foreign operations, whose net assets are exposed to foreign currency translation risk.
- e. The Group's businesses involve some non-functional currency operations (the Company's and certain subsidiaries' functional currency is NTD; other certain subsidiaries' functional currency is USD, EUR, CNY, etc.). Non-monetary items are assessed to have no significant impact on the Group. The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

March 31, 2026						
	Foreign currency amount (in dollars)	Exchange rate	Book value (NTD)	Sensitivity Analysis		
				Extent of variation	Effect on profit or loss	Effect on other comprehensive income
(Foreign currency: functional currency)						
<u>Financial assets</u>						
<u>Monetary items</u>						
USD:NTD	\$ 3,421,008,428	31.995	\$109,455,165	1%	\$1,094,552	\$ -
EUR:USD	376,751,110	36.711	13,830,934	1%	138,309	-
CNH:USD	2,897,208,415	4.630	13,413,139	1%	134,131	-
<u>Financial liabilities</u>						
<u>Monetary items</u>						
USD:NTD	6,662,582,485	31.995	213,169,327	1%	2,131,693	-
EUR:USD	114,728,037	36.711	4,211,788	1%	42,118	-
CNH:USD	4,477,773,713	4.630	20,730,646	1%	207,306	-

December 31, 2025						
	Foreign currency amount (in dollars)	Exchange rate	Book value (NTD)	Sensitivity Analysis		
				Extent of variation	Effect on profit or loss	Effect on other comprehensive income
(Foreign currency: functional currency)						
<u>Financial assets</u>						
<u>Monetary items</u>						
USD:NTD	\$ 4,679,677,356	31.430	\$ 147,082,259	1%	\$ 1,470,823	\$ -
EUR:USD	416,864,807	36.899	15,381,819	1%	153,818	-
CNH:USD	2,280,792,255	4.494	10,250,998	1%	102,510	-
<u>Financial liabilities</u>						
<u>Monetary items</u>						
USD:NTD	6,307,242,592	31.430	198,236,635	1%	1,982,366	-
EUR:USD	121,237,018	36.899	4,473,503	1%	44,735	-
CNH:USD	4,104,697,044	4.494	18,448,520	1%	184,485	-
March 31, 2025						
	Foreign currency amount (in dollars)	Exchange rate	Book value (NTD)	Sensitivity Analysis		
				Extent of variation	Effect on profit or loss	Effect on other comprehensive income
(Foreign currency: functional currency)						
<u>Financial assets</u>						
<u>Monetary items</u>						
USD:NTD	\$ 4,349,066,101	33.205	\$ 144,410,740	1%	\$ 1,444,107	\$ -
EUR:USD	351,190,755	35.971	12,632,674	1%	126,327	-
CNH:USD	3,085,098,610	4.572	14,106,084	1%	141,061	-
<u>Financial liabilities</u>						
<u>Monetary items</u>						
USD:NTD	4,727,726,257	33.205	156,984,150	1%	1,569,842	-
EUR:USD	86,903,787	35.971	3,126,014	1%	31,260	-
CNH:USD	3,875,322,739	4.572	17,719,249	1%	177,192	-

- f. Net currency exchange gains (losses) arising from foreign exchange variation on the monetary items held by the Group for the three months ended March 31, 2026 and 2025 amounted to (\$274,980) and \$1,961,343, respectively.

Price risk

- a. The Group's equity instruments, which are exposed to price risk, are the held financial assets at fair value through profit or loss and financial assets at fair value through other comprehensive income. To manage its price risk arising from investments in equity instruments, the Group diversifies its portfolio. Diversification of the portfolio is done in accordance with the limits set by the Group.

- b. The Group mainly invests in equity instruments comprised of shares and open-end funds issued by the domestic companies. The value of equity instruments are susceptible to market price risk arising from uncertainties about future performance of equity markets. Assuming a hypothetical increase of 1% in the price of the aforementioned financial assets at fair value through profit or loss while the other conditions remain unchanged could increase the Group's non-operating revenue for the three months ended March 31, 2026 and 2025 by \$11,936 and \$7,430, respectively. A change of 1% in the price of the aforementioned financial assets at fair value through other comprehensive income could increase the Group's other comprehensive income for the three months ended March 31, 2026 and 2025 by \$743,145 and \$835,891, respectively.

Cash flow and fair value interest rate risk

- a. The Group's main interest rate risk arises from long-term and short-term borrowings with variable rates which expose the Group to cash flow interest rate risk but is partially offset by cash and cash equivalents held at variable rates. During the three months ended March 31, 2026 and 2025, the Group's borrowings at variable rates were denominated in USD, RMB and NTD.
- b. If interest rates on borrowings had been 1% higher with all other variables held constant, non-operating expenses for the three months ended March 31, 2026 and 2025 would have been \$104,409 and \$71,793 higher, respectively, mainly as a result of higher interest expense on floating rate borrowings.

(B) Credit risk

- a. Credit risk refers to the risk of financial loss to the Group arising from default by the clients or counterparties of financial instruments on the contract obligations. The main factor is contract cash flows of counterparties could not repay in full the accounts receivable based on the agreed terms, financial assets at amortized cost and financial assets at fair value through other comprehensive income.
- b. The Group manages its credit risk taking into consideration the entire group's concern. For banks and financial institutions, only independently rated parties with a minimum rating of "A" class above as evaluated by an independent party are accepted as counterparties. According to the Group's credit policy, each operating entity in the Group is responsible for managing and analyzing the credit risk for each of their new clients before standard payment and delivery terms and conditions are offered. Internal risk control assesses the credit quality of the customers, taking into account their financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board of Directors, and the utilization of credit limits is regularly monitored.

- c. If the contract payments were past due over 30 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
- d. The Group adopts the assumption under IFRS 9, that is, for most operating entities, the default occurs when the contract payments are past due over 90 days. For some subsidiaries, based on the local trading conditions and historical experience, the default occurs when the contract payments are past due over 180 days.
- e. The Group classifies customer's accounts receivable in accordance with customer types. The Group applies the simplified approach using the provision matrix and loss rate method to estimate expected credit loss.
- f. The following indicators are used to determine whether the credit impairment of debt instruments has occurred:
 - (a) It becomes probable that the issuer will enter bankruptcy or other financial reorganization due to their financial difficulties;
 - (b) The disappearance of an active market for that financial asset because of financial difficulties;
 - (c) Default or delinquency in interest or principal repayments;
 - (d) Adverse changes in national or regional economic conditions that are expected to cause a default.
 - (e) The internal or external credit rating of the instrument is "in default".
 - (f) The condition which met the breach of contract by the debtor or others was assessed case-by-case.
- g. The Group writes off the financial assets, which cannot reasonably be expected to be recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights. On March 31, 2026, December 31, 2025 and March 31, 2025, the Group has no written-off financial assets that are still under recourse procedures.
- h. The Group conducts an assessment of expected credit risk for all recorded accounts receivable based on the following situations:
 - (a) Excellent credit quality group: The expected loss rate for the excellent credit quality clients is 0.00% ~ 0.2%, and the total carrying amount of notes and trade receivables amounted to \$4,183,352 , \$2,172,255 and \$3,151,954 and loss allowance amounted to \$542, \$260 and \$452 as of March 31, 2026, December 31, 2025 and March 31, 2025, respectively.

(b) General group: The Group refers to the forecast ability of global economic indicators to adjust the loss rate which is based on historical and current information when assessing the future default possibility of notes receivable and trade receivables. The provision matrix as of March 31, 2026, December 31, 2025 and March 31, 2025 is as follows:

	Not past due	Less than 30 days past due	Between 31 and 60 days past due	Between 61 and 90 days past due	Between 91 and 180 days past due	More than 181 days past due	Total
March 31, 2026							
Total book value	\$ 117,185,429	\$ 11,015,753	\$ 2,413,278	\$ 1,218,289	\$ 2,463,997	\$ 2,908,104	\$ 137,204,850
Loss allowance	\$ 42,069	\$ 28,179	\$ 289,135	\$ 149,673	\$ 637,121	\$ 2,604,095	\$ 3,750,272
Expected loss rate	0.00%~8.62%	0.00%~24.83%	0.00%~48.48%	0.00%~91.72%	10%~100%	10%~100%	
December 31, 2025							
Total book value	\$ 116,752,070	\$ 15,589,870	\$ 3,460,160	\$ 1,354,863	\$ 944,155	\$ 2,560,244	\$ 140,661,362
Loss allowance	\$ 21,789	\$ 12,051	\$ 286,252	\$ 158,775	\$ 557,564	\$ 2,470,080	\$ 3,506,511
Expected loss rate	0.00%~8.62%	0.00%~16.88%	0.00%~30.13%	0.00%~91.72%	10%~100%	10%~100%	
March 31, 2025							
Total book value	\$ 94,354,672	\$ 9,633,728	\$ 2,429,925	\$ 894,362	\$ 630,662	\$ 2,449,147	\$ 110,392,496
Loss allowance	\$ 52,408	\$ 28,461	\$ 263,489	\$ 105,571	\$ 232,055	\$ 2,305,396	\$ 2,987,380
Expected loss rate	0.00%~4.16%	0.01%~19.43%	0.00%~40.90%	0.00%~54.97%	10%~100%	10%~100%	

(c) Higher risk group: Based on historical experience, the Group uses individual assessments to calculate expected credit losses for customers with higher credit risk. As of March 31, 2026, December 31, 2025 and March 31, 2025, the total value of accounts receivable amounted to \$450,747, \$320,724 and \$313,394, respectively, with allowance for losses of \$450,747, \$320,724 and \$313,394, respectively.

i. Movements in relation to the Group's loss allowance for notes and trade receivables are as follows:

	2026	2025
January 1	\$ 3,827,495	\$ 8,777,044
(Reversal) recognition	344,950	(5,537,748)
Write-offs	(11,732)	(4,397)
Net exchange differences	40,848	66,327
March 31	\$ 4,201,561	\$ 3,301,226

For provisioned loss for the three months ended March 31, 2026 and 2025, the net impairment loss and gain arising from customer's contract were \$344,950 and (\$5,537,748), respectively.

- j. The Group's analysis on credit quality and expected credit loss of debt instruments investment.

The objective of the Group's investment policy is to achieve a return under the requirements of principal preservation and liquidity supports. The policy requires to set upper limits of exposure to credit risk of each debt instruments' issuer. The Group assesses whether there has been a significant increase in credit risk in the debt instrument investment since initial recognition according to financial market conditions, the changes in external credit ratings and material information of the debt instruments' issuers.

The Group regularly monitors, reviews and adjusts the limits according to market conditions and the credit standing of the counterparties.

The Group assesses the 12 months expected credit loss and lifetime expected credit loss based on the probability of default and default loss provided by external credit rating agencies. The current credit risk assessment mechanism of the Group is as follows:

Credit rating	Definition	Basis for recognizing expected credit loss
Stage 1	Financial assets with no significant increase in credit risk since initial recognition or low credit risk at the balance sheet date	12 months expected credit loss
Stage 2	Financial assets with significant increase in credit risk since initial recognition	Lifetime expected credit loss

- k. Movements in loss allowance for investments in debt instruments at fair value through other comprehensive income of the Group are as follows:

	2026		2025	
	12 months expected credit loss	Lifetime expected credit loss	12 months expected credit loss	Lifetime expected credit loss
January 1	\$ 1,037	\$ -	\$ 1,108	\$ -
Recognition (reversal)	1	-	(4)	-
Net exchange differences	19	-	14	-
March 31	<u>\$ 1,057</u>	<u>\$ -</u>	<u>\$ 1,118</u>	<u>\$ -</u>

- l. Movements in loss allowance for investments in debt instruments carried at amortized cost of the Group are as follows:

	2026		2025	
	12 months expected credit loss	Lifetime expected credit loss	12 months expected credit loss	Lifetime expected credit loss
January 1	\$ 3,823	\$ -	\$ 30,478	\$ -
Recognition (reversal)	(28)	-	(6,718)	-
Disposal	(841)	-	(11,683)	-
Net exchange differences	58	-	218	-
March 31	<u>\$ 3,012</u>	<u>\$ -</u>	<u>\$ 12,295</u>	<u>\$ -</u>

- m. For investments in financial assets at amortized cost and financial assets at fair value through other comprehensive income of the Group, the credit rating levels are as follows:

	March 31, 2026		
	12 months expected credit loss	Lifetime expected credit loss	Total
Financial assets at amortized cost			
Time deposits	\$ 1,394,356	\$ -	\$ 1,394,356
Restricted deposit	261,087	-	261,087
Corporate bonds			
Internal rating - Stage 1	<u>3,426,621</u>	<u>-</u>	<u>3,426,621</u>
Total book value	5,082,064	-	5,082,064
Loss allowance	(3,012)	-	(3,012)
	<u>\$ 5,079,052</u>	<u>\$ -</u>	<u>\$ 5,079,052</u>
Financial assets at fair value through other comprehensive income			
Corporate bonds and government bonds			
Internal rating - Stage 1	\$ 5,107,052	\$ -	\$ 5,107,052
Loss allowance	(1,057)	-	(1,057)
	<u>\$ 5,105,995</u>	<u>\$ -</u>	<u>\$ 5,105,995</u>

December 31, 2025			
	12 months expected credit loss	Lifetime expected credit loss	Total
Financial assets at amortized cost			
Time deposits	\$ 1,541,022	\$ -	\$ 1,541,022
Restricted deposit	699,984	-	699,984
Corporate bonds			
Internal rating - Stage 1	4,578,411	-	4,578,411
Total book value	6,819,417	-	6,819,417
Loss allowance	(3,823)	-	(3,823)
	<u>\$ 6,815,594</u>	<u>\$ -</u>	<u>\$ 6,815,594</u>
Financial assets at fair value through other comprehensive income			
Corporate bonds and government bonds			
Internal rating - Stage 1	\$ 5,035,541	\$ -	\$ 5,035,541
Loss allowance	(1,037)	-	(1,037)
	<u>\$ 5,034,504</u>	<u>\$ -</u>	<u>\$ 5,034,504</u>
March 31, 2025			
	12 months expected credit loss	Lifetime expected credit loss	Total
Financial assets at amortized cost			
Time deposits	\$ 525,937	\$ -	\$ 525,937
Restricted deposit	174,081	-	174,081
Corporate bonds			
Internal rating - Stage 1	9,975,503	-	9,975,503
Total book value	10,675,521	-	10,675,521
Loss allowance	(12,295)	-	(12,295)
	<u>\$ 10,663,226</u>	<u>\$ -</u>	<u>\$ 10,663,226</u>
Financial assets at fair value through other comprehensive income			
Corporate bonds			
Internal rating - Stage 1	\$ 3,272,977	\$ -	\$ 3,272,977
Loss allowance	(1,118)	-	(1,118)
	<u>\$ 3,271,859</u>	<u>\$ -</u>	<u>\$ 3,271,859</u>

The Group's financial assets at amortized cost are time deposits with an original due date of more than three months, restricted deposit and various corporate bonds, financial assets at fair value through other comprehensive income are corporate bonds and government bonds, and there is no significant abnormality in credit risk assessment.

(C) Liquidity risk

- a. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group treasury. The Group treasury monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group's cash flow plans and compliance with internal balance sheet ratio targets.
- b. The Group treasury invests surplus cash in demand deposits, time deposits and marketable securities, choosing instruments with appropriate maturities or sufficient liquidity to provide sufficient headroom as determined by the abovementioned forecasts. As of March 31, 2026, December 31, 2025 and March 31, 2025, the Group held financial assets at fair value through profit or loss of \$826,299, \$823,408 and \$1,407,153, respectively, that are expected to readily generate cash inflows for managing liquidity risk.
- c. The table below analyses the Group's non-derivative financial liabilities and derivative financial liabilities into relevant maturity groupings based on the remaining period at the end of the financial reporting period to the contractual maturity date for non-derivative financial liabilities and to the expected maturity date for derivative financial liabilities. The amounts disclosed in the table are the contractual undiscounted cash flows.

	March 31, 2026				
	Less than 1 year	Between 1 and 2 years	Between 2 and 3 years	More than 3 years	Total
<u>Non-derivative</u>					
<u>financial liabilities:</u>					
Short-term borrowings	\$ 41,417,377	\$ -	\$ -	\$ -	\$ 41,417,377
Notes and trade payables	134,382,902	-	-	-	134,382,902
Other payables	45,645,713	-	-	-	45,645,713
- accrued expenses					
Lease liabilities	649,907	409,286	272,146	555,014	1,886,353
Long-term borrowings	70,876	176,087	11,314	87,975	346,252
(including current portion)					
Other financial liabilities	1,859,788	-	-	-	1,859,788
<u>Derivative financial liabilities:</u>					
Forward exchange contracts	26,873	-	-	-	26,873
Currency option contracts	14,418	-	-	-	14,418

December 31, 2025					
	Less than 1 year	Between 1 and 2 years	Between 2 and 3 years	More than 3 years	Total
<u>Non-derivative</u>					
<u>financial liabilities:</u>					
Short-term borrowings	\$ 29,681,710	\$ -	\$ -	\$ -	\$ 29,681,710
Notes and trade payables	119,583,720	-	-	-	119,583,720
Other payables	51,792,676	-	-	-	51,792,676
- accrued expenses					
Lease liabilities	561,103	424,841	304,344	623,243	1,913,531
Long-term borrowings	72,907	191,039	11,253	90,831	366,030
(including current portion)					
Other financial liabilities	2,224,540	-	-	-	2,224,540
<u>Derivative financial liabilities:</u>					
Forward exchange contracts	440,926	-	-	-	440,926
Currency option contracts	130,086	-	-	-	130,086
March 31, 2025					
	Less than 1 year	Between 1 and 2 years	Between 2 and 3 years	More than 3 years	Total
<u>Non-derivative</u>					
<u>financial liabilities:</u>					
Short-term borrowings	\$ 28,279,629	\$ -	\$ -	\$ -	\$ 28,279,629
Notes and trade payables	82,768,149	-	-	-	82,768,149
Other payables	41,317,773	-	-	-	41,317,773
- accrued expenses					
Lease liabilities	536,944	425,294	266,814	684,298	1,913,350
Long-term borrowings	91,497	70,876	71,088	204,289	437,750
(including current portion)					
Other financial liabilities	1,467,574	-	-	-	1,467,574
<u>Derivative financial liabilities:</u>					
Forward exchange contracts	1,152,092	-	-	-	1,152,092
Currency option contracts	32,255	-	-	-	32,255

- d. The Group does not expect the timing of occurrence of the cash flows estimated through the maturity date analysis to be significantly earlier, nor expect the actual cash flow amount to be significantly different.

(3) Fair value information

- A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Unobservable inputs for the asset or liability.

B. Financial instruments not measured at fair value

(A) Except for those listed in the table below, the carrying amounts of cash and cash equivalents, financial assets at amortized cost – current and non- current (time deposits with an original due date of more than three months and restricted deposit), notes and trade receivables, other receivables, refundable deposits, short-term borrowings, notes and trade payables, other payables - accrued expenses, other current liabilities, current portion of long-term borrowings, long-term borrowings, guarantee deposits received, lease liabilities, are reasonably approximate to the fair values.

March 31, 2026				
	Book value	Fair value		
		Level 1	Level 2	Level 3
Financial assets:				
Financial assets at amortized cost - current				
Corporate bonds	\$ 3,423,609	\$ -	\$ 3,404,127	\$ -
December 31, 2025				
	Book value	Fair value		
		Level 1	Level 2	Level 3
Financial assets:				
Financial assets at amortized cost - current				
Corporate bonds	\$ 4,574,588	\$ -	\$ 4,535,674	\$ -
March 31, 2025				
	Book value	Fair value		
		Level 1	Level 2	Level 3
Financial assets:				
Financial assets at amortized cost - current				
Corporate bonds	\$ 6,037,350	\$ -	\$ 5,976,835	\$ -
Financial assets at amortized cost - non-current				
Corporate bonds	\$ 3,925,858	\$ -	\$ 3,801,989	\$ -

(B) The fair values of corporate bonds are determined by quoted market prices provided by third party pricing services.

C. The related information on financial and non-financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:

(A) The related information about the nature of the assets and liabilities is as follows:

	March 31, 2026			
	Level 1	Level 2	Level 3	Total
Assets:				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Equity instruments	\$ 1,072,001	\$ 7,752	\$ 113,809	\$ 1,193,562
Beneficiary certificates	980,022	15,222	133,972	1,129,216
Derivative	-	447,185	-	447,185
Hybrid instruments	103,800	-	369,082	472,882
Derivative financial assets for hedging	-	665,840	-	665,840
Financial assets at fair value through other comprehensive income				
Equity instruments	73,602,775	374,096	337,647	74,314,518
Debt instruments	1,918,249	3,187,746	-	5,105,995
	<u>\$77,676,847</u>	<u>\$ 4,697,841</u>	<u>\$ 954,510</u>	<u>\$83,329,198</u>
Liabilities:				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Derivative	\$ -	\$ 32,654	\$ -	\$ 32,654
Derivative financial liabilities for hedging	-	8,637	-	8,637
	<u>\$ -</u>	<u>\$ 41,291</u>	<u>\$ -</u>	<u>\$ 41,291</u>

December 31, 2025				
	Level 1	Level 2	Level 3	Total
Assets:				
<u>Recurring fair value measurements</u>				
Financial assets at fair value				
through profit or loss				
Equity instruments	\$ 761,082	\$ 6,900	\$ 200,844	\$ 968,826
Beneficiary certificates	973,547	14,789	142,358	1,130,694
Derivative	-	18,223	-	18,223
Hybrid instruments	105,000	-	358,513	463,513
Derivative financial assets for hedging	-	67,310	-	67,310
Financial assets at fair value through				
other comprehensive income				
Equity instruments	67,382,823	385,287	272,619	68,040,729
Debt instruments	1,851,285	3,183,219	-	5,034,504
	<u>\$71,073,737</u>	<u>\$ 3,675,728</u>	<u>\$ 974,334</u>	<u>\$75,723,799</u>
Liabilities:				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value				
through profit or loss				
Derivative	\$ -	\$ 404,581	\$ -	\$ 404,581
Derivative financial liabilities for hedging	-	166,431	-	166,431
	<u>\$ -</u>	<u>\$ 571,012</u>	<u>\$ -</u>	<u>\$ 571,012</u>
March 31, 2025				
	Level 1	Level 2	Level 3	Total
Assets:				
<u>Recurring fair value measurements</u>				
Financial assets at fair value				
through profit or loss				
Equity instruments	\$ 639,432	\$ 5,265	\$ 98,256	\$ 742,953
Beneficiary certificates	809,299	16,228	69,158	894,685
Derivative	-	206,692	-	206,692
Hybrid instruments	121,600	-	365,194	486,794
Derivative financial assets for hedging	-	29,081	-	29,081
Financial assets at fair value through				
other comprehensive income				
Equity instruments	83,132,118	189,929	267,088	83,589,135
Debt instruments	-	3,271,859	-	3,271,859
	<u>\$84,702,449</u>	<u>\$ 3,719,054</u>	<u>\$ 799,696</u>	<u>\$89,221,199</u>
Liabilities:				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value				
through profit or loss				
Derivative	\$ -	\$ 549,895	\$ -	\$ 549,895
Derivative financial liabilities for hedging	-	634,452	-	634,452
	<u>\$ -</u>	<u>\$ 1,184,347</u>	<u>\$ -</u>	<u>\$ 1,184,347</u>

(B) The methods and assumptions the Group used to measure fair value are as follows:

- a. The instruments the Group used market quoted prices as their fair values (that is, Level 1) are listed below by characteristics:

	Listed and OTC stocks	Open-end fund	Convertible bonds	Government bonds
Market quoted price	Closing price	Net asset value	Closing price	Transaction price
b. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the financial reporting date.				
c. For high-complexity financial instruments, the fair value is measured by using self-developed valuation model based on the valuation method and technique widely used within the same industry. The valuation model is normally applied to derivative financial instruments, debt instruments with embedded derivatives or securitized instruments. Certain inputs used in the valuation model are not observable at market, and the Group must make reasonable estimates based on its assumptions.				
d. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts, currency option contracts and currency swap contracts are usually valued based on the current forward exchange rate.				
e. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk. In accordance with the Group's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheets. The pricing and inputs information used during valuation are carefully assessed and adjusted based on current market conditions.				

- D. For the three months ended March 31, 2026 and 2025, there was no transfer between Level 1 and Level 2.

E. The movement of financial and non-financial instruments measured at fair value by Level 3 is as follows:

	Beneficiary certificates, Equity instruments and Hybrid instruments	
	2026	2025
January 1	\$ 974,334	\$ 784,485
Acquisitions	62,860	-
Disposal	(87,023)	-
Recognition in profit (loss) (Note 1)	(8,372)	(15,644)
Recognition in other comprehensive income (loss) (Note 2)	(18)	22,881
Foreign exchange changes	12,729	7,974
March 31	<u>\$ 954,510</u>	<u>\$ 799,696</u>

Note 1: Recorded as other gains (losses).

Note 2: Recorded as unrealized gains (losses) from investments in equity instruments measured at fair value through other comprehensive income.

F. The investment segment is in charge of valuation procedures for fair value measurements being categorized within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the source of information is independent, reliable and in line with other resources and any other necessary adjustments to the fair value.

The investment segment cooperatively set up valuation policies, valuation processes and rules for measuring fair value of financial instruments that ensure compliance with the related requirements in IFRS.

G. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	Fair value at March 31, 2026	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Equity instruments:					
Unlisted and non-OTC stocks	\$ 113,809	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
Unlisted and non-OTC stocks	312,647	Discounted cash flow method	Note 1	Not applicable	Note 2
Unlisted and non-OTC stocks	25,000	At the most recent transaction price in an inactive market	Not applicable	Not applicable	Not applicable
Beneficiary certificates:					
Private fund	133,972	Net asset value	Not applicable	Not applicable	Not applicable
Hybrid instruments:					
Unlisted and non-OTC stocks and Embedded option	369,082	Discounted cash flow method and Option pricing	Note 1 and Stock price volatility	Not applicable	Note 2 and The higher the stock price volatility, the higher the fair value.

	<u>Fair value at December 31, 2025</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Equity instruments:					
Unlisted and non-OTC stocks	\$ 118,063	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
Unlisted and non-OTC stocks	330,400	Discounted cash flow method	Note 1	Not applicable	Note 2
Unlisted and non-OTC stocks	25,000	At the most recent transaction price in an inactive market	Not applicable	Not applicable	Not applicable
Beneficiary certificates:					
Private fund	142,358	Net asset value	Not applicable	Not applicable	Not applicable
Hybrid instruments:					
Unlisted and non-OTC stocks and Embedded option	358,513	Discounted cash flow method and Option pricing	Note 1 and Stock price volatility	Not applicable	Note 2 and The higher the stock price volatility, the higher the fair value.

	Fair value at March 31, 2025	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Equity instruments:					
Unlisted and non-OTC stocks	\$ 78,896	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
Unlisted and non-OTC stocks	45,567	Comparable Listed and OTC companies analysis	Price to book ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; The higher the discount for lack of marketability, the lower the fair value.
Unlisted and non-OTC stocks	215,881	Discounted cash flow method	Note 1	Not applicable	Note 2
Unlisted and non-OTC stocks	25,000	At the most recent transaction price in an inactive market	Not applicable	Not applicable	Not applicable
Beneficiary certificates:					
Private fund	69,158	Net asset value	Not applicable	Not applicable	Not applicable
Hybrid instruments:					
Unlisted and non-OTC stocks and Embedded option	365,194	Discounted cash flow method and Option pricing	Note 1 and Stock price volatility	Not applicable	Note 2 and The higher the stock price volatility, the higher the fair value.

Note 1: Long-term revenue growth rate, weighted average cost of capital, long-term operating profit before income tax, discount for lack of marketability and discounts for minority interest.

Note 2: The higher the discount for lack of marketability, the lower the fair value; the higher the weighted average cost of capital and discount for minority interest, the lower the fair value; the higher the long-term revenue growth rate and long-term operating profit before income tax, the higher the fair value.

H. The Group has carefully assessed the valuation models and assumptions used to measure fair value; therefore, the fair value measurement is reasonable. However, use of different valuation models or assumptions may result in a different outcome.

13. **SUPPLEMENTARY DISCLOSURES**

(1) **Significant transactions information**

- A. Financing provided: Please refer to table 1.
- B. Endorsements and guarantees provided: Please refer to table 2.
- C. Significant marketable securities held at the end of period (excluding investments in subsidiaries, associates and joint ventures): Please refer to table 3.
- D. Total purchases from or sales to related parties of at least \$100 million or 20% of the paid-in capital: Please refer to table 4.
- E. Receivables from related parties amounting to at least \$100 million or 20% of the paid-in capital: Please refer to table 5.
- F. Intercompany relationships and significant intercompany transactions: Please refer to table 6.

(2) **Information on investees**

Names, locations and related information of investees over which the Company exercises significant influence (excluding information on investments in mainland China): Please refer to table 7.

(3) **Information on investments in China**

- A. Information on investments in mainland China: Please refer to table 8.
- B. Significant transactions, either directly or indirectly through a third area, with investee companies in China: Please refer to table 6.

14. **OPERATING SEGMENT INFORMATION**

(1) **General information**

Management has determined the reportable operating segments based on the reports reviewed by the Board of Directors that are used to make strategic decisions. There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information in this period.

(2) **Measurement basis**

The Group uses the revenue and operating profit as the measurement for operating segment profit and the basis of performance assessment. The accounting policies of the operating segments and the accounting policies described in Note 4 of the consolidated financial statements are the same.

(3) Segment information

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

	Three months ended March 31, 2026		
	3C Brand	Others	Total
Revenues from external customers	\$ 193,214,683	\$ 15,155,043	\$ 208,369,726
Revenues from other segments	\$ 836,074	\$ 2,435,035	- (Note 1)
Segment income	\$ 10,501,695	\$ 1,379,423	\$ 11,881,118
Total assets (Note 2)	\$ -	\$ -	\$ -

	Three months ended March 31, 2025		
	3C Brand	Others	Total
Revenues from external customers	\$ 134,131,891	\$ 13,561,320	\$ 147,693,211
Revenues from other segments	\$ 1,056,419	\$ 2,061,862	- (Note 1)
Segment income	\$ 11,449,307	\$ 1,128,956	\$ 12,578,263
Total assets (Note 2)	\$ -	\$ -	\$ -

Note 1: The intra-segment revenues have been eliminated to \$0.

Note 2: Because the Group's segment assets are not provided to the chief operating decision-maker, such items are not required to be disclosed.

(4) Reconciliation for segment income

- A. The intra-segment transactions are based on fair value. The revenues from external customers reported to the chief operating decision-maker are measured in a manner consistent with the consolidated statements of comprehensive income.
- B. The reconciliation of the reportable operating segments' profit (others are the same as consolidated statements of comprehensive income) is as follows:

	Three Months Ended	
	March 31, 2026	March 31, 2025
Reportable operating segments' (loss) profit before adjustment	\$ 11,881,118	\$ 12,578,263
Unallocated profit (loss)	14,741	1,294
Reportable operating segments' (loss) profit	\$ 11,895,859	\$ 12,579,557

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
FINANCING PROVIDED
THREE MONTHS ENDED MARCH 31, 2026

Table 1 (Amounts in thousands of New Taiwan dollars and foreign currencies)

No.	Financing Company	Counterparty	Financial Statement Account	Related Party	Maximum Balance for the Period	Ending Balance	Amount Actually Drawn	Interest Rate (%)	Nature for Financing (Note 1)	Transaction Amounts	Reason for Financing	Loss allowance	Collateral		Financing Limits for Each Borrowing Company (Note 2)	Financing Company's Total Financing Amount Limits (Note 2)	Note
													Item	Value			
0	ASUS	ASKEY	Other receivables	Yes	1,000,000	1,000,000	-	2.23	b	-	Need for operations	-	-	-	43,033,404	57,377,872	
0	ASUS	ASUSCLOUD	Other receivables	Yes	180,000	-	-	-	b	-	Need for operations	-	-	-	43,033,404	57,377,872	
0	ASUS	ATL	Other receivables	Yes	200,000	-	-	-	b	-	Need for operations	-	-	-	43,033,404	57,377,872	
1	ASTP	ASGL	Other receivables	Yes	31,995,000 (USD 1,000,000)	31,995,000 (USD 1,000,000)	31,035,150 (USD 970,000)	5.00~6.03	b	-	Need for operations	-	-	-	47,240,930 (USD 1,476,510)	47,240,930 (USD 1,476,510)	

Note 1 : Nature for Financing : a. Business transaction calls for a loan arrangement.
b. The need for short-term financing.

Note 2 : Limit of total financing amount : a. According to Procedures for Lending of ASUS, limit of total financing amount shall not exceed 20% of the net worth of ASUS as of the period.
b. According to Procedures for Lending of ASTP, limit of total financing amount to the subsidiaries whose voting shares are 100% owned, directly or indirectly, by publicly traded parent company - ASUS, which are not located in Taiwan, shall not exceed 100% of the net worth of ASTP as of the period.

Limit financing amount for individual counterparty : a. According to Procedures for Lending of ASUS, limit of financing amount for individual counterparty shall not exceed 15% of the net worth of ASUS as of the period.
b. According to Procedures for Lending of ASTP, limit of financing amount to the subsidiaries whose voting shares are 100% owned, directly or indirectly, by publicly traded parent company - ASUS, which are not located in Taiwan, for individual counterparty shall not exceed 100% of the net worth of ASTP as of the period.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
ENDORSEMENTS AND GUARANTEES PROVIDED
THREE MONTHS ENDED MARCH 31, 2026

Table 2 (Amounts in thousands of New Taiwan dollars)

No.	Endorsement/ Guarantee Provider	Guaranteed Party		Limits on Endorsement/ Guarantee Amount Provided to Each Guaranteed Party (Note)	Maximum Balance for the Period	Ending Balance	Amount Actually Drawn	Amount of Endorsement/ Guarantee Collateralized by Properties	Ratio of Accumulated Endorsement/ Guarantee to Net Equity per Latest Financial Statements (%)	Maximum Endorsement / Guarantee Amount Allowable (Note)	Guarantee Provided by Parent Company	Guarantee Provided by A Subsidiary	Guarantee Provided to Subsidiaries in Mainland China	Note
		Name	Nature of Relationship											
0	ASMEDIA	TECHPOINT	Subsidiary	5,564,254	319,950	319,950	125,429	-	0.89	7,419,006	N	N	N	
0	ASMEDIA	TECHTW	Subsidiary	5,564,254	4,800	4,566	-	-	0.01	7,419,006	N	N	N	

Note : Limit of total endorsement/guarantee amount: According to Procedures for Endorsements and Guarantees of ASMEDIA, the total amount of endorsement/guarantee shall not exceed 20% of the net worth of ASMEDIA as of the period.

Limit endorsement/guarantee amount for individual counterparty : According to Procedures for Endorsements and Guarantees of ASMEDIA, limit of endorsement/guarantee amount for individual counterparty shall not exceed 15% of the net worth of ASMEDIA as of the period.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
SIGNIFICANT MARKETABLE SECURITIES HELD
(EXCLUDING INVESTMENTS IN SUBSIDIARIES, ASSOCIATES AND JOINT VENTURES)
(ONLY SECURITIES EXCEEDING NT\$300 MILLION ARE DISCLOSED)

MARCH 31, 2026

Table 3 (Amounts in thousands of New Taiwan dollars)

Held Company Name	Marketable Securities		Relationship with the Company (Note 1)	Financial Statement Account (Note 2)	March 31, 2026				Note
	Type	Name			Shares/Units	Carrying Value	Percentage (%)	Fair Value	
ASUS	Stock	GLOBALWAFERS	-	d	1,626,626	683,996	0.34	683,996	
ASUS	Stock	ADVANTECH	-	d	113,483,106	36,144,369	13.11	36,144,369	
ASUS	Stock	PEGATRON	-	d	448,506,484	34,176,194	16.72	34,176,194	
ACCQ	Stock	XINZHONGGUAN (WITH EMBEDDED OPTION)	-	b	10,000,000	361,115	10.29	361,115	
TECHPOINT	Bond	U.S. TREASURY BILLS	-	c	-	547,665	-	547,665	
TECHPOINT	Bond	U.S. TREASURY NOTES	-	c	-	1,209,866	-	1,209,866	
HVC and HMI	Stock	APAQ TECHNOLOGY	-	d	13,878,027	2,074,765	15.10	2,074,765	
AAEON	Stock	MACHVISION TECHNOLOGY	b	b	1,298,217	986,646	2.03	986,646	

Note 1 : a. Associate. b. Other related parties.

Note 2 : a. Financial assets at fair value through profit or loss - current ; b. Financial assets at fair value through profit or loss - non-current ; c. Financial assets at fair value through other comprehensive income - current ; d. Financial assets at fair value through other comprehensive income - non-current.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES

TOTAL PURCHASES FROM OR SALES TO RELATED PARTIES OF AT LEAST NT\$100 MILLION OR 20% OF THE PAID-IN CAPITAL

THREE MONTHS ENDED MARCH 31, 2026

Table 4 (Amounts in thousands of New Taiwan dollars)

Company Name	Related Party	Nature of Relationship (Note 1)	Transaction Details				Abnormal Transaction		Notes/Trade Receivables (Payables)		Note
			Purchases/ (Sales)	Amount	Percentage of Total Purchases/ (Sales) amount (%)	Payment Terms	Unit Price	Payment Terms	Ending Balance	Percentage of Total Notes/Trade Receivables (Payables) (%)	
ASUS	ASUTC	b	(Sales)	(40,158,120)	(23.22)	OA 90	-	-	10,467,779	12.88	
ASUS	ASGL	b	(Sales)	(129,727,222)	(75.02)	OA 180	-	-	55,492,088	68.25	
ASUS	UEI	b	(Sales)	(130,874)	(0.08)	OA 90	-	-	7,861	0.01	
ASMEDIA	ASUS	b	(Sales)	(132,909)	(0.06)	Month-end 30 days	-	-	-	-	
ASGL	ACCQ	b	(Sales)	(2,749,906)	(1.97)	OA 180	-	-	1,735,079	1.12	
ASGL	ACI	b	(Sales)	(22,198,142)	(15.90)	OA 180	-	-	38,714,612	25.06	
ASGL	ACSH	b	(Sales)	(22,129,860)	(15.85)	OA 180	-	-	24,922,152	16.13	
ASGL	ACJP	b	(Sales)	(4,477,165)	(3.21)	OA 120	-	-	4,684,274	3.03	
ASGL	ASIN	b	(Sales)	(3,002,276)	(2.15)	OA 180	-	-	7,829,483	5.07	
ASGL	ACMH	b	(Sales)	(2,446,266)	(1.75)	OA 180	-	-	5,526,412	3.58	
ASGL	ACNL	b	(Sales)	(6,661,476)	(4.77)	OA 150	-	-	12,345,250	7.99	
ASGL	ACJK	b	(Sales)	(2,626,589)	(1.88)	OA 180	-	-	7,530,113	4.87	
ASGL	DATASUSUS	b	(Sales)	(123,357)	(0.09)	OA 180	-	-	270,153	0.17	
ASGL	ACNLD	b	(Sales)	(307,321)	(0.22)	OA 150	-	-	475,298	0.31	
DATASUSUS	ACI	b	(Sales)	(178,563)	(100.40)	OA 30	-	-	59,722	84.61	
ASKEY	ASKEYI	b	(Sales)	(4,837,545)	(67.59)	Month-end 180 days	-	-	7,927,184	39.95	
ASKEY	ASKEYJS	b	(Sales)	(800,435)	NA (Note 2)	Month-end 180 days	-	-	433,009	2.18	
ASKEY	ASKEYVNB	b	(Sales)	(4,311,435)	NA (Note 2)	Month-end 180 days	-	-	9,258,838	46.66	
ASKEYJS	ASKEY	b	(Sales)	(2,124,736)	(30.52)	Month-end 180 days	Based on cost of finished goods plus related expenditure of related party	-	4,967,154	27.56	
ASKEYVNB	ASKEY	b	(Sales)	(4,095,691)	(58.83)	Month-end 180 days	Based on cost of finished goods plus related expenditure of related party	-	7,938,849	44.04	
AAEON	AAEONEI	b	(Sales)	(290,300)	(20.47)	Net 60	-	-	137,060	16.77	
AAEON	AAEONSZ	b	(Sales)	(112,190)	(7.91)	Month-end 60 days	-	-	54,107	6.62	
AAEON	AAEONEU	b	(Sales)	(508,051)	(35.82)	Net 60	-	-	402,428	49.24	
ONYX	ONYXHU	b	(Sales)	(151,891)	(49.64)	Month-end 90 days	-	-	148,929	58.16	
ASMEDIA	WT	c	(Sales)	(191,312)	(5.47)	Month-end 30 days	-	-	85,448	6.14	
ASUS	WT	c	Purchases	580,281	0.27	Month-end 30-120 days : Current month-end 90-120 days	-	-	(1,050,293)	(0.88)	

Note 1 : a. Parent company ; b. Subsidiary ; c. Associate ; d. Other.

Note 2 : Purchasing raw materials is for subsidiary and the related sales revenue are eliminated in the financial reports.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES

RECEIVABLES FROM RELATED PARTIES AMOUNTING TO AT LEAST NT\$100 MILLION OR 20% OF THE PAID-IN CAPITAL

MARCH 31, 2026

Table 5 (Amounts in thousands of New Taiwan dollars)

Company Name	Related Party	Nature of Relationship (Note)	Ending Balance	Turnover (Times)	Overdue		Amounts Received in Subsequent Period	Loss allowance
					Amount	Action Taken		
ASUS	ASUTC	b	10,467,779	21.00	-	-	7,892,014	-
ASUS	ASGL	b	55,492,088	10.05	-	-	50,526,713	-
ASGL	ACCQ	b	1,735,079	9.20	-	-	922,408	-
ASGL	ACI	b	38,714,612	2.23	-	-	7,825,917	-
ASGL	ACSH	b	24,922,152	3.73	-	-	7,267,546	-
ASGL	ACJP	b	4,684,274	4.48	-	-	2,113,912	-
ASGL	ASIN	b	7,829,483	1.60	764,207	Keep in reconciliation and dunning monthly	1,055,132	-
ASGL	ACMH	b	5,526,412	1.79	1,146,676	Keep in reconciliation and dunning monthly	514,197	-
ASGL	ACNL	b	12,345,250	1.69	4,488,562	Keep in reconciliation and dunning monthly	2,537,618	-
ASGL	ACJK	b	7,530,113	1.35	1,931,394	Keep in reconciliation and dunning monthly	755,275	-
ASGL	ACBT	b	317,280	0.85	192,938	Keep in reconciliation and dunning monthly	47,245	-
ASGL	DATASUSUS	b	270,153	1.58	-	-	60,010	-
ASGL	ACNLD	b	475,298	2.72	68,035	Keep in reconciliation and dunning monthly	65,658	-
ASGL	ACIN	b	200,445	0.03	-	-	86,711	-
ASKEY	ASKEYI	b	7,927,184	2.78	-	-	1,247,805	-
ASKEY	ASKEYJS	b	433,009	8.91	-	-	7,188	-
ASKEY	ASKEYVNB	b	9,258,838	2.06	-	-	157,644	-
ASKEYJS	ASKEY	b	4,967,154	1.87	853,976	Keep in reconciliation and dunning monthly	177,572	-
ASKEYVNB	ASKEY	b	7,938,849	2.32	-	-	79,988	-
AAEON	AAEONEI	b	137,060	8.03	-	-	-	-
AAEON	AAEONEU	b	402,428	6.02	-	-	-	-
ONYX	ONYXHU	b	148,929	4.86	-	-	-	-

Note : a. Parent company ; b. Subsidiary ; c. Associate ; d. Other.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
INTERCOMPANY RELATIONSHIPS AND SIGNIFICANT INTERCOMPANY TRANSACTIONS
(ONLY TRANSACTIONS AMOUNTING TO AT LEAST NT\$100 MILLION ARE DISCLOSED)
THREE MONTHS ENDED MARCH 31, 2026

Table 6-1

(Amounts in thousands of New Taiwan dollars)

No. (Note 1)	Company Name	Related Party	Nature of Relationship (Note 2)	Intercompany Transactions			
				Financial Statements Account	Amount	Terms	Percentage of Consolidated Net Revenue or Total Assets (%)
0	ASUS	ASUTC	a	Sales	40,158,120	OA 90	19.27
0	ASUS	ASGL	a	Sales	129,727,222	OA 180	62.26
0	ASUS	UEI	a	Sales	130,874	OA 90	0.06
1	ASMEDIA	ASUS	b	Sales	132,909	Month-end 30 days	0.06
2	ASGL	ACCQ	c	Sales	2,749,906	OA 180	1.32
2	ASGL	ACI	c	Sales	22,198,142	OA 180	10.65
2	ASGL	ACSH	c	Sales	22,129,860	OA 180	10.62
2	ASGL	ACJP	c	Sales	4,477,165	OA 120	2.15
2	ASGL	ASIN	c	Sales	3,002,276	OA 180	1.44
2	ASGL	ACMH	c	Sales	2,446,266	OA 180	1.17
2	ASGL	ACNL	c	Sales	6,661,476	OA 150	3.20
2	ASGL	ACJK	c	Sales	2,626,589	OA 180	1.26
2	ASGL	DATASUSUS	c	Sales	123,357	OA 180	0.06
2	ASGL	ACNLD	c	Sales	307,321	OA 150	0.15
3	DATASUSUS	ACI	c	Sales	178,563	OA 30	0.09
4	ASKEY	ASKEYI	c	Sales	4,837,545	Month-end 180 days	2.32
4	ASKEY	ASKEYJS	c	Sales	800,435	Month-end 180 days	0.38
4	ASKEY	ASKEYVNB	c	Sales	4,311,435	Month-end 180 days	2.07
5	ASKEYJS	ASKEY	c	Sales	2,124,736	Month-end 180 days	1.02
6	ASKEYVNB	ASKEY	c	Sales	4,095,691	Month-end 180 days	1.97
7	AAEON	AAEONEI	c	Sales	290,300	Net 60	0.14
7	AAEON	AAEONSZ	c	Sales	112,190	Month-end 60 days	0.05
7	AAEON	AAEONEU	c	Sales	508,051	Net 60	0.24
8	ONYX	ONYXHU	c	Sales	151,891	Month-end 90 days	0.07
9	ACAE	ASGL	c	Service revenue	108,558	Pay on delivery	0.05
10	ACCZS	ASGL	c	Service revenue	153,749	Pay on delivery	0.07
11	ACF	ASGL	c	Service revenue	162,404	Pay on delivery	0.08
12	ACG	ASGL	c	Service revenue	164,176	Pay on delivery	0.08
13	ACUK	ASGL	c	Service revenue	107,463	Pay on delivery	0.05
14	ACAU	ASGL	c	Service revenue	106,510	Pay on delivery	0.05
15	ACN	ASGL	c	Service revenue	104,708	Pay on delivery	0.05
16	ACSZ	ASGL	c	Service revenue	813,555	Pay on delivery	0.39
17	ACIT	ACNL	c	Service revenue	108,961	Pay on delivery	0.05

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
INTERCOMPANY RELATIONSHIPS AND SIGNIFICANT INTERCOMPANY TRANSACTIONS
(ONLY TRANSACTIONS AMOUNTING TO AT LEAST NT\$100 MILLION ARE DISCLOSED)
MARCH 31, 2026

Table 6-2

(Amounts in thousands of New Taiwan dollars)

No. (Note 1)	Company Name	Related Party	Nature of Relationship (Note 2)	Intercompany Transactions			
				Financial Statements Account	Amount	Terms	Percentage of Consolidated Net Revenue or Total Assets (%)
0	ASUS	ASUTC	a	Trade receivables	10,467,779	OA 90	1.56
0	ASUS	ASGL	a	Trade receivables	55,492,088	OA 180	8.26
2	ASGL	ACCQ	c	Trade receivables	1,735,079	OA 180	0.26
2	ASGL	ACI	c	Trade receivables	38,714,612	OA 180	5.77
2	ASGL	ACSH	c	Trade receivables	24,922,152	OA 180	3.71
2	ASGL	ACJP	c	Trade receivables	4,684,274	OA 120	0.70
2	ASGL	ASIN	c	Trade receivables	7,829,483	OA 180	1.17
2	ASGL	ACMH	c	Trade receivables	5,526,412	OA 180	0.82
2	ASGL	ACNL	c	Trade receivables	12,345,250	OA 150	1.84
2	ASGL	ACJK	c	Trade receivables	7,530,113	OA 180	1.12
2	ASGL	ACBT	c	Trade receivables	317,280	OA 180	0.05
2	ASGL	DATASUSUS	c	Trade receivables	270,153	OA 180	0.04
2	ASGL	ACNLD	c	Trade receivables	475,298	OA 150	0.07
2	ASGL	ACIN	c	Trade receivables	200,445	OA 150	0.03
4	ASKEY	ASKEYI	c	Trade receivables	7,927,184	Month-end 180 days	1.18
4	ASKEY	ASKEYJS	c	Trade receivables	433,009	Month-end 180 days	0.06
4	ASKEY	ASKEYVNB	c	Trade receivables	9,258,838	Month-end 180 days	1.38
5	ASKEYJS	ASKEY	c	Trade receivables	4,967,154	Month-end 180 days	0.74
6	ASKEYVNB	ASKEY	c	Trade receivables	7,938,849	Month-end 180 days	1.18
7	AAEON	AAEONEI	c	Trade receivables	137,060	Net 60	0.02
7	AAEON	AAEONEU	c	Trade receivables	402,428	Net 60	0.06
8	ONYX	ONYXHU	c	Trade receivables	148,929	Month-end 90 days	0.02
12	ACG	ASGL	c	Trade receivables	120,163	Pay on delivery	0.02
16	ACSZ	ASGL	c	Trade receivables	254,229	Pay on delivery	0.04
18	ACIN	ASGL	c	Trade receivables	108,807	Pay on delivery	0.02

Note 1 : ASUS and its subsidiaries are coded as follows:

- a. ASUS is coded 0.
- b. The subsidiaries are coded consecutively beginning from 1 in the order presented in the table above.

Note 2 : Transactions are categorized as follows:

- a. The parent company to subsidiary.
- b. Subsidiary to parent company.
- c. Subsidiary to subsidiary.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
NAMES, LOCATIONS, AND RELATED INFORMATION OF INVESTEEES OVER WHICH THE COMPANY EXERCISES SIGNIFICANT INFLUENCE
(EXCLUDING INFORMATION ON INVESTMENTS IN MAINLAND CHINA)

THREE MONTHS ENDED MARCH 31, 2026

Table 7 (Amounts in thousands of New Taiwan dollars)

Investor Company	Investee Company	Location	Main Businesses	Original Investment Amount		March 31, 2026			Net Income (Loss) of the Investee	Share of Profit/Loss of Investee	Note
				March 31, 2026	December 31, 2025	Shares	Percentage of Ownership (%)	Carrying Value			
ASUS	ASKEY	Taiwan	Designing, manufacturing, repairing and selling of communication products and computer peripheral spare parts	5,021,108	5,021,108	480,000,000	100.00	429,740	65,644	63,992	Note 2
ASUS	ASUTC	Taiwan	Selling of 3C products in Taiwan	204,244	204,244	19,000,000	100.00	951,357	963,556	963,556	Note 1 and 2
ASUS	ASUSCLOUD	Taiwan	Selling of internet services	870,558	736,678	14,479,500	96.53	184,073	(14,856)	(14,340)	Note 2
ASUS	HCVC	Taiwan	Investing of computer peripheral business	1,250,000	1,250,000	159,500,000	100.00	5,667,726	149,128	149,128	Note 2
ASUS	HMI	Taiwan	Investing of computer peripheral business	680,000	680,000	100,500,000	100.00	2,794,262	89,667	89,680	Note 2
ASUS	UEI	Taiwan	Manufacturing and selling of automotive electronics and computer peripherals	66,354	66,354	21,300,000	100.00	305,811	11,019	11,019	Note 2
ASUS	ATL	Taiwan	Researching, developing and authorizing of communication technology	320,000	320,000	32,000,000	100.00	64,800	(28,733)	(28,733)	Note 2
ASUS	MEDUS	Taiwan	Selling of information system services	61,540	61,540	5,900,000	100.00	63,979	1,040	1,040	Note 2
ASUS	AMV	Taiwan	Selling of metaverse services	20,000	20,000	2,000,000	100.00	18,870	39	39	Note 2
ASUS	ASUSLC	Taiwan	Selling of internet information services	9,000	9,000	900,000	90.00	3,293	(17)	(15)	Note 2
ASUS	DATASUS	Taiwan	Investing of industrial server peripheral products business	200,000	200,000	20,000,000	100.00	171,133	4,417	4,417	Note 2
ASUS	THBDT	Taiwan	Selling of medical data integration and analytics	65,000	65,000	6,500,000	65.00	55,368	(7,187)	(4,672)	Note 2
ASUS	ACI	U.S.A	Selling of 3C products in North America	13,320	13,320	50,000	100.00	2,378,496	(72,879)	(72,879)	Note 2
ASUS	ACH	Netherlands	Repairing of 3C products	155,336	155,336	10,800,000	100.00	442,752	3,393	3,393	Note 2
ASUS	AIL	Cayman Islands	Investing of 3C and computer peripheral business	3,281,057	3,281,057	89,730,042	100.00	50,775,035	228,678	228,678	Note 1 and 2
ASUS	ASGL	Singapore	Selling of 3C products	16,570,570	838,070	528,000,000	100.00	61,524,508	3,672,469	2,120,762	Note 2
ASUS	QCI	Singapore	Selling of information technology services	25,290	25,290	830,001	100.00	58,899	335	335	Note 2
ASUS	ATUS	U.S.A	Researching and developing of 3C products	126,754	126,754	400,000	100.00	164,956	1,779	1,779	Note 2
ASUS	DEEP	Taiwan	Researching, developing and selling of AI medical related software	45,030	45,030	674,908	20.63	-	-	-	Note 2
ASUS	PORTWELL	Taiwan	Manufacturing and selling of computers and computer peripherals and selling of information	2,325,000	2,325,000	44,239,755	45.00	4,448,619	551,843	235,658	Note 2
ASUS	ASUSTOR	Taiwan	Researching, developing and selling of cloud computing services	84,035	84,035	6,961,620	38.04	167,533	29,835	11,350	Note 2
ASUS	GAUIS	Taiwan	Researching, developing and selling of electric motor tricycle industry	185,184	185,184	17,649,822	20.88	101,395	(55,151)	(11,709)	Note 2
ASUS	QSAN	Taiwan	Designing, researching, developing and selling of network storage services	168,370	168,370	1,891,793	19.82	177,195	33,696	6,679	Note 2
ASUS and HCVC	SWI	Taiwan	Researching, developing and selling of information system software	72,146	72,146	5,469,750	51.00	59,982	(8,784)	(4,480)	Note 2
ASUS and HCVC	IUT	Taiwan	Researching, developing, manufacturing and selling of ink-jet print heads and ink-jet digital image output technology	177,743	177,743	11,323,682	69.25	174,558	21,582	14,946	Note 2
ASUS and HCVC	SHINYOPTICS	Taiwan	Researching, developing, manufacturing and selling of virtual image optical engines and vehicle head-up displays	46,987	46,987	2,232,900	90.04	12,779	(3,856)	(3,472)	Note 2
ASUS and HCVC	ACBT	Indonesia	Selling of 3C products in Indonesia	1,126,979	1,126,979	4,211,100	100.00	-	9,095	9,095	Note 2 and 3
ASUS and HCVC	ACJK	Indonesia	Selling of 3C products in Indonesia	471,264	471,264	15,400	100.00	-	185,154	185,154	Note 2 and 3
ASUS and HCVC	UPI	Taiwan	Designing, researching, developing and selling of integrated circuits	427,761	427,761	23,138,905	21.94	4,260,144	170,575	32,563	Note 2
ASUS, HCVC and ONYX	IMOZEN	Taiwan	Investing of AI and OPC peripherals business	328,784	310,770	3,462,101	24.80	43,745	(5,474)	(820)	Note 2
ASUS and HCVC	LELTEK	Taiwan	Researching, developing and selling of handheld ultrasound solutions business	136,054	136,054	5,171,060	19.90	145,221	(2,670)	(531)	Note 2
ASUS, HCVC and HMI	ASMEDIA	Taiwan	Designing, researching, developing and manufacturing of high-speed analog circuit	342,673	342,673	31,775,315	42.82	15,290,027	1,758,078	574,350	Note 2
ASUS, HCVC and HMI	AAEON	Taiwan	Manufacturing and selling of industrial computers and computer peripherals	3,357,568	3,357,568	63,482,936	37.46	5,690,933	481,791	130,352	Note 2
ASUS, HMI and AAEON	ONYX	Taiwan	Designing, manufacturing and selling of medical computers	245,386	245,386	21,058,613	53.90	852,499	46,628	2,325	Note 2 and 4
ASUS, HCVC and HMI	EMC	Taiwan	Designing, manufacturing and selling of computer peripheral spare parts	81,060	81,060	6,359,548	12.50	418,782	84,098	3,715	Note 2
ASUS, HCVC and HMI	JPX	Taiwan	Designing and selling of computer peripheral spare parts	20,000	20,000	4,000,000	10.11	2,011	498	26	Note 2
ASUS and ASUSCLOUD	TWS	Taiwan	Selling of AI computing services	540,000	540,000	32,142,856	74.18	391,373	20,575	10,567	Note 2 and 4
ASUS, HCVC and ASUSCLOUD	ASUSMAAS	Taiwan	Researching, developing and selling of smart parking system and charging piles	180,000	180,000	18,000,000	100.00	19,151	(5,443)	(3,629)	Note 2 and 4
ASUS and ASTP	ASIN	India	Selling of 3C products in India	216,846	213,017	33,500,000	100.00	642,161	271,766	-	Note 2

Investor Company	Investee Company	Location	Main Businesses	Original Investment Amount		March 31, 2026			Net Income (Loss) of the Investee	Share of Profit/Loss of Investee	Note
				March 31, 2026	December 31, 2025	Shares	Percentage of Ownership (%)	Carrying Value			
ASUS and ASTP	ACIN	India	Supporting and repairing of 3C products in India	264,518	259,846	20,134,400	100.00	438,657	5,119	-	Note 2
ASKEY	ASKEYDT	Taiwan	Selling and supporting of communication products	30,000	30,000	3,000,000	100.00	30,513	44	-	Note 2
ASKEY	WONDA	Taiwan	Manufacturing and designing of wired and wireless communication, electronic parts products, etc.	65,344	65,344	9,242,232	100.00	52,285	109	-	Note 2
ASKEY	ASKEYI	U.S.A	Selling, repairing and supporting of communication products	307,607	307,607	10,000,000	100.00	181,046	31,740	-	Note 2
ASKEY	DIC	British Virgin Islands	Investing of communication business	271,695	271,695	8,160,172	100.00	104,471	556	-	Note 2
ASKEY	MIC	British Virgin Islands	Investing of communication business	3,752,306	3,752,306	114,942,014	100.00	3,557,184	(5,877)	-	Note 2
ASKEY	ASKEYUK	U.K.	Selling and supporting of communication products	37,740	37,740	1,000,000	100.00	46,440	149	-	Note 2
ASKEY	ASKEYVNB	Vietnam	Manufacturing and selling of communication products	620,804	620,804	-	100.00	692,112	(68,333)	-	Note 2
ASKEY and ASKEYDT	DNS	Mexico	Selling and supporting of communication products	6,935	6,935	4,368,000	100.00	4,912	(432)	-	Note 2
ASKEY and MIC	ASKEYBR	Brazil	Selling and supporting of communication products	33,136	32,551	3,700,000	100.00	8,100	82	-	Note 2
ASKEY and WISE	ASKEYFR	France	Selling and supporting of communication products	183,177	182,416	4,818,090	100.00	76,038	(1,897)	-	Note 2
DIC	WISE	Hong Kong	Investing of communication business	43,241	42,478	1,600,000	100.00	12,343	(307)	-	Note 2
MIC	MAGICOM	Cayman Islands	Investing of communication business	2,912,505	2,861,073	91,030,000	100.00	3,723,138	3,335	-	Note 2
MIC	ASKEYCG	Germany	Selling and supporting of communication products	4,187	4,113	100,000	100.00	7,861	273	-	Note 2
MIC	ASKEYTH	Thailand	Selling and supporting of communication products	2,006	1,971	20,000	100.00	1,196	-	-	Note 2
MIC	ASKEYJP	Japan	Selling and supporting of communication products	1,504	1,478	500,000	100.00	-	99	-	Note 2 and 3
ASKEY	ECOLAND	Taiwan	Designing and selling of green energy buildings and surrounding ecosystem	21,840	21,840	780,000	33.91	-	(21)	-	Note 2 and 3
ASMEDIA	HSFI	Taiwan	Investing of computer peripheral business	73,000	-	7,300,000	100.00	73,000	-	-	Note 2
ASMEDIA	WT	Taiwan	Selling of semiconductor and electronic components	8,307,440	8,307,440	188,720,421	14.91	17,372,979	6,080,000	-	Note 2
ASMEDIA	XINPAL	Singapore	Designing and researching of high performance computing IC	112,998	112,998	37,500,000	29.70	100,745	(25,269)	-	Note 2
ASMEDIA	TECHPOINT	U.S.A	Selling of semiconductor IC chip	12,437,539	12,412,536	19,554,940	100.00	13,158,089	197,578	-	Note 2
TECHPOINT	TECHJP	Japan	Designing, researching and developing of semiconductor IC chip	2,022	2,022	10	100.00	29,107	-	-	Note 2
HMI	JOGEEK	Taiwan	Selling and repairing of information software and electronic information materials	30,000	30,000	3,000,000	100.00	29,449	2,738	-	Note 2
DATASUS	DATASUSUS	U.S.A	Manufacturing and selling of industrial server peripheral products	190,575	190,575	600,000	100.00	167,368	4,401	-	Note 2
AAEON	AAEONI	Taiwan	Investing of industrial computers and computer peripheral business	150,000	150,000	15,000,000	100.00	125,382	(1,206)	-	Note 2
AAEON	LITEMAX	Taiwan	Selling of computer peripherals	70,218	70,218	5,015,050	11.81	111,534	50,719	-	Note 2
AAEON	IBASE	Taiwan	Manufacturing and selling of industrial motherboard	3,498,501	3,498,501	52,921,856	26.57	3,021,046	71,213	-	Note 2
AAEON	JETWAY	Taiwan	Manufacturing and selling of industrial motherboard and computer peripherals	892,474	892,474	19,845,958	35.29	838,658	46,940	-	Note 2
AAEON	AAEONEI	U.S.A	Selling of industrial computers and computer peripherals	156,776	154,007	490,000	100.00	351,845	(4,565)	-	Note 2
AAEON	AAEONTCL	British Virgin Islands	Investing of industrial computers and interface cards business	281,783	276,807	8,807,097	100.00	98,200	(14,589)	-	Note 2
AAEON	AAEONEU	Netherlands	Selling of industrial computers and computer peripherals	3,671	3,690	-	100.00	60,085	3,139	-	Note 2
AAEON	AAEONSG	Singapore	Selling of industrial computers and computer peripherals	14,467	14,263	465,840	100.00	69,800	(1,317)	-	Note 2
AAEONEU	AAEONG	Germany	Selling of industrial computers and computer peripherals	1,101	1,107	-	100.00	28,279	238	-	Note 2
ONYX	IHELPER	Taiwan	Researching, developing and selling of medical robots	-	-	-	46.00	-	-	-	Note 2
ONYX	WINMATE	Taiwan	Selling of liquid crystal display application equipment and modules	568,585	568,585	10,244,000	12.73	677,393	146,208	-	Note 2
ONYX	PROTECTLIFE	Taiwan	Manufacturing and selling of medical equipment and consumables	57,688	57,688	3,300,000	12.43	31,904	(10,312)	-	Note 2
ONYX	ONYXHU	U.S.A	Selling of medical computers and peripherals	63,990	62,860	200,000	100.00	102,480	7,489	-	Note 2
ONYX	ONYXHE	Netherlands	Marketing supporting and repairing of medical computers and peripherals	3,671	3,690	100,000	100.00	52,589	5,027	-	Note 2
JETWAY	JETWAYUS	U.S.A	Selling and repairing of computer peripheral equipment	121,581	119,434	380	100.00	220,231	3,131	-	Note 2
JETWAY	JETWAYNL	Netherlands	Selling and repairing of computer peripheral equipment	710	696	40	100.00	33,256	1,455	-	Note 2
JETWAY	JETWAYFE	British Virgin Islands	Investing of computer peripheral business	2,708	2,660	84,634	100.00	-	-	-	Note 2 and 3
JETWAY	TOPNOVEL	Seychelles	Investing of computer peripheral business	566,327	556,327	17,700,500	100.00	500,484	(4,805)	-	Note 2
TOPNOVEL	CANDID	Seychelles	Investing of computer peripheral business	545,515	535,882	17,050,000	100.00	496,640	(4,805)	-	Note 2
AIL	CHANNEL	British Virgin Islands	Investing of 3C business	960,906	943,937	30,033,000	100.00	53,164,366	219,904	-	Note 2
CHANNEL	ASTP	Singapore	Investing of 3C business	959,930	942,979	44,419,424	100.00	47,240,930	390,707	-	Note 2

Investor Company	Investee Company	Location	Main Businesses	Original Investment Amount		March 31, 2026			Net Income (Loss) of the Investee	Share of Profit/Loss of Investee	Note
				March 31, 2026	December 31, 2025	Shares	Percentage of Ownership (%)	Carrying Value			
CHANNEL and ASTP	ACAE	United Arab Emirates	Supporting and repairing of 3C products in Middle East	94,162	92,499	107	100.00	131,123	1,899	-	Note 2
CHANNEL and ASTP	ACEG	Egypt	Supporting of 3C products in Egypt	-	-	-	100.00	1,914	276	-	Note 2
CHANNEL and ASTP	ASID	Indonesia	Repairing of 3C products in Asia-pacific and America	47,993	47,145	1,500,000	100.00	68,772	2,018	-	Note 2
CHANNEL, ASTP and ACNL	ACTH	Thailand	Supporting of 3C products in Thailand	18,890	18,556	25,000	100.00	49,354	1,476	-	Note 2
CHANNEL, ASTP and ACNL	ASTH	Thailand	Repairing of 3C products in Thailand	22,537	22,139	240,000	100.00	54,703	194	-	Note 2
ASTP	ACG	Germany	Selling and supporting of 3C products in Germany	3,031	2,977	-	100.00	276,394	5,214	-	Note 2
ASTP	ACF	France	Supporting of 3C products in France	326,159	320,399	440,300	100.00	460,262	6,021	-	Note 2
ASTP	ACUK	U.K.	Supporting of 3C products in United Kingdom	207,902	204,231	4,950,000	100.00	327,300	3,626	-	Note 2
ASTP	ACHK	Hong Kong	Supporting and repairing of 3C products in Hong Kong	285,301	280,263	69,500,000	100.00	315,165	867	-	Note 2
ASTP	ACKR	South Korea	Supporting and repairing of 3C products in South Korea	11,068	10,873	158,433	100.00	65,030	(3,488)	-	Note 2
ASTP	ACNL	Netherlands	Selling of 3C products	18,627	18,298	375,000	100.00	3,164,203	241,837	-	Note 2
ASTP	ACVN	Vietnam	Supporting and repairing of 3C products in Vietnam	2,560	2,514	-	100.00	63,675	1,825	-	Note 2
ASTP	ACIB	Spain	Supporting of 3C products in Spain	70,816	69,566	3,000	100.00	445,732	14,243	-	Note 2
ASTP	ACJP	Japan	Selling of 3C products in Japan	78,312	76,929	20,500	100.00	810,848	175,399	-	Note 2
ASTP	ASAU	Australia	Repairing of 3C products in Australia	30,885	30,339	950,000	100.00	116,994	5,585	-	Note 2
ASTP	ACAU	Australia	Supporting of 3C products in Australia	11,544	11,340	350,000	100.00	131,981	4,226	-	Note 2
ASTP	ACIL	Israel	Supporting of 3C products in Israel	416	409	50,000	100.00	43,078	2,313	-	Note 2
ASTP	ACCO	Colombia	Supporting of 3C products in Colombia	960	943	74,489	100.00	14,075	(945)	-	Note 2
ASTP	ACZA	South Africa	Supporting and repairing of 3C products in Africa	28,465	27,963	-	100.00	50,143	761	-	Note 2
ASTP	ACMY	Malaysia	Supporting and repairing of 3C products in Malaysia	3,739	3,673	500,000	100.00	38,025	900	-	Note 2
ASTP	ACCL	Chile	Supporting of 3C products in Chile	55	54	1,000	100.00	17,260	1,037	-	Note 2
ASTP	ASPH	Philippines	Supporting and repairing of 3C products in Philippines	6,752	6,632	1,119,998	100.00	14,908	86	-	Note 2
ASTP	APVN	Vietnam	Leasing and selling of real estate	479,925	471,450	-	100.00	472,625	2,086	-	Note 2
ASTP and ACNL	A25	Russia	Selling of 3C products in Russia	4	4	-	100.00	4,850	(141)	-	Note 2
ASTP and ACNL	ACPE	Peru	Supporting of 3C products in Peru	72,038	70,782	7,520,532	100.00	74,199	(120)	-	Note 2
ASTP and ACNL	ACMH	Mexico	Selling of 3C products in Mexico	121,841	119,715	51,250	100.00	80,398	(63,254)	-	Note 2
ASTP and ACNL	ACBZ	Brazil	Selling of 3C products in Brazil	6,306,575	6,195,214	549,469,000	100.00	5,687,583	166,892	-	Note 2
ACNL	ACHU	Hungary	Supporting of 3C products in Hungary	1,836	1,845	-	100.00	22,341	1,033	-	Note 2
ACNL	ACPT	Portugal	Supporting of 3C products in Portugal	1,101	1,107	30,000	100.00	27,134	623	-	Note 2
ACNL	ACCH	Switzerland	Supporting of 3C products in Switzerland	8,389	8,432	3,400	100.00	34,151	966	-	Note 2
ACNL	ACN	Sweden	Supporting of 3C products in North Europe	1,170	1,176	3,000	100.00	121,824	4,283	-	Note 2
ACNL	ACTR	Turkey	Supporting and repairing of 3C products in Turkey	165,890	166,738	50,741	100.00	199,591	1,661	-	Note 2
ACNL	ACPL	Poland	Supporting of 3C products in Poland	53,440	53,713	1,000	100.00	107,050	2,993	-	Note 2
ACNL	ACIT	Italy	Supporting of 3C products in Italy	405,584	407,658	-	100.00	474,588	7,989	-	Note 2
ACNL	ACCZ	Czech Republic	Supporting of 3C products in Czech Republic	287	289	-	100.00	29,892	2,720	-	Note 2
ACNL	ACCZS	Czech Republic	Repairing of 3C products in Europe	135,707	136,401	-	100.00	387,297	6,347	-	Note 2
ACNL	ACUKR	Ukraine	Supporting of 3C products in Ukraine	10,778	10,833	-	100.00	16,799	746	-	Note 2
ACNL	ACNLD	Netherlands	Selling of 3C products	27,900	28,043	-	100.00	19,610	29,393	-	Note 2

Note 1 : Original investment amount excludes other interest oriented from shareholders' stock trust which distributes to employees.

Note 2 : According to regulation, only disclose the share of profit / loss of investee recognized by ASUS.

Note 3 : Credit balance of investments accounted for under equity method is transferred to other liabilities - non-current.

Note 4 : Percentage of ownership represents controlling shareholding ratio but not the comprehensive shareholding ratio.

ASUSTEK COMPUTER INC. AND SUBSIDIARIES
INFORMATION ON INVESTMENTS IN MAINLAND CHINA
THREE MONTHS ENDED MARCH 31, 2026

Table 8 (Amounts in thousands of New Taiwan dollars and foreign currencies)

Investee Company	Main Businesses	Total Amount of Paid-in Capital	Method of Investment (Note 1)	Beginning Balance of Accumulated Outflow of Investment from Taiwan	Investment Flows		Ending Balance Accumulated Outflow of Investment from Taiwan	Net Income (Loss) of the Investee Company	Percentage of Ownership (%)	Investment Income (Loss) Recognized in Current Period (Note 1 and 2)	Carrying Amount as of March 31, 2026 (Note 1 a and 2)	Ending Balance of Accumulated Inward Remittance of Earnings	Note (Note 1 b)
					Outflow	Inflow							
ACSH	Selling of 3C products in China	6,978,110	b	1,538,960	-	-	1,538,960	(994,795)	100.00	(994,795)	3,483,879	-	ASTP Invested
ACS	Repairing of 3C products	63,990	b	63,990	-	-	63,990	1,881	100.00	1,881	112,690	-	ASTP Invested
ASKEYJS	Manufacturing and selling of communication products	2,879,550	b	2,879,550	-	-	2,879,550	2,913	100.00	2,913	3,678,497	-	MAGICOM Invested
AAEONSZ	Manufacturing and selling of industrial computers and interface cards	278,045	b	278,045	-	-	278,045	(14,610)	100.00	(14,610)	103,286	-	AAEONTCL Invested
EMES	Selling of information system software	9,599	a	9,599	-	-	9,599	(1,353)	100.00	(1,353)	31,159	-	-
ASKEYSH	Researching, developing and selling of communication products	95,985	b	95,985	-	-	95,985	3	100.00	3	16,754	-	MIC Invested
ACSZ	Researching and developing of 3C products	1,567,755	b	1,567,755	-	-	1,567,755	54,985	100.00	54,985	2,595,234	-	ASTP Invested
FUJIAN	Manufacturing and selling of computer and peripheral equipment	543,915	b	543,915	-	-	543,915	(4,805)	100.00	(4,805)	494,961	-	CANDID Invested
ACCQ	Selling of 3C products in China	2,207,655	b	2,207,655	-	-	2,207,655	(121,827)	100.00	(121,827)	6,139,920	-	ASTP Invested
ACISZ	Leasing of real estate	1,180,037	c	-	-	-	-	(11,363)	100.00	(11,363)	1,005,639	-	-
ONYXSH	Selling of medical computers and peripherals	75,188	a	75,188	-	-	75,188	(578)	100.00	(578)	3,312	-	-
TECHSZ	Designing, researching and developing of semiconductor IC chip	2,045	c	-	-	-	-	2,212	100.00	2,212	29,107	-	-
JSCD	Participating and promoting of professional eSports	673,900	a	673,900	-	-	673,900	(3,986)	100.00	(3,986)	228,875	-	-
JRCD	Participating and promoting of professional eSports	23,148	c	-	-	-	-	682	100.00	682	9,831	-	-
PSCD	Selling of multi-channel network services	88,114	c	-	-	-	-	(3,422)	100.00	(3,422)	90,358	-	-
AESZ	Manufacturing and selling of vehicle products in China	159,975	b	159,975	-	-	159,975	(2,737)	100.00	(2,737)	159,956	-	ASTP Invested

Company Name	Ending Balance of Accumulated Investment in Mainland China	Investment Amounts Authorized by Investment Commission, MOEA	Upper Limit on Investment Authorized by Investment Commission, MOEA
ASUS	6,901,399	12,340,549	190,038,007
	USD 215,702	USD 385,702	
ASKEY	3,388,980	3,388,980	(Note 3)
	USD 105,922	USD 105,922	
ASMEDIA	-	81,331	22,257,017
		USD 2,542	
AAEON	278,045	278,045	7,468,613
	USD 8,690	USD 8,690	
SWI	9,599	10,878	70,567
	USD 300	USD 340	
ONYX	75,188	75,188	961,119
	USD 2,350	USD 2,350	
JETWAY	543,915	543,915	818,680
	USD 17,000	USD 17,000	

Note 1 : The methods for engaging in investment in Mainland China include the following:

- Direct investment in Mainland China.
- Indirectly investment in Mainland China through companies registered in a third region (Please specify the name of the company in third region).
- Other methods.

Note 2 : The investment income (loss) recognized in current period:

- Please specify no investment income (loss) has been recognized due to the investment is still during development stage.
- The investment income (loss) were determined based on the following basis:
- The financial report was reviewed by an international accounting firm in cooperation with an R.O.C. accounting firm.
 - Others.

Note 3 : In accordance with the "Regulations Governing the Examination of Investment or Technical Cooperation in Mainland China", there is no upper limit on investment.